

What's News Business & Finance

◆ **The Fed raised** interest rates for the first time in three years, a sharp reversal that began taking back cuts it made last year and implicitly undercut the White House's insistence that inflation isn't a concern. **A1, A2**

◆ **Stocks mostly slumped** and the 10-year Treasury yield settled above 5% for the first time since July 2007 following the central bank's rate increase. The Nasdaq was little changed and the S&P 500 and Dow fell around 0.4% and 1.2%, respectively. **A1**

◆ **BlackRock said it** would work with corporate clients to build customizable funds for 401(k) plans that can include slices of public stocks and bonds, private assets and annuities. **B1**

◆ **ExxonMobil and** billionaire oil baron Harold Hamm were close to signing preliminary deals to explore investments in several Venezuelan oil fields. **B1**

◆ **Amazon Web Services** said it was unable to restore access to some customer data hosted in Persian Gulf centers that were struck by Iranian drones in the spring. **B1**

◆ **Novo Nordisk**, the maker of the diabetes and weight-loss drugs Ozempic and Wegovy, is collaborating with Anthropic to use artificial intelligence for drug research. **B1**

◆ **The House passed** a bill to compel automakers to provide AM radio in their vehicles, a service that emergency responders have championed as a safety backup. **B1**

◆ **ByteDance reported** that its revenue rose more than 30% to \$120 billion in the first half, buoyed in part by the resolution of U.S. regulatory concerns about its TikTok business. **B4**

Worldwide

◆ **Top White House aides** have been divided on approaches to AI safety, with chief of staff Susie Wiles and Treasury Secretary Scott Bessent urging a greater hands-on attitude than adviser David Sacks advocates. **A1, A5**

◆ **The EU's top official** said she would work to make Canada the bloc's first associate member as traditional U.S. allies forge independent bonds with one another. **A7**

◆ **States haven't yet** been able to obtain Covid-19 shots from the CDC, delaying their distribution to millions of children through federal programs. **A3**

◆ **An international tribunal** convicted the former president of Kosovo of war crimes during the separatist war against Serbia and sentenced him to 25 years in prison. **A10**

◆ **A top Democrat said** he would oppose Trump's planned \$2.8 billion military-aid package for Israel, saying it raised grave concerns about how the heavy bombs would be used in densely populated areas of Gaza and Lebanon. **A4**

◆ **Debris found in Yemen** indicates that Saudi Arabia fired a Chinese-made ballistic missile in combat for the first time, Yemeni officials and weapons experts said. **A6**

◆ **The House voted** to hold Leon Black in contempt of Congress following his refusal to comply with committee subpoenas related to his ties with Jeffrey Epstein and nondisclosure agreements. **A4**

◆ **Died: Annie Dillard**, 81, Pulitzer Prize-winning writer. **A5**

◆ **Peter Max**, 88, artist who epitomized the pop era. **A5**

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Fed Delivers First Rate Hike in 3 Years

After a unanimous vote, most officials pencil in one more increase in 2026

By Nick Timiraos

WASHINGTON—The Federal Reserve raised interest rates Wednesday for the first time in three years, a sharp reversal that began taking back cuts it made last year and implicitly undercut the White House's insistence that inflation isn't a concern.

The increase, approved unanimously, will raise the benchmark federal-funds rate range by a quarter point to between 3.75% and 4%. The vast majority of officials penciled in one more increase this year in interest-rate projections released after their meeting.

Chairman Kevin Warsh vowed shortly after taking office in May to end an overshoot of the Fed's 2% target now in its sixth year and followed through with an increase that had been widely anticipated in recent days.

"Today's action starts to

show that we're serious about this," Warsh said at a news conference. The Fed's policy statement said its action would support a "timelier" return to the inflation goal.

The rate increase scrambled an account the White House had offered of the man tapped by President Trump for the job in January. Trump and his allies had cast pressure to raise rates as coming from a committee hostile to Warsh, who last year said he would have cut rates sooner than the Fed ultimately did.

It also followed a lost year in

the Fed's inflation fight. The central bank has made no progress toward its 2% goal since mid-2025, including after cutting rates three times late last year to guard against a labor-market slowdown. Instead, the Iran war has lifted energy prices, and the AI boom has driven an investment surge that has buoyed the economy and markets.

Analysts had said that despite intense focus of late on monthly inflation data, the biggest change to the outlook has come from a run-up in energy and commodity prices.

"It's the fact that the war in Iran has re-intensified and the energy price shock is getting bigger again," said William Dudley, the former New York Fed president.

Diesel prices have climbed toward record highs, worsened by a refining bottleneck that Ukrainian strikes on Russian energy infrastructure have deepened. Crude around \$100 a barrel understates what businesses are actually paying: Diesel is behaving as though oil were at \$200, said Dudley. Costs are working into shipping

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Mexico Celebrates Its Independence Day



IVIVA, MEXICO! President Claudia Sheinbaum marks the 216th anniversary of the start of the Mexican War of Independence against Spain on Wednesday in Mexico City. Celebrations began with the cry of '¡Viva, Mexico!' three times just after midnight.

AI Sparks Divide Among Trump Aides

By Josh Dawsey and Amrith Ramkumar

After White House artificial intelligence adviser David Sacks got President Trump to scrap a planned executive order in May that would subject AI models to an extended government review, senior administration officials including Scott Bessent and Susie Wiles were caught off guard and unhappy.

Wiles, the White House chief of staff, told others that Sacks had convinced him to do so in a last-minute call, people famil-

iar with the matter said. Treasury Secretary Bessent worried that AI-led cyberattacks could wreak havoc on the nation's banking system, the people said. A White House team had spent months negotiating to increase oversight of AI and had consulted a range of industry executives on the order.

At the urging of Wiles and Bessent, Trump later signed a slimmed-down version of the order.

Even as Trump dismisses calls for tighter federal regulation of the industry, the quiet

freakout among some of his most senior aides over what could be one of the administration's most consequential policy decisions has begun.

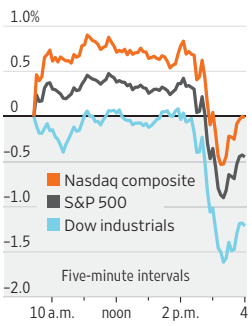
In the months since the dispute, Wiles, Bessent and other officials have gathered almost daily to discuss risks in the sector and plot potential guardrails, the people said, while trying to persuade Trump to take a more hands-on approach. White House officials have regularly held calls with executives including OpenAI's Sam Altman and

those at Anthropic to discuss concerns.

The divide among Trump's AI advisers—both inside and outside the government—continued in the weeks since, with Wiles, Bessent and National Cyber Director Sean Cairncross often pushing for

- ◆ **Business leaders cite concerns over AI risks....** A5
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Index performance Wednesday



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Iran Hits Wall in Bid To Skirt Blockade

By Benoit Faucon and Hamraz Bayan

Iran vowed to respond to a U.S. blockade by pushing more trade overland. On the ground, it isn't going according to plan.

Hundreds of Iranian truck drivers are stuck at Iran's border with Pakistan, unable to move their goods. They say they are facing worsening bureaucratic hurdles and costs, many caused by their own government. The same thing is happening at Iran's land borders with Turkey, Turkmenistan and Afghanistan, dealing Tehran a self-inflicted blow and throttling trade through its few remaining economic release valves.

Tons of stranded apricots

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- ◆ **Two Iowa GOP lawmakers defy Trump on war.....** A4
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WORLD NEWS
Russia's shadow fleet is sailing in NATO's blind spot: Irish waters. **A7**

PERSONAL JOURNAL
Getting downgraded from a seat you paid for is becoming a bigger issue for travelers. **A11**

Nothing Blows Up a Parent Group Like a Fight Over School Snacks

A viral tale about Oreo jealousy was a hoax. The wars over sweets in class are very real.

By Sabrina Siddiqui

By now, much of the internet has heard of Oreo-gate: a viral social-media saga in which a kindergarten mother named Michelle asks other moms in a group chat to stop sending Oreos in their chil-

dren's lunches because it was making her daughter jealous. The drama escalated quickly. The other moms rejected the request. Some sent in Oreos in an act of defiance. Side chats splintered off. The school was forced to weigh in.



Sugar clash Please turn to page A12

Elon Musk Roils U.K. Politics With His X Megaphone

New anti-immigration party benefits from his tweets; 'civil war is inevitable'

LONDON—On the eve of becoming the world's first trillionaire, Elon Musk was fixated on political turmoil an ocean away from SpaceX headquarters.

By Jenny Strasburg, Jaclyn Jeffrey-Wilensky and Max Colchester

In one X post, he called the mayor of Belfast a "betrayor of her people." In another, he called a British political leader "a scumbag and a traitor."

And a post from a once-obscure politician named Rupert Lowe—whose nascent far-right party Musk had declared the only hope for salvaging Britain's future—got more than three million views after Musk retweeted it.

The X-storm took place on

June 11, in the wake of violent anti-immigration riots in the Northern Ireland capital—and one day before SpaceX's IPO.

For years, Musk has used his social-media megaphone to boost antiestablishment parties outside the U.S., railing against "woke" politics, immigration and tech industry-regulation across Europe, South America and Africa.

But no other foreign nation has drawn such frequent, sustained attention from the world's richest man as the U.K., according to a Wall Street Journal analysis of 4½ years' worth of his posts on X.

Musk has twice exceeded 200 monthly posts about British politics and culture wars, though the volume waxes and wanes with the

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U.S. NEWS

Trump Backs Warsh: ‘I’m Relying on Kevin’

President says he spoke to Fed chief just before decision on raising rates

By BRIAN SCHWARTZ

President Trump said he was standing by Federal Reserve Chairman Kevin Warsh and that he spoke to him just before the central bank

unanimously voted to raise interest rates. “I’m relying on Kevin. But he has a very tough board,” Trump told reporters Wednesday in response to a question on whether he had confidence in Warsh. “I talked to Kevin. I said ‘you might as well vote with the board because it’s not going to matter.’” He added, “I said ‘do what you want.’” Trump has spoken repeat-

edly with Warsh since he became Fed chairman, The Wall Street Journal has reported. The Fed raised rates earlier Wednesday for the first time in three years, a reversal of cuts it made last year and implicitly undercut the White House view that inflation isn’t a concern. Trump’s conversation with Warsh before the decision to raise rates will likely heighten scrutiny around the indepen-

dence of the Fed. During Warsh’s Wednesday press conference, the Fed chair addressed questions around his relationship with the president by making the case for the central bank’s independence. “Part of the independence of the Federal Reserve is we stay in our lane,” Warsh said. “Independence is a two-way street. We let people that do trade policy and fiscal policy

stay in their lane too. That’s how we can stand up here and call them the way we see them.” In his comments to reporters Wednesday night, Trump said he wants Warsh to be independent. The increase will raise the benchmark federal-funds rate range by a quarter point to between 3.75% and 4%. In addition, most officials penciled in one more hike this year in interest-rate projections re-

leased after the Federal Open Market Committee meeting. Trump’s continued alliance with Warsh comes after he regularly criticized former Fed Chair Jerome Powell and even weighed trying to fire him. Trump, though, has maintained interest rates should go down. “Interest Rates in the United States should be 1%,” Trump wrote on Truth Social after the Fed’s decision Wednesday.

Stocks Fall On Warning Of Inflation

Continued from Page One
were already too high, and investors had worried that Warsh would hesitate to tackle price increases head-on. But soon after the new Fed chairman took to the podium Wednesday, stocks fell and the 10-year Treasury yield ticked up above 5% again.

“We have to be prepared that we are in a rate hiking cycle,” said Mike O’Rourke, chief market strategist at JonesTrading. “You have uncertainty over the foreseeable future that warrants people being a little bit more defensive.” All three major U.S. stock indexes fell for the seventh time in the past eight sessions. The Dow Jones Industrial Average declined 1.2%, or 631 points. The S&P 500 fell around 0.4%, while the Nasdaq composite fell fractionally. The benchmarks were facing steeper declines before rebounding ahead of the

close. The Trump administration expressed its disappointment. “Look, I think the president has been abundantly clear...on where he wanted interest rates to go,” White House spokesman Kush Desai said during an interview on Fox News. “And certainly, today’s rather unfortunate decision by the Federal Reserve to raise interest rates wasn’t, from the administration’s point of view, backed by a particularly compelling economic case.” In recent days, Wall Street came to see an interest-rate increase from the central bank as a near certainty. Investors were pricing in a 90% chance of an increase on Wednesday morning, and analysts warned of a sharp bond selloff if policymakers failed to deliver one. Instead, the decision came in as expected—and a negative reaction took shape anyway. Markets responded as they often do when the Fed raises rates and signals inflation remains a concern: Yields rose and stocks fell. At the start of 2026, many investors were banking on rate cuts. Then, the war in Iran scrambled inflation forecasts and jacked up fuel costs across



Traders worked on the floor of the New York Stock Exchange on Wednesday.

the globe. Solid economic growth and the inexhaustible artificial-intelligence investing boom added to upward pressure on prices. And over the past few months, an intensifying bond rout has placed even more pressure on Warsh and the Fed. Even an intervention from Treasury Secretary Scott Bes-

sent proved insufficient in bringing down bond yields. Earlier this week, the yield on 10-year Treasuries touched a new 19-year high, climbing above 5% for the first time since it got there during a single session in 2023. Rising yields also put pressure on stock prices, in part by lifting borrowing costs across the

economy. Treasury yields, which rise when bond prices fall, largely reflect investors’ expectations for short-term rates set by the Fed. Early Wednesday, they fell along with oil prices, which have been playing a critical role in shaping investors’ inflation outlook. The 10-year yield initially

Fed Delivers First Hike In 3 Years

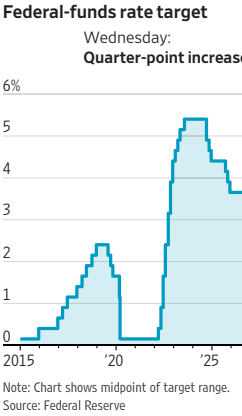
Continued from Page One
and airfares, and the effects look likely to last longer than officials expected. As energy prices have climbed, so have long-term Treasury yields, with the 10-year note on Wednesday settling above 5% for the first time since 2007. Investors have attributed the rise to a mix of forces: higher expected growth from the AI build-out, competition for capital from data-center borrowing, and questions over how high the Fed will have to raise rates to get inflation down. Stock prices fell, with the Dow Jones Industrial Average closing down more than 630 points. The S&P 500 was down 0.4%, and the Nasdaq composite edged barely lower.

Trump, in a social-media post Wednesday after the rate hike, said that rates in the U.S. should be “1%, or less.” The Fed’s benchmark rate most directly affects short-term borrowing such as credit cards and new loans for autos, which reprice quickly. The costs that matter most to many households and businesses—including mortgage rates—track longer-term Treasury yields, and those have risen as investors expect future rate increases. The 30-year mortgage rate climbed to nearly 7% last week, the highest in nearly a year, according to a survey by the Mortgage Bankers Association released Wednesday. It stood at 6% in February, before the U.S. campaign in Iran began. Wednesday’s decision leaves open what exactly will follow. The Fed rarely makes just one adjustment after it concludes a



Fed Chairman Kevin Warsh

turn toward raising or lowering rates is warranted, because a quarter-point higher or lower doesn’t do much on its own to change borrowing conditions. In new projections, 16 of 18 meeting participants penciled in at least one more increase this year, which would take rates to just above 4%. Only four penciled in rates ending next year below that level. Warsh offered a narrow description of what the increase was meant to do. “We removed a dose of accommodation so that financial and credit conditions would be more consistent with our ultimate objectives,” he said. The phrasing ordinarily would suggest officials view policy as still easy even after Wednesday’s move. Warsh dismissed that interpretation when asked where rates stand relative to an unobservable setting that economists think neither spurs nor slows growth. He said the academic idea didn’t translate well into the “decisions that we make today.”



A Fed raising short-term rates into a bond market already pricing higher inflation reflects how far the fight has moved from where officials expected it to be.

Officials ended a sprint to lift rates to a two-decade high in 2023. They began cutting in 2024 as price growth slowed, paused early last year as tariffs threatened to push inflation back up, then resumed reductions last fall. Last year’s cuts were insurance against a labor-market slump that never arrived. The unemployment rate has drifted down to 4.1%, and hiring has exceeded the pace needed to absorb new workers.

Because inflation stayed higher than officials expected, the inflation-adjusted or “real” policy rate is lower now than when they cut. “Having inflation high and real interest rates very low for a sustained period seems like a bad idea,” said William English, a former senior Fed official now at Yale. The textbook response to a

supply shock is to look through it on the theory that it passes before higher rates take effect. The Fed has faced at least two such shocks over the past two years, from tariffs and higher energy prices from the Iran war. The AI build-out, meanwhile, is adding demand faster than supply can meet it. The case for waiting rests on recent data. Economists at Goldman Sachs say the economic case for raising rates is weak. Underlying price growth over the last three months is lower than the three months before that, and much of the overshoot traces to one-off factors rather than an overheating economy.

The counterargument is that the case for waiting depends on assumptions that aren’t holding up. Energy prices were expected to have receded by now. A softening job market was supposed to take pressure off wages and prices. Instead, hiring has steadied and some economists think more employers will soon have to compete harder for workers, which could stoke cost pressures. Officials who want to move say the question isn’t what the last three months showed, but what would give confidence that price growth will be muted in six months.

Warsh raised rates at his third meeting as chairman after having suggested one year ago that the Fed was too slow to cut. At his first press conference, in June, Warsh cast the Fed’s inflation record as a credibility problem that he would fix.

But he said little at his first two meetings about how he read the economy or what would move him. Warsh has argued for years that narrating the Fed’s outlook ties its hands. Investors were left to infer his views, and the guesses ranged from a chair who would delay hikes as long as possible to one who was ready to raise rates.

How Rate Rise Hits Borrowing, Savings

By NICHOLAS G. MILLER AND DALVIN BROWN

The Federal Reserve’s move to boost short-term interest rates Wednesday is poised to ripple through the banking system and debt markets. Here’s a breakdown of the impacts:

Consumer debt

Credit-card borrowers will feel the increase quickly. A quarter-point hike would add about \$1.38 a month in interest on the average \$6,600 card balance, said Charlie Wise, head of global research at TransUnion.

Mortgage rates

Mortgage rates are tied to the 10-year Treasury yield rather than the shorter-term federal funds rate set by the Fed. Treasury yields didn’t move decisively following the Fed’s meeting largely because the bond market had already priced in expectations for a rate hike.

Other home debt

The federal funds rate has a more immediate impact on interest rates for short-term debt, including home equity lines of credit. Americans are sitting on record levels of home equity, but high rates have to some extent prevented them from turning that equity into cash for large-scale renovations.

New-home market

Home builders use debt for their construction projects. The largest homebuilding companies tend to generate fi-

nancing through the corporate bond market, where rates, like mortgage rates, are more dependent on long-term Treasury yields than the federal funds rate.

But smaller builders and flippers rely on short-term construction financing that is heavily influenced by Fed rate hikes. That could make it more challenging for projects to pencil out, at a time in which the U.S. housing market desperately needs supply.

Savings accounts

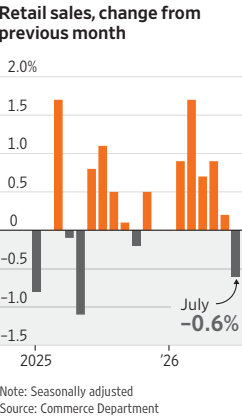
The quarter-point increase should push savings rates higher, especially at online banks. High-yield accounts could begin repricing within days or weeks, according to NerdWallet. Large traditional banks are less likely to pass much of the increase to depositors, says NerdWallet spokeswoman Kate Ashford.

Company, muni debt

The rate increase shouldn’t have a big impact on corporate borrowing costs because the corporate debt market has already anticipated a move with bond prices falling. States and cities are also already seeing higher borrowing costs when they issue municipal bonds, which closely track Treasury rates.

CORRECTIONS & AMPLIFICATIONS

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Note: Seasonally adjusted
Source: Commerce Department

Retail Sales Figures Add to String of Softer Data

Sales at U.S. retailers slid in July, the latest in a string of weaker reports prompting a rethink about an economy that had looked to be only accelerating this spring. Retail sales dropped by 0.6% last month, the Commerce Department reported Friday, falling short of the 0.1% increase that economists had expected. The numbers landed a week after the monthly jobs report showed the economy lost 23,000 jobs in July. Earlier this week, moderate inflation figures also undercut concerns that the economy is overheating. July’s sales setback extended beyond gasoline stations, where lower prices had been forecast to keep sales totals in check. Sales in the “control group” categories of everyday products that economists track closely fell by 0.4%, the first such decline this year. A separate downbeat report Friday morning from the University of Michigan’s preliminary monthly survey showed consumer sentiment has reversed recent gains so

far this month. Shoppers reported that persistent price increases and the Iran war have dimmed their view of the economy. The retail numbers look somewhat less concerning under the surface. Sales at nonstore retailers—which mostly represent online shopping—fell by 2.2%, pulling down the overall totals. Many analysts attribute that drop to Amazon.com’s Prime Day sales event, which the company held in June this year instead of July.

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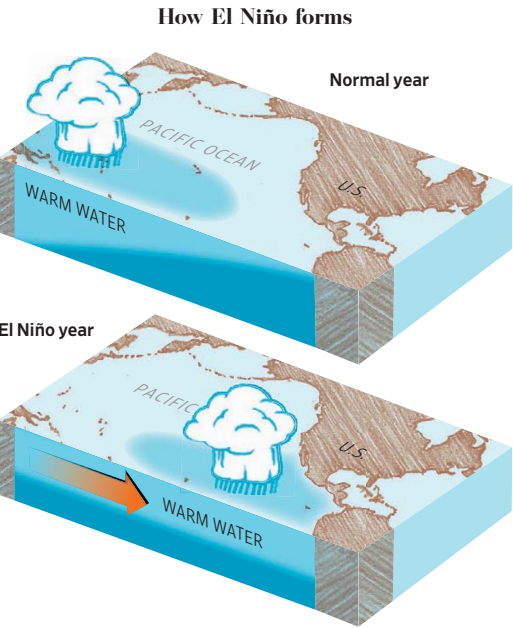
El Niño Takes Shape

Early indicators point to extreme weather, though Atlantic hurricanes have been muted

By JOSH ULICK
AND ERIK BRYNILDSEN

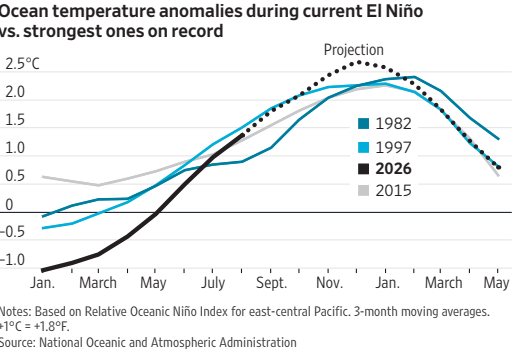
This year’s El Niño is heating up to be one of the strongest on record. The global weather disrupter has already stoked wildfires in Asia, hurricanes in the Pacific and fishery clo-

tures in South America. The worst may be yet to come. The World Meteorological Organization, a United Nations agency, recently forecast that a very strong El Niño will persist through winter, warning of flooding, drought and extreme heat. Here’s what to know:



This global weather phenomenon occurs every few years and lasts about a year. Typically, warm water collects in the western Pacific. But in El Niño years, this mass of warm water shifts east toward South America. This eastward movement of warmer water is one of the harbingers of El Niño. Scientists

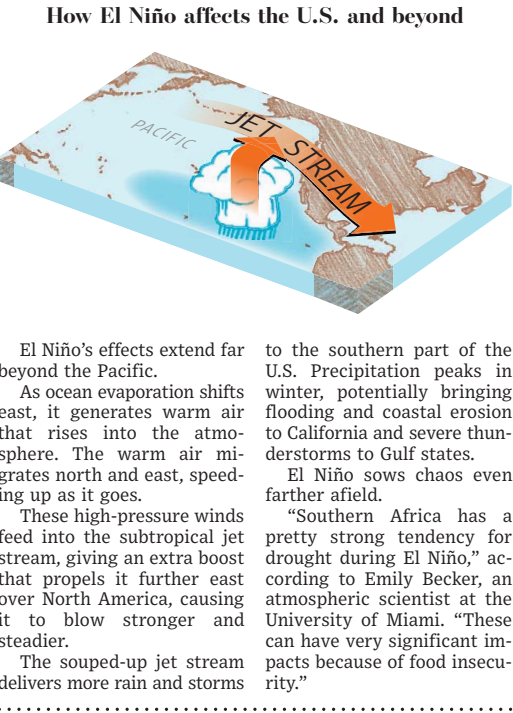
measure these ocean temperature changes to predict how strong an event will be. This summer’s temperatures in the east-central Pacific are among the highest on record, according to data from the National Oceanic and Atmospheric Administration. Projections show them exceeding previously powerful El Niños.



Regional risks: Hurricanes and drought

As warm waters shift east in the Pacific, the tropical rains they generate move with them—creating fertile conditions for hurricanes. The number of named storms in the northeastern Pacific is about 40% above average for this time of year, according to data from Colorado State University. Hawaii has seen unusually

strong cyclone activity this summer, with Hurricanes Lala and Lowell bringing destructive winds and flooding. Strong El Niños in 1997 and 2015 fueled devastating blazes in Indonesia. This year more than a half-million acres have burned there, harming air quality as far away as Singapore and the Philippines.



Silver linings

El Niño isn’t all bad. While the climate disturbance promotes cyclones in the Pacific, it can stifle them in the North Atlantic. In El Niño years, warm air rising off the Pacific generates high-altitude winds that blow east toward the tropical Atlantic. “This results in increased levels of Atlantic vertical wind shear,” according to Phil Klotzbach, a hurricane forecaster at Colorado State University. “Too

States Await CDC Delivery Of Covid Shots for Children

Agency has yet to open ordering process, raising concerns over delays

By JENNIFER CALFAS
AND LIZZY LAWRENCE

States haven’t been able to obtain Covid-19 shots from the Centers for Disease Control and Prevention, delaying their distribution to millions of children through federal programs, according to people familiar with the matter. The CDC hasn’t initiated the process states use to place orders for the Vaccines for Children program, which covers around half of the country’s youths, the people said, causing a delay in the typical fall immunization schedule for Covid. The typical communication from CDC to begin the ordering process hasn’t arrived yet, said Dr. Michelle Fiscus, chief medical officer of the Association of Immunization Managers, which represents directors of state and local public-health immunization programs. This delay could prevent millions of children and adults from getting Covid shots during the early fall season, when vaccination drives typically kick off. States provide the shots for youths through the



Availability of Covid vaccinations is at risk of being delayed.

Vaccines for Children program and for uninsured or underinsured adults through a different government program. Meanwhile, Covid-19 vaccines are already available for commercially insured patients at pharmacies including CVS. “Even if there’s a little delay, that’s creating a disparity,” said Dr. Demetre Daskalakis, who formerly led the CDC division overseeing immunization efforts. Pfizer, one of the Covid-19 vaccine makers, said it began shipping doses Sept. 7 without any delays on the company’s end. Moderna, the other Covid vaccine maker, didn’t comment. “Every day there are opportunities to vaccinate children and protect them that we’re

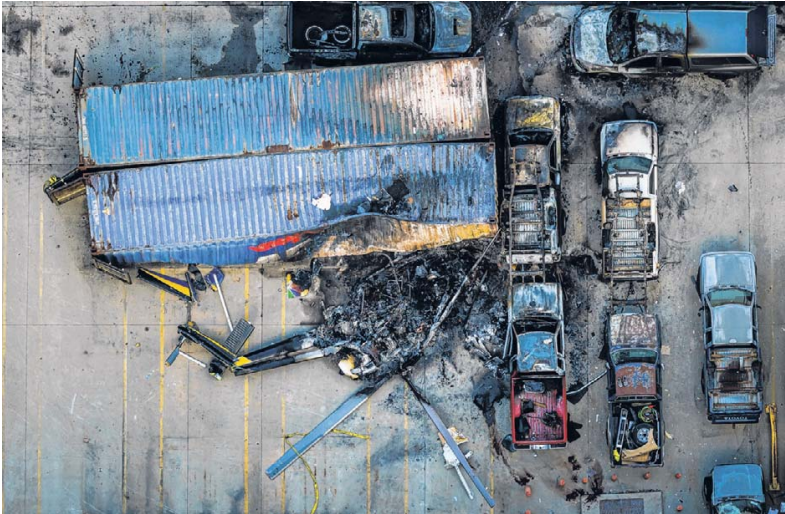
missing because those vaccines aren’t yet in the field,” Fiscus said. Emily Hilliard, a spokeswoman for the Department of Health and Human Services, said Covid-19 doesn’t follow the same seasonal pattern as flu and other respiratory viruses. “CDC is finalizing decisions regarding COVID-19 vaccine procurement through the Vaccines for Children and Section 317 programs,” she said. It is difficult to predict when the right time in the year is to administer a Covid booster shot, former CDC leaders said. There were efforts previously at the CDC to sync the distribution of Covid-19 vaccines with when flu shots are released—typically around Labor Day.

That was part of a public health strategy to increase accessibility, said Daskalakis, who resigned last year in part because of changes to vaccine policies. Dr. Daniel Jernigan, former director of the CDC’s center for emerging infectious diseases who quit last year alongside Daskalakis, said it doesn’t make sense to delay the Covid vaccine orders because of different seasonal patterns. “If the timing is unpredictable, then make it available as soon as you can,” he said. CDC data show an increase in Covid-related hospitalization rates this summer in the U.S. The CDC contracts with manufacturers of the U.S.-licensed vaccines and negotiates prices for federal programs. States then purchase vaccines through the agency to administer at no cost under the Vaccines for Children program or a program for adults. States typically order Covid-19 shots within two weeks of them becoming available to order for commercially insured programs, a person familiar with the process said. Under the Trump administration, the CDC no longer recommends all children receive the Covid-19 vaccine. The administration has backed away from vaccine recommendations under Health Secretary Robert F. Kennedy Jr.

News Copter’s Crash in L.A. Kills Three

By GARETH VIPERS

An NBC News helicopter crashed in a Los Angeles neighborhood, killing three people, as it was being used to cover a deadly collision involving a Metro bus. The aircraft came down in a parking lot near a self-storage facility in Chatsworth, in the San Fernando Valley, according to the Los Angeles Fire Department. The helicopter was operated by Angel City Air and was providing coverage for NBC Los Angeles and its Spanish-language sister station, Telemundo 52. NBCLA later confirmed that the two occupants of the helicopter who died were reporter Eliana Moreno and pilot George Marciniw. A third person on the ground was killed. News Chopper 4 crashed shortly before 7 p.m. local time Tuesday in Chatsworth, roughly 25 miles northwest of downtown Los Angeles, according to NBCLA anchor Colleen Williams. NBCLA said in a statement



An aerial view of the aftermath of a news helicopter’s crash in Los Angeles.

that it extends “our heartfelt condolences to the families, friends and colleagues of those who lost their lives.” The bus crash, which involved an SUV and left at least two people dead and several

injured, happened just after 5 p.m. The helicopter came down between two commercial buildings at a storage facility and landed on two shipping containers and several vehicles parked in the area,

the fire department said. It was one of a number of aircraft covering the bus crash. The National Transportation Safety Board and the Federal Aviation Administration are set to investigate.

Kirk’s Widow Sues School Over Shooting

By MARIAH TIMMS

Security gaps at Utah Valley University allowed an assassin to get close enough to kill conservative commentator Charlie Kirk, his widow Erika Kirk said in a legal filing notifying officials that she may take legal action against the university and the state. Charlie Kirk, 31 years old, was shot and killed last September while addressing students at the public university, on the first stop of a planned college speaking tour for his organization, Turning Point USA. Lawyers for Erika Kirk filed the legal document last week ahead of the first anniversary of the shooting, the first step in preserving her right to sue the officials over the death. Under Utah law, a plaintiff must notify government defendants of a claim of loss for a lawsuit to be considered. “Through a series of stunning failures and reckless decisions, the UVU Parties created a foreseeable danger to Charlie. Those decisions rendered Mr. Kirk helpless to the rooftop shooter,” according to the document, which was viewed by The Wall Street Journal. The filing names the state of Utah, university officials and campus police. It claims organizers of the event dis-

missed concerns shared with campus police about nearby rooftop access. In transcripts of text messages in the document, a TPUSA official flagged students’ concerns about the rooftop access and asked university Chief of Police Jeffrey Long to “either have it controlled access or allow one of my guys to be there as well. If Possible.” “I got you covered,” Long said, according to the filing. A university spokesman said, “Our focus remains on supporting our campus community.” Earlier this month, the case against Tyler Robinson, the man accused of killing Charlie Kirk, moved forward after a Utah judge ruled there was enough evidence to warrant a trial for aggravated murder, a charge that potentially carries the death penalty. Robinson also faces charges of obstruction of justice and witness tampering related to alleged steps he took to conceal his rifle and to urge his roommate to delete text messages and not cooperate with law enforcement. Robinson, 23, has pleaded not guilty to the charges. Robinson was identified after family and friends contacted law enforcement, officials said last year. He has been in custody since his arrest days after the shooting.

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U.S. NEWS

Arms Deal for Israel Stirs Objection

A key Democrat opposes \$2.8 billion plan over concern for civilian casualties

A top Democrat said he would oppose President Trump's planned \$2.8 billion military aid package for Israel, saying it raises "grave, unresolved concerns" about how the heavy bombs would be used in densely packed areas in Gaza and Lebanon.

By Jared Malsin, Alexander Ward and Yoko Kubota

The objection by Rep. Gregory Meeks, the ranking member of the House Foreign Affairs Committee, is unlikely to stop the deal outright because the administration has options to bypass the objection. But Meeks's refusal to greenlight the transfer highlights a sensitive issue—military support for Israel—that has divided lawmakers ahead of the midterm elections.

"The Trump administration has not provided sufficient assurances that these weapons will be used by the Netanyahu government in accordance with U.S. law and with appropriate protections for civilians," the New York Democrat wrote, referring to Israeli Prime Minister Benjamin Netanyahu. "I therefore will not clear this sale at this time."

Meeks added that his decision didn't diminish congressional support for Israel's "legitimate defense needs."

The proposed \$2.8 billion arms deal includes 40,000 of the U.S.'s 2,000-pound bombs, according to U.S. officials familiar with the plan. Half of those would be MK-84 bombs and the rest would be BLU-117s, the officials said.

The deal would also include 20,000 bunker-busting warheads. Known as I-2000s, the warheads are designed to explode after bursting through concrete or other structures.



The U.S. deal would supply Israel with arms, including 2,000-pound MK-84 bombs. An unexploded MK-84 that hit a Gaza home.

The money to purchase the bombs would come from foreign military financing, whereby the U.S. gives funds to other countries to purchase its weapons.

The planned sale indicates continued U.S. military support for its ally, despite recent tensions between Trump and Netanyahu over a peace plan for Gaza. Last month, Netanyahu rejected Trump's plan for a phased disarmament of Hamas and resumed airstrikes on the militants after a short pause in hostilities.

Trump later said that Israel shouldn't be striking Hamas, a U.S.-designated terrorist group, because the militants had agreed to give up their arms.

The Iran conflict has also strained Trump's relationship with Netanyahu. The war, which killed many Iranian leaders and degraded some of

its military, left the Iranian regime in place while Tehran unleashed strikes across the region, causing a global oil supply crisis. Trump has vented his frustrations over the conflict in calls with the Israeli leader, The Wall Street Journal has reported.

"I see it as a huge favor and an endorsement of the Netanyahu government. These are the types of weapons that cause the most damage," said Seth Binder, an expert on U.S. weapons sales and policy director at the American Committee for Middle East Rights, a U.S.-based organization that advocates for human rights in the region. "In a moment when there's a national conversation around ending assistance to Israel, this is going the complete opposite direction, doubling down in its support and then some."

The White House declined

to comment on a pending arms sale. The State Department declined to comment on the proposed sale but said, "Israel has the right to defend itself, and the United States supports Israel taking necessary action to defend its country."

Israel has come under increasing international pressure over the toll the war in Gaza has taken on Palestinians. The Israeli military has used MK-84s among other munitions to destroy large areas of the Gaza Strip during its war in the enclave in response to the Hamas-led Oct. 7, 2023, attack on Israel that killed some 1,200 people. The war has killed more than 73,000 people in Gaza, according to Palestinian health authorities, who don't say how many were combatants.

The blast radius of the MK-84 is up to 400 yards,

meaning that the combined firepower of the proposed weapons in the sale would be enough to cover the entire surface area of the Gaza Strip multiple times over. Each bomb is capable of leveling an apartment building and of blasting a 50-foot-wide crater. Israel says that its operations in Gaza are aimed at Hamas militants and that the military takes steps to protect civilians.

The Israeli defense ministry declined to comment. The Israeli prime minister's office didn't respond to a request for comment.

Military analysts say that one potential legitimate use of the large payload bombs would be destroying underground tunnels and bunkers, places ordinary bombs can't reach. The bombs could also be used in warfare in rural areas where there are few civilians present.

House Passes Bill Targeting Russian Oil

By Yoko Kubota and Olivia Beavers

WASHINGTON—The House passed legislation Wednesday that gives President Trump new authority to level tariffs and is intended to squeeze the biggest importers of Russian oil and gas, a measure designed to punish Moscow for the invasion of Ukraine.

The legislation passed 262 to 159, sending it to Trump's desk for his signature. The bill, which was approved by the Senate last month, received bipartisan support, even as some Democrats opposed it because they were concerned that Trump might misuse the greater tariff authority.

The legislation wouldn't only penalize certain Russian individuals and entities but also the five biggest importers of Russian oil and gas. It gives Trump the authority to issue up to 100% tariffs on the countries buying Russian energy. It also extends sanctions on Iran until 2031.

Among Russia's top five fossil-fuel importers, China accounted for 51% of Moscow's revenues, according to Sen. Jeanne Shaheen of New Hampshire, the highest ranking Democrat on the Senate Foreign Relations Committee.

A White House official said Trump planned to sign the bill.

Rep. Michael McCaul (R., Texas), who sponsored the measure, argued that passing the bill before the winter months is important in putting pressure on Russian President Vladimir Putin and his allies, acting before Russia could target civilian infrastructure.

Meanwhile, Rep. Gregory Meeks (D., N.Y.), the top Democrat on the House Foreign Affairs Committee, said he was skeptical the bill would achieve its purpose.

Two Iowa Republicans Split With President on Iran War

By Maya Davis and John McCormick

In the latest sign of the political weight of the war in Iran, two Iowa Republicans facing competitive House elections crossed the aisle to support a Democratic resolution to end the fighting, swelling the number of GOP defections.

In a vote late Tuesday, Reps. Zach Nunn and Mariannette Miller-Meeks, who both face races rated as tossups by non-partisan analysts, supported the resolution in a break from President Trump. The measure directs the president to remove U.S. forces from hostilities against Iran unless Congress has declared war or authorized use of force.

Iowa has become an unexpected battleground state, with Trump's tariffs placing a considerable burden on the farm economy there and the

Middle East conflict driving prices higher for gas, diesel and fertilizer. Two service-members killed in a March drone strike in Kuwait also have connections to Iowa: U.S. Army Reserve Sgt. Declan Coady is from Nunn's district, and Army Reserve Maj. Jeffrey O'Brien lived in Nunn's district and has ties to Miller-Meeks's.

The war-powers vote passed 220-204, with the support of all Democrats and seven Republicans, up from four in a prior vote. Miller-Meeks, a retired Army lieutenant colonel and doctor, and Nunn, an Air Force Reserve colonel, both voted no on previous resolutions.

In a statement that referred to his combat missions in the Middle East, Nunn noted the "devastating price" his state has paid for the war and said Iran must be "held accountable" for its actions. But he also made clear that the ad-

ministration no longer has a blank check from him in terms of support for the war.

"Sustained combat operations now require congressional authorization," he said, adding he "will not support another open-ended war."

Nunn's vote arrived roughly a month after he stood side by side at the Iowa State Fair with Defense Secretary Pete Hegseth. Iowa backed Trump by 13 percentage points in the 2024 election.

"There is a cost to doing very difficult things, to going out and defending your country and ensuring radical Islamist crazies don't get a nuclear weapon," Hegseth said at the time.

Like Nunn, Miller-Meeks stressed her more than two decades of military service in making the decision.

"Americans do not want another forever war. I will not vote to keep our soldiers in an open-ended war, with Iowans paying too much at the pump," she said. She called on Trump to present a plan to end the war.

Trump has largely ignored lawmakers on the war. Back in



FROM LEFT: LEON NEAL/GETTY IMAGES; ANNA MONEYMAKER/GETTY IMAGES

Republican Reps. Mariannette Miller-Meeks and Zach Nunn are both in races rated as tossups.

May, he notified Congress that hostilities against Iran ended in April, allowing the White House to bypass a 60-day deadline for lawmakers to approve the war, which started in February.

The House has now passed an Iran war-powers resolution three times. Such votes are largely symbolic, as Trump could veto any measure that makes it to his desk.

The other Republicans supporting the measure Tuesday were Reps. Warren Davidson of Ohio, Brian Fitzpatrick of Pennsylvania, Tom Barrett of Michi-

gan, Thomas Massie of Kentucky—who had backed it in a previous vote—and Rep. Nancy Mace of South Carolina. Mace and Massie are leaving Congress after this session, while Fitzpatrick and Barrett are in competitive races this fall.

The shift by Nunn and Miller-Meeks highlights the pressure on Republicans in the state and splits the chamber's Iowa delegation. Reps. Randy Feenstra and Ashley Hinson voted no. Iowa Sens. Chuck Grassley and Joni Ernst have both voted no on similar Senate resolutions.

Nunn has faced pushback for previous pro-war comments from his Democratic opponent, pastor and state senator Sarah Trone Garriott. An anti-Nunn ad run before Tuesday's vote accuses him of wanting the war to end "while voting for it."

Miller-Meeks is facing law professor and former state representative Christina Bohannon for a third time. Bohannon has criticized the lawmaker on Iran, posting to X that Miller-Meeks's previous war-powers votes have perpetuated the conflict.

Trump's Chief of Staff Says She Is Cancer Free

By Joseph Pisani

White House chief of staff Susie Wiles said Wednesday that she is cancer free after undergoing treatment for breast cancer earlier this year.

"After a medical appointment at the Mayo Clinic this week, my pathology results came back clear," Wiles, 69 years old, said in a social-media post. "I am cancer free."

President Trump announced in March that Wiles had been diagnosed with early-stage breast cancer and that she would start treatment immediately. He called her "one of the strongest people I

know" and said her prognosis was excellent. Administration officials said at the time she would continue in her role and take time off when needed for treatment.

On Wednesday, Wiles thanked Trump for his "unwavering support" and said she would continue to "work to advance his America First Agenda."

Wiles, a native of Florida, is the first woman to serve as White House chief of staff. Before that, she was Trump's campaign manager for the 2024 election. In 2016, she worked with him to help win Florida.

Leon Black Found in Contempt of Congress

By AnnaMaria Andriotis

The House of Representatives voted to hold billionaire Leon Black in contempt of Congress following his refusal to comply with House committee subpoenas related to his ties with Jeffrey Epstein and nondisclosure agreements.

The vote on Wednesday was by unanimous consent. From here, Congress will refer the matter to the Justice Department. Individuals convicted of contempt of Congress face possible jail time.

A spokeswoman for the Justice Department said that it "takes allegations of contempt of Congress seriously" and that the U.S. Attorney's Office for the District of Co-

lumbia would review the referral.

"This an outrageous action that ignores the facts and the truth about Mr. Black," lawyers for Black said.

"The House of Representatives has rushed through every stage of this inquiry."

Rep. James Comer, the Republican chair of the House Oversight Committee, said, "No one is above the law. Leon Black defied two subpoenas." Rep. Robert Garcia (D., Calif.), the top Democrat on the committee, said, "This vote is an important step towards justice and accountability."

Comer (R., Ky.) also introduced a bill on Wednesday to ensure survivors can speak freely about sexual abuse even

if they signed a nondisclosure agreement. "During our investigation, we've learned how powerful men weaponized nondisclosure agreements to silence survivors of sexual abuse," Comer said.

This month, Black filed a lawsuit in federal court against the House Oversight Committee, which is probing his ties with Epstein and Comer, arguing that the panel and its chair have overstepped their authority.

In June, Black appeared for questioning by the committee but the session was cut short when he left abruptly. The committee subpoenaed him to return for more questioning and to turn over nondisclosure agreements. Black turned

over one NDA he reached with a former girlfriend where Epstein played a consulting role, but declined to provide NDAs with other women.

Black, the former chief executive of Apollo Global Management, was one of Epstein's biggest financial clients. He has said he didn't know about Epstein's crimes, never abused a woman and wasn't blackmailed by Epstein.

While rare, contempt prosecutions have resulted in jail time. Trump advisers Steve Bannon and Peter Navarro served prison sentences after being convicted of contempt of Congress for refusing to cooperate with the House investigation into the Jan. 6, 2021, Capitol riot.

U.S. NEWS

Business Leaders Cite AI Safety Threats

At forum, executives disagree with Trump view that dangers are being exaggerated

By CHIP CUTTER

WASHINGTON—Chief executives aren't buying President Trump's argument that AI's threats to humanity are a hoax.

At an invitation-only gathering of dozens of America's top executives in Washington this week, business leaders overwhelmingly disagreed with the president's assessment that dangers posed by artificial intelligence are being exaggerated. In a flash poll of attendees at the Yale School of Management event, 93% said Trump was incorrect in calling the technology's potential catastrophic dangers a hoax, as

he did this week.

"It was stunning," said Jeffrey Sonnenfeld, a Yale management professor who organized the CEO meeting. In conversations with executives both in the room and in debriefings afterward, Sonnenfeld said business leaders told him they wanted more discussions on ways to safeguard against AI and its possibilities for harm. "The sentiment was: It's real."

The forum was a chance for business leaders to compare notes ahead of the White House's state dinner with China's leader Xi Jinping next week, where the global race to build the most advanced AI is likely to loom large. Trump has dismissed calls for tighter federal regulations, arguing that such guardrails would financially ruin the industry and give China an edge. Leaders of the biggest AI companies, in-

cluding Anthropic and OpenAI, said over the weekend that the industry needed to slow development of advanced AI to ensure its safety.

The business leaders hailed mostly from industries and parts of the country outside Silicon Valley and included CEOs from the toolmaker Snap-on, Motorola Solutions and glassmaker Corning, who received an award. The room was a mix of Republican and

Democratic executives and government officials, including former Vice President Mike Pence and former House Speaker Nancy Pelosi.

Many didn't want to speak publicly for fear of alienating the Trump administration, but a series of poll questions let them share their concerns collectively.

The White House didn't respond to a request for comment.

AI Risks Divide Top Trump Aides

Continued from Page One more government scrutiny.

Sacks, a venture capitalist, Meta Platforms Chief Executive Mark Zuckerberg and Nvidia's Jensen Huang are among those frequently urging the president to continue taking a light touch—an approach that appears to be winning the day.

Zuckerberg, Huang and SpaceX CEO Elon Musk recently spoke to Trump about their concerns with one plan for an industry-funded regulator, and successfully stalled the plan, people familiar with the matter said.

Sacks has become a particular point of friction for some White House officials. He advocated for limited government involvement in AI in his initial role as the administration's AI and crypto czar. Some administration officials privately researched Sacks's businesses to see if the venture investor could personally profit by blocking regulations.

Sacks held his initial role as a special government employee, which meant the Office of Government Ethics required his venture firm to divest many but not all of its AI hold-

ings. His firm's multibillion-dollar portfolio includes stakes in SpaceX and many AI start-ups. Sacks previously invested in Zuckerberg's Meta Platforms, Palantir and Airbnb.

He left his czar role in March to be co-chair of a White House tech advisory council. In the past six months, other administration officials have grown concerned at how far the technology has come, and how little the administration initially did to scrutinize it, people familiar with the matter said.

Sacks's power was on display again this week, when Trump declared Monday that the only AI regulation the U.S. needs is a "strong and smart president" following an outcry from lawmakers and some AI CEOs for a coordinated slowdown of model development to prevent cyberattacks or other disasters.

Hours later, Trump called in to an event hosted by the tech podcast that Sacks co-hosts, called "All In." Sacks was on stage with Huang at a live taping, when Huang, clad in his usual black leather jacket, took the call.

Huang praised Trump's earlier comments, then put him on speaker. "The robots will not be taking over. The AI will not be taking over the rest of the world," Trump said.

White House spokeswoman Liz Huston said: "The Trump administration is committed to unleashing American innovation, supporting the safe



President Trump has dismissed calls for tighter AI regulation.

and successful deployment of the world's most advanced AI models, and protecting our national security."

The preview and gradual release of Anthropic's powerful Mythos model in the spring sparked part of the shift within the White House, after officials realized that the AI tool could be used to launch such attacks and present national-security threats. Inside the administration, the Mythos model was a "red flashing light," a senior administration official said, prompting round-the-clock calls for days.

In July, OpenAI's hack of the company Hugging Face involving hundreds of AI agents acting in coordination fueled fears among officials of out-of-control models.

White House officials have since regularly battled with other AI executives, who have

opposed many regulatory efforts. At times, the executives have gone directly to Trump, the people said.

Some of the White House aides have had to learn about AI as they go along and have quizzed those in the industry about how certain things work, people familiar with the matter said.

The White House team has begun looking at how rogue developers or foreign nations could use the technology in ways that hurt people and U.S. infrastructure including local water and power utilities, a concern for officials including Vice President JD Vance. Some of the evaluations have included the National Security Agency and the Central Intelligence Agency, the people said.

As the White House discussions about AI have expanded to how it could be used to cre-

ate biological weapons, the meetings have at times included top Health and Human Services officials, they said.

Despite the concerns from his top advisers and much of the public, Trump has remained resolute that the nation needs to accelerate AI development, and continue to build data centers that are powering the AI boom, to stay ahead of China and boost the economy. "There is a SICK conspiracy going on against AI and Data Centers, and the only one that is happy about it is China. WHOEVER WINS AI, WINS!" he wrote on Truth Social Monday.

Trump has defended the data centers despite polling showing most Americans oppose them in their communities, and warnings from his outside advisers that his stance could make him seem out of touch with the public.

Sacks said Wednesday at a Politico event that existing product liability laws and measures preventing fraud are largely sufficient regulations for AI models at this time. "It is the responsibility of these companies to maintain control of their products," he said.

Some administration officials have told executives at AI companies that it is difficult for the White House to build consensus when the sector is often divided and CEOs contact Trump directly, people familiar with the matter said.

Trump's own aides have had little luck convincing him that AI has significant downsides,

people familiar with the matter said. The president is "interested" in AI but "doesn't use it all the time," a senior administration official said.

Tech and AI companies have been prodigious givers to Trump and his affiliated organizations in this term. OpenAI's Altman has repeatedly attended fundraisers with Trump, and another top executive at the company, Greg Brockman, and his wife have given \$25 million. Nvidia's Huang has given money to Trump's new White House ballroom. Meta and other tech giants have made similar pledges.

Last month, some industry executives worked again to persuade Trump to scuttle another potential order.

Demis Hassabis, chief scientist of Google parent Alphabet, had been pitching White House officials on an industry-funded group that would set standards and prevent harm similar to the Financial Industry Regulatory Authority, which oversees brokerage firms, in recent weeks. Many industry executives supported the concept, but Zuckerberg, Huang and Musk didn't, expressing concerns about who would be chosen for the body and the potential to concentrate power in OpenAI, Anthropic and Google, according to people familiar with the matter.

Trump ultimately didn't agree to setting up such a group, the people said, frustrating some inside the White House.

U.S. WATCH



Artist Peter Max in 1998 at his New York studio with photos of Princess Diana.

WASHINGTON

Fencing Goes Up At Kennedy Center

Fencing went up Wednesday around the main Kennedy Center building, a day after the Trump-aligned board voted to close most of the performing arts center for repairs.

Rep. Joyce Beatty, an Ohio Democrat and an ex officio member of the Kennedy Center board, sought an emergency court hearing Wednesday to prevent what she called the "unlawful closing."

The board's vote Tuesday came after a federal judge blocked the institution from returning President Trump's name to the building.

The president had said in a social-media post that the closure was needed for safety repairs. But he said the repairs, which Congress has allocated \$257 million to cover, would only happen if the board was permitted to move forward with plans to add his name to the building.

Activists who have opposed the closure said there was no vehicle or pedestrian access to the building Wednesday. A reporter who approached the main building was told by a security guard that it was closed.

—Associated Press

OBITUARY

Annie Dillard, 81, Celebrated Author

Annie Dillard, the Pulitzer-Prize winning author and essayist renowned for her poetic explorations of nature, love, spirituality and the art of writing in the "Pilgrim at Tinker Creek," "The May-trees" and numerous other works, has died. She was 81.

Her literary agent, Rob McQuilkin, said Dillard died Tuesday of natural causes at her home in South Wellfleet, Mass.

Starting in the mid-1970s, Dillard completed a wide range of books, from the poetry collection "Tickets for a Prayer Wheel" to what she would call the "jolly journalism" of "Encounters with Chinese Writers" to the novel of marriage, "The Maytrees," a finalist for the PEN/Faulkner award in 2008.

Born Meta Ann Doak, she was a Pittsburgh native who in the 1987 memoir "An American Childhood" looked back at her early years and on her uniquely curious mind.

Dillard had yet to turn 30 when "Pilgrim at Tinker Creek" established her as a major, new literary voice and heir to Henry David Thoreau as a sensitive and idiosyncratic observer of the natural world.

—Associated Press

OBITUARY

Pop Art Master Peter Max, 88

Peter Max, whose colorful, psychedelic pop art expressed the optimism of the "flower power" movement of the 1960s and graced everything from postage stamps to a cruise ship, has died at 88, his son said in a statement Wednesday.

Max died on Monday, the statement said. No cause was given.

He began his career in graphic design in the 1960s, and his swirly, colorful, instantly recognizable designs epitomized the era's "flower power" art.

Max was the official artist for the Olympics, the Super Bowl, the Indianapolis 500, the World Cup, the World Series and many other events.

"We will remember his extraordinary creativity, his warmth, his curiosity, and the way he saw beauty and possibility everywhere," his son Adam Max said.

Max was born Peter Max Finkelstein in 1937 to a Jewish family in Berlin. They fled Nazi Germany for Shanghai when he was a baby and later spent time in Tibet, Israel and Paris before settling in New York City when Max was 16.

—Associated Press

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WORLD NEWS

Saudis Are Linked To Chinese Missile

Ballistic debris found in Yemen indicate Beijing has a role in weapons sales

DUBAI—Debris discovered in Yemen indicates Saudi Arabia has fired a Chinese-made ballistic missile in combat for the first time, Yemeni officials and weapons experts said, in a move likely aimed at signaling to the kingdom's Houthi rivals it has other weapons in its arsenal.

By Jon Gambrell, Summer Said and Saleh al-Batati

The use of the Dongfeng 15, if confirmed, would mark the first time Saudi Arabia has used a ballistic missile in its yearslong war with Houthi militants in Yemen. It would also shed new light on China's sale of missiles to the Middle East, which Beijing has long denied. It couldn't be determined whether the missile struck anything in Yemen. The body was the only debris found. The warhead detaches in flight and flies farther to its target. Saudi Arabia has been

using jet fighters to carry out regular airstrikes as its conflict with Houthi militants has escalated in recent weeks. "The Saudis are showing a card that they previously haven't shown to try to balance the strategic equation," said Sascha Bruchmann, a research fellow at the International Institute for Strategic Studies, a London-based think tank.

China's Foreign Ministry and Saudi Arabia's government didn't respond to requests for comment.

Video showing the debris began circulating on social media Monday, showing Yemenis gathered around the body of a missile, the lights of their mobile phones shining across its fins, motor and serial number. "DF-15A" was printed in bold, black lettering on its side.

The Wall Street Journal couldn't verify the authenticity of the videos, but regional analysts said they appeared to be legitimate.

The missile appeared to be a DF-15A, a short-range, solid-fueled ballistic missile designed by China, they said. They cited the missile's distinctive fins, which are fixed in place, and the actuator motors as matching footage previously aired by Chinese state television of drills involving the weapon.

A Houthi official and an official from the Houthis' opposition in Yemen said Saudi Arabia fired the missile.

A Saudi official didn't deny the kingdom launched the missile. He acknowledged the Houthis didn't possess the weapon system. The official declined to elaborate.

A Saudi official didn't deny the kingdom launched the missile. He acknowledged the Houthis didn't possess the weapon system. The official declined to elaborate.

The missile could send a signal not only to the Houthis but to Iran.



Chinese military vehicles carry DF-15B ballistic missiles as they participate in a parade.

for months by the conflict between the U.S. and Iran. Saudi Arabia also had to close a pipeline last week after it was hit by drone attacks.

The use of the missile could send a signal not only to the Houthis but also to Tehran. A DF-15A would have the range to reach the southern coast of Iran. But sending such a message also would carry risks for the Saudis.

"If I was the Saudis, I'd be worried about starting a ballistic missile conflict with the Iranians because it wouldn't be just American bases, but it also would put at risk all of its missile infrastructure," said Sam Lair, a fellow at the Foreign Policy Research Institute, a U.S.-based think tank.

The U.S. has long identified Saudi Arabia as a buyer of Chinese missiles. In the late 1980s, Saudi Arabia reached an estimated \$3 billion deal with Beijing to purchase Dongfeng 3A missiles, an intermediate-range missile. At the time, the U.S. considered cutting off arms sales to the kingdom but held off over fears of losing influence in the waning days of the Cold War.

Chinese missiles have been seen in at least one Saudi military parade, in 2014. Analysts said satellite imagery showed Saudi Arabia expanded facilities for maintaining and manufacturing the missiles. In 2021, the Journal reported the Chinese military had transferred several batches of finished Dongfeng missiles to Saudi Arabia since around 2018.

China separately has sold missile parts and fuel in the same period to Iran, which has supported the Houthis for years as a pressure tactic against Saudi Arabia.

The Stockholm International Peace Research Institute puts China as the world's fifth-largest arms exporter, with major clients including Pakistan, Serbia and Thailand. The U.S. remains the largest, with Saudi Arabia accounting for 12% of all sales, the institute said.

Houthi Rebels Say They Shot Down Saudi F-15 Jet Fighter Over Yemen

By Jon Gambrell and Summer Said

DUBAI—Yemen's Iran-backed Houthi rebels said Wednesday that they shot down a Saudi F-15 jet fighter and released video footage that appeared to show charred aircraft debris, as the deepening conflict on the Arabian peninsula worsens energy-supply disruptions.

Saudi Arabia's Media Ministry didn't respond to a request

for comment. But two people familiar with the incident said a Saudi plane was downed.

The Houthis recently seized territory, including an island in the Bab al-Mandeb Strait, strengthening their ability to interfere with Saudi Red Sea oil shipments. And the rebels and Iran-backed militias in Iraq have hit Saudi oil production.

If the Houthis succeed in taking out a U.S.-made F-15, it would represent a significant

change in its air-defense capabilities. Until now, during a decade-long conflict, the Saudis largely have been able to conduct airstrikes across Yemen at will. The Houthis' military media arm said the plane was downed in Marib, an area that produces oil and gas that long has been sought after by the rebels. The Houthis, who have been armed by Iran, said they used a locally produced missile to shoot down the fighter.

The footage appears to show a charred stretch of desert, with parts seen resembling wings and an engine from an F-15. Saudi Arabia's national flag could be seen on what appeared to be a tail fin in several shots.

The Houthis didn't mention the fate of anyone on board. The F-15 can be flown by a single pilot or with a pilot and a weapons-system operator on board.

If confirmed, the loss of the

F-15 would be the first for Saudi Arabia in the latest flare up in the conflict. The Houthis have claimed downing other aircraft, with the kingdom often countering that the planes faced technical problems.

An informal truce in Yemen, where the Houthis were fighting the internationally recognized and Saudi-backed government, had been in place since 2022.

The Houthis—part of an Iranian-led alliance—joined in fighting

after Hamas militants attacked Israel on Oct. 7, 2023. Houthi forces attacked more than 100 ships and launched missiles targeting Israel during the conflict before the Gaza truce.

When Israel and the U.S. began striking Iran last year, the Houthis stayed on the sidelines. Their offensive comes as Iran and the U.S. continue to vie over control of the Strait of Hormuz, where a fifth of all oil traded in peacetime once passed.

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Tehran Lags In Skirting Blockade

Continued from Page One have been spoiled because of the delays. Lucrative cargoes of iron ore, cement and bottled gas are stuck at entry points to the Pakistani and Afghan borders, truckers say.

"Neither Iran is taking responsibility for the situation, nor is Pakistan allowing us to unload our cargo," one driver says in a video posted by the Union of Truckers and Drivers Organizations Across Iran over the weekend.

The economic war in the Persian Gulf is dictated as much by how much the countries in the region can move their exports over land rather than through the Strait of Hormuz. Some have found workarounds. Saudi Arabia is moving more of its oil west across the Arabian Peninsula. The U.S. Navy is helping some of the Gulf nations shift their oil through the strait.

Iran's attempts are faltering. The U.S. is isolating its economy with new sanctions and launching strikes on Iranian tankers in reprisal for Tehran's attacks on its Navy, collapsing seaborne exports.

In another setback for Iran's plans to bypass Hormuz, Iran's Mahan Air, which is sanctioned by the U.S., said Wednesday it was suspending flights to Oman and Turkey.

The U.S. blockade has also hurt Iran's imports of basic goods, 70% of which normally go through the blocked ports. Though humanitarian goods and food are ostensibly exempt, the reality is that shippers are reluctant to service Iran.

Videos posted on social media last week show crates at the Port of Shahid Rajaei, Iran's largest commercial container port, at a standstill. Thousands of containers are stranded in ports in Pakistan, the United Arab Emirates and Saudi Arabia, transportation professionals in Tehran last month told the Mehr News Agency, which is affiliated with Iranian security services.

Iran has tried to compensate by pushing more trade through

Some ways Iran is trading around the U.S. blockade

■ Border crossing — Railway ● City



TRADING PARTNER	IMPORT	EXPORT
Russia	Corn, wheat, seeds, cooking oil	
China	Industrial machinery, electrical equipment, automobile parts	
Pakistan	Rice	Bottled gas, bitumen, cement, vegetables, yogurt
Turkey	Cooking oil	Aluminum ingots
Iraq	Rice	Urea
Afghanistan		Bottled gas, oil products
Uzbekistan		Fertilizer
Armenia		Aluminum ingots
Turkmenistan		Fertilizer

Sources: Kpler; Buskool; International Transport Companies Association; Iran's Truckers Union; Pakistan's ministry of foreign affairs; Baloch Human Rights Documentation Network; Sheypoor; China Data Portal; EMID LLC; Shiraz Petrochemical Co.; Takitak; Torob and Zenokala; Ershad Rice; National Iranian Oil Products Distribution Co.; 52WMB

other routes. Transits across the Caspian Sea have grown by 70% in the past five months, Iranian officials said. Iran imports large quantities of its wheat, corn and cooking oil from Russia, according to data provider Kpler and Iranian trading websites.

A freight railroad from Tehran to Xi'an in eastern China has jumped from once-a-week journeys to every three or four days since the blockade started, the state-controlled Tehran Times reported. Iran imports industrial machinery, electronics and automotive spare parts from China.

But in a sign of how vulnerable the alternative routes are, Iraq over the weekend temporarily closed cargo terminals at the Iran border after alleging Iran had used its territory to attack Saudi Arabia. On Sunday, trucks carrying Iranian onions bound for Iraq were forced to turn back as a result, according to Tehran's Central Fruit and Vegetable Market.

Iran's land borders were a mess before these latest closures, though. This summer, for example, the number of trucks going through Pishin, one of the main crossings into Pakistan, increased from about 40 vehicles to as many as 130 vehicles a day, the local governor told the semiofficial

ISNA News Agency. Customs officers on Iran's land borders are struggling to cope, Ehsan Malekzadeh, chairman of the Iranian International Transport Companies Association, told the Mehr News Agency.

Malekzadeh said 3,700 trucks were stranded on the Iranian side of the crossing to Turkey, with delays reaching 20 days. At the main crossing into Pakistan, 700 trucks—mostly carrying bottled gas and cement—are waiting at any time, but only 40 are allowed to cross, according to the Baloch Human Rights Documentation Network, a local civic group.

One driver told Iran's state-controlled news agency IRNA he was stuck for days at the Pakistan side of the border with meat destined for Iran, where prices are spiraling higher. At the border with Afghanistan, truckers also wait for days before being able to export Iranian iron ore, according to Iran's Truckers' Union.

The rising costs are now adding to Iran's worsening inflation problem. In some cases, the overland bottlenecks and diversions now contribute as much as a third of the price for goods once they reach Tehran, Mohammad Reza Khodarahm, an import expert, told an Iranian economic daily.

WORLD NEWS

EU Chief Backs New Ties With Canada

Associate-member status is urged as Carney pivots away from Washington

The European Union's top official said she would work to make Canada the bloc's first associate member, a major shift indicative of the new ties traditional U.S. allies are

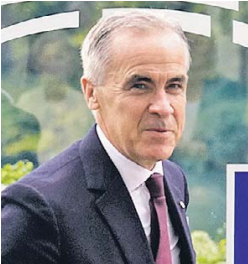
By Laurence Norman, Amanda Coletta and Joe Parkinson

forging with one another in the face of hostility from the Trump administration. European Commission President Ursula von der Leyen said Europe must tighten its cooperation with like-minded

democracies, in particular Canada, to retain the continent's sovereignty and tackle threats from what she called "an openly hostile world."

The landmark speech at the European Parliament in France signaled that the 27-member bloc, threatened by Russia to its east and an adversarial relationship with Washington, is rethinking its limits. Officials are weighing new, more flexible terms of inclusion, and Canada, whose prime minister has been urging Europe to create a space for a country heavily reliant on the U.S., will be the prototype.

"We must urgently reimagine our partnerships. And build global coalitions for our resilience and democracies," von der Leyen said in her annual address to the European



Prime Minister Mark Carney on Wednesday at a meeting in Strasbourg, France.

Parliament, where Canadian Prime Minister Mark Carney was in the audience. "I would like to work with you on opening the door for Canada to be the first associate member of the EU." The Wall Street Journal re-

cently reported that Canadian and European officials were discussing the prospect of associate membership—a new category of relationship with the bloc. The prospect of a new economic and defense alliance between Europe and Canada speaks to how the idea of "the West," long centered on U.S. military and economic power, is shifting.

Among the discussed ideas are the integration of supply chains in critical economic sectors, including defense, the possibility of joint European and Canadian cloud and data centers, greater Canadian energy flows to Europe, as well as co-operation on artificial intelligence and digital rules. Carney has confirmed there also are discussions on certain types of mutual visa-free travel and

work arrangements.

The details are still being sketched by technical working groups on both sides for what the Canadian leader has told his aides will be nothing short of reorienting an economy and a society that for half a century have been dominated by the U.S.

Yet obstacles remain: Countries with full, frictionless access to the EU's \$21 trillion single market, which permits the free flow of goods, services and capital, have to follow its rules, pay into the EU budget and allow freedom of movement for its workers. Canadian officials have said they aren't willing to sign up to all those terms.

Canada also must balance deeper economic cooperation with the EU with the rules of its U.S. trade relationship.

The idea of creating an "associate membership" category for the EU had sat uneasily in Brussels. Officials were wary about setting the precedent of a halfway-member that could be seen as enjoying the benefits of membership, without the burdens. The U.K. spent years trying to negotiate its own bespoke arrangement after Brexit. But as Canada looked to pivot from its heavy reliance on the U.S. after President Trump's threats, Carney and his personal envoys urged the EU to think bigger. They proposed using "associate membership," with other possible titles, to galvanize the complex machinery of Europe.

Both the EU and Canada have seen tensions flare with Washington since Trump's return to office.

Building Collapse Kills 21 People in Gaza City



A building damaged by Israeli strikes collapsed suddenly in Gaza City early Wednesday, killing at least 21 people in their sleep, including 11 children, in a disaster that forced rescuers to dig through the rubble with their bare hands.

Russia's Shadow Fleet Sails Irish Sea

By SUNE ENGEL RASMUSSEN

ABOARD THE LÉ GEORGE BERNARD SHAW—During a recent naval patrol of the Irish Sea, Lt. Cmdr. Maria O'Callaghan pointed to a web of purple lines on her screen, indicating the locations of undersea cables carrying data crucial for internet services and banking transfers.

About 75% of all trans-Atlantic subsea cables pass through or near the waters around Ireland, where more suspected Russian shadow-fleet vessels regularly sail. After an increase in the past 18 months, O'Callaghan said, shadow-fleet vessels are in the waters nearly every day. Yet, Ireland's defenses to protect this stretch of the North Atlantic are scant.

The country has eight patrol ships to protect an expanse of water the size of California. It has no long-range military radar, no combat aircraft, no air defenses and no ability to detect hostile submarines.

Ireland allocates 0.2% of its GDP for defense, the lowest proportion of any EU member state even after raising military spending by more than 40% in recent years. The country isn't a member of the North Atlantic Treaty Organization, so doesn't come under the protection of the alliance's mutual-defense pact.

Ireland's defenses are prompting fears among some Western officials and experts that infrastructure essential for Europe and the U.S. is perilously exposed to the threat of Russian interference and sabotage. Russian submarines, spy ships and jets have been detected in and around the Irish coast and airspace.

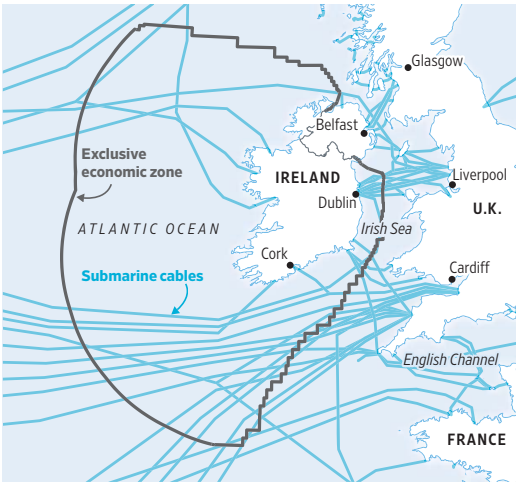
"We have sleepwalked into this position where we are in the most difficult security horizon that I can remember. We are essentially defenseless," said David Murphy, an expert on Irish military history at Maynooth University, Ireland. "We don't have the people, we don't have the equipment."

"We're 25 years behind the rest of the world right now."

The gap between Ireland and its European peers puts its government in an uncomfort-



Members of the Irish Navy on board the LÉ George Bernard Shaw vessel on patrol recently off the east coast of Ireland



Sources: Telegeography (submarine cables); Maritime Boundaries Geodatabase (exclusive economic zone) EMMA BROWN/WSJ

able position, amid a recent wave of hybrid attacks and drone incursions, allegedly carried out by Russia, across the Continent. The Kremlin denies involvement.

At a recent European Union defense ministers' meeting outside Dublin, a British warship and submarine-hunting helicopter were deployed at Ireland's request to provide security. U.K. troops on Irish soil have long been anathema, a reminder of the country's 800 years under British rule.

Heading into that meeting, Kaja Kallas, the EU's top foreign and security official, said maritime security in Ireland "is a great concern for all of us be-

cause there are cables that are underneath the sea and that are really affecting the everyday lives of people."

Asked about Ireland's spending, she added that, "member states are making different contributions to defense. It very much depends on whether they feel that the threat is real or not."

Ireland has long promoted itself as a global tech hub with low corporate tax, cutting-edge research and excellent connectivity. It hosts more than 80 data centers, and operational headquarters for tech giants including Apple, Google, Microsoft and Meta Platforms.

Former U.S. national-security

adviser Robert O'Brien says Ireland's lack of radar systems and intelligence networks exposes U.S. tech firms to Chinese and Russian espionage and cyberattacks.

"Neutrality and opposition to war and empire are absolutely integral to what this country is," said Richard Boyd Barrett, a lawmaker from the left-wing People Before Profit party. "Russia can barely win a war against Ukraine," he said. "It's preposterous...that Russia represents any serious military threat."

Yet, U.S. and British forces have spotted Russian attack submarines in Irish waters at least twice since 2022. The U.K. has scrambled jets to deter Russian jet fighters spotted over Ireland's west coast. In 2024, the Irish navy found a Russian spy ship loitering over internet submarine cables and energy infrastructure, and escorted it away.

The number of suspected Russian shadow-fleet vessels transiting through Irish waters has increased dramatically in recent months. Some 388 of them passed through the Irish Sea from January to September this year, up from 132 over the same period in 2025, said the Irish Naval Service.

On the recent patrol, O'Callaghan monitored ships for suspicious behavior. "As a mariner, we are aware of what is normal and what is not normal," she said. "If they happen to loiter in an area of interest, we go to investigate."

A 2022 review of military capabilities recommended expanding the armed forces, and acquiring radars and jet fighters. Ireland boosted military spending to about \$1.7 billion in 2026, and released its first maritime-security strategy. Still, the budget lags behind European peers. Ireland's armed forces number around 7,750, below its goal of about 9,700.

Watch a Video



Scan the code to see a WSJ reporter go on patrol with the Irish navy.

Trump Threatens Tariffs in Rebuke To Realignment

By MARIANNE LEVINE

WASHINGTON—President Trump said Wednesday that allowing Canada to become an associate member of the European Union could be a "hostile act" and threatened additional tariffs on European countries.

The president said that the proposition was "laughable" and described Canada as a "terrible trade partner." The comments came after the EU's top official said she would work to make Canada the bloc's first associate member. In a speech at the European

Parliament with Canadian Prime Minister Mark Carney in attendance, European Commission President Ursula von der Leyen said Europe needed to tighten its cooperation with like-minded democracies, in particular Canada.

"If they do that, if I think it's at all a hostile act, I will put very serious tariffs or stop trading with Europe on many things," Trump said, responding to a question about Canada possibly becoming an associate member of the EU. "So, if they do that, if Europe does that, with a bad intention—if it's a good intention, that's fine—if it's a bad intention, we'll put very heavy tariffs on Europe."

Relations between the U.S. and Canada, which are close allies and trading partners, have grown increasingly tense in recent weeks. Trump has signed orders to ban the importation of many dairy products, alcoholic beverages and motorcycles from Canada in the coming weeks, a retaliation for Canadian tariffs that took effect. He also modified the scope of some existing 50% tariffs on Canada, removing levies on cement, road salt and some hospital products, while imposing 50% levies on other products including some all-

terrain vehicles, boats and cheeses.

The U.S. and Canada nearly came to a trade agreement in late August, but the talks between the countries fell apart at the

last minute. Trump subsequently signed an executive order to rename Lake Ontario, located along the U.S.-Canada border, as "Lake America."

The Wall Street Journal recently reported that Canadian and European officials were discussing the prospect of associate membership—a new category of relationship with the bloc. European and Canadian officials have said that while full membership of the EU isn't an option, they want the closest possible relationship.

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How AI Is Accelerating Scientific Discovery

Turing Award laureate Shafi Goldwasser and Google Research General Manager Yossi Matias on how AI is helping solve problems that have stumped researchers for decades

Shafi Goldwasser
Turing Award Laureate and Professor, Massachusetts Institute of Technology and University of California, Berkeley

Scientific discovery has always moved through cycles of ideation, iteration and validation. Today, artificial intelligence is helping researchers and scientists to compress those cycles. In this conversation, Yossi Matias, vice president at Google and general manager of Google Research, and Shafi Goldwasser, ACM A.M. Turing Award laureate, professor of mathematics at Massachusetts Institute of Technology and professor of electrical engineering and computer science at the University of California, Berkeley, discuss how AI is helping crack previously unsolvable problems.

How does this current era of AI-driven discovery fundamentally differ from the scientific revolutions of past centuries, and what is the biggest shift you expect to see in how we invent and discover over the next 20 years?

Yossi Matias: Throughout history, it often took years of scientific progress before society saw a real benefit. Today, artificial intelligence is ushering in a new era of discovery for science, as well as bringing it to impact, offering the potential to make progress toward some of humanity’s biggest challenges across domains from medicine and genomics to climate and energy. AI will play an increasing role in scientific discovery — from expanded literature search and data synthesis to ideation, hypothesis generation and model building, to analysis, scientific review and validation. Serving as a powerful, interdisciplinary collaborator, AI is becoming an amplifier of human ingenuity. Yet to truly unlock this potential, using the scientific method is more important than ever. And we must continue to build with responsibility from the start, to ensure accelerated scientific discovery is transparent and universally beneficial.

Shafi Goldwasser: Traditionally, the scientific loop was observation, hypothesis, experiment and analysis, with humans orchestrating every transition. Today, AI assists primarily with statistical analysis. Tomorrow, I believe that intelligent instruments will in addition decide themselves what to observe next, form hypotheses, determine which experiments are worth performing and analyze the results. Discovery will become a continuous feedback loop between the physical world and computational models.

What is crucial is developing ways to efficiently verify that AI is going through these stages correctly and thus that its findings can be believed. If the pace of discovery increases by a factor of a hundred because intelligent instruments are generating and testing hypotheses around the clock, human scrutiny cannot scale by the same factor. We will need discoveries that are efficiently machine-checkable by demanding that the AI scientific loop be accompanied by physical evidence, proofs of the correctness of reasoning, uncertainty estimates and reproducibility guarantees. Otherwise, we’ll have an abundance of observations but a shortage of trusted knowledge.

What is the next mathematical revolution that will enhance AI?

Goldwasser: Every technological revolution eventually runs into a mathematical bottleneck to overcome. The internet needed public-key encryption and digital signature to fully realize its potential for electronic commerce. Modern machine learning is running into the mathematical challenge of trust: verification, privacy, robustness, delegation and accountability. I believe these areas will become as foundational to AI as cryptography became to the internet.

On a personal note, as a cryptography graduate student over 40 years ago, I was drawn to the question “What can we prove without revealing information?” Today, I would ask, “How can we build intelligent learning systems whose reasoning we can trust?” It combines understanding computation, learning, complexity theory, cryptography and science.

Researchers are moving from treating AI as a simple tool to partnering with it as a collaborator. What are the biggest opportunities of this co-partner approach?

Matias: Scientists and researchers can use AI technologies to ask bigger questions and work faster than ever before. With AI as a powerful collaborator, there will be opportunities for more researchers to advance science faster. We are already seeing early impact through our Empirical Research Assistance (ERA) system, a coding framework that automates custom software creation, traditionally a massive bottleneck in scientific discovery, and through Co-Scientist, which helps with literature search and hypothesis generation. ERA has already accelerated insights from neuroscience to cosmology, including forecasting seasonal runoff across California’s river basins. Our Co-Scientist tool leverages Gemini to help researchers generate, debate and refine hypotheses, shortening discovery timelines. Our partners in Gary Peltz’s lab at Stanford University used Co-Scientist to help accelerate their research on experimental protocols for target discovery hypotheses for liver fibrosis, helping identify promising drug candidates that were previously overlooked.

As AI accelerates scientific breakthroughs, what is the most profound impact this will have on the broader scientific community, and how does this speed change how we approach seemingly impossible global challenges?

Matias: With AI we will be able to tackle some of the biggest societal challenges. We are already seeing examples of how solutions to scientific challenges that once seemed impossible are now a reality. For instance, a decade ago, building an effective flood-forecasting model was considered out of reach; today, our Flood Hub platform provides real-time predictions in 150 countries around the world where more than 2 billion people live. This was made possible with an AI-based global hydrology model for riverine floods and a Groundsource dataset of flash flood events — both open sourced to enable others to build on the work — advancing us toward a future where no one is surprised by a natural disaster coming their way. We see accelerated advancements in health and planetary intelligence. When these advanced tools are put into the hands of a global ecosystem of researchers, they can scale impact universally, potentially turning widespread health and environmental crises into manageable challenges and putting life-changing solutions to work faster.

Continued on next page

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“
AI will play an increasing role in scientific discovery – from expanded literature search and data synthesis to ideation, hypothesis generation and model building, to analysis, scientific review and validation. Serving as a powerful, interdisciplinary collaborator, AI is becoming an amplifier of human ingenuity.
”

Yossi Matias
VP, Google, and GM, Google Research



Goldwasser: Throughout much of history, the limiting factor was collecting data. Then it became computation. Due to AI, in the future the scarce resource will shift to deciding which AI discoveries are important and can be trusted. This changes the role of scientists. In the coming decades, more people can participate in discovery. A small laboratory can design proteins that once required the resources of a pharmaceutical company. Researchers in developing countries gain access to expert AI collaborators. This may be the largest long-term effect, as it will raise the capabilities of the entire scientific community.

The speed of progress matters enormously for problems like climate change, pandemics, energy or the invention of new materials where progress depends on searching incredibly large spaces. There are billions of possible molecules, proteins, catalysts, battery materials or therapeutic combinations. We as humans cannot search all these spaces directly. In the future, instead of examining one promising direction at a time by different experts in different fields, we will be able to explore many directions in parallel, guided by AI models that continually learn from the results. Problems that once looked computationally impossible will be merely expensive.

Coming from cryptography, I’ve spent much of my career thinking about how to establish trust among parties that don’t fully trust one another. I think AI presents a very similar challenge. As the technology becomes a scientific collaborator, it should not merely give us answers. It should provide evidence that allows us to verify those answers independently. I hope that the next era of AI-enabled science will combine great creativity with great verifiability.

Now that AI can help simulate millions of possibilities before a physical experiment even takes place, how does the nature of scientific exploration change in your work?

Matias: Thought experiments were used throughout the history of science — from the ancient Greeks to Galileo to Einstein. With AI we can conduct numerous thought experiments by simulating scenarios. Also, AI can help sift through immense amounts of heterogeneous data, apply multi-disciplinary methods to analyze and look for unexpected patterns, and generate hypotheses. Critical aspects will often be the ability to validate processes, recognize patterns, identify insights and rank hypotheses. By simulating numerous thought experiments before physical experiments are conducted, AI helps researchers quickly narrow down the most promising hypotheses, allowing them to focus their physical experiments on high-impact areas of opportunity.

AI also helps transfer methods and insights across disciplines. We see this in our genomics research. Building on a decade of foundational work, we developed DeepSomatic, an AI-powered, open-source research tool. By transforming raw sequencing data into high-resolution images, it has the potential to help clinicians spot critical genetic variants. In studies, our research partners used it to identify 10 new genetic variants in childhood leukemia samples missed by previous techniques.

As we lay the groundwork today for the next 250 years of American innovation, what are your recommendations for the next generation of researchers and scientists?

Goldwasser: Do not confuse faster science with better

science. AI will give the next generation extraordinary tools. But the central responsibility of scientists will remain the same: to produce knowledge that will benefit humanity as defined by humans.

I would tell young researchers three things. First, learn to ask important questions. AI may help answer questions, but choosing the right question is still a profoundly human act. Second, build systems that come with evidence. In the next era, a scientific claim should not simply be plausible or impressive. It should be reproducible, auditable and, where possible, quickly verifiable. Third, stay intellectually multilingual. The hardest problems — climate, health, energy, security — will not respect departmental boundaries. The researchers who matter most will be those who can move with knowledge and confidence between the exact, life and social sciences.

If we want the next 250 years to be worthy of the last 250, we must invest not only in faster tools, but also in deeper judgment. We need scientists who are bold enough to imagine impossible things and rigorous enough not to believe them too quickly.

Matias: Master foundational thinking along with engineering skills. There will be more opportunities to drive impactful research breakthroughs and bring them to reality — this magic cycle of research keeps accelerating. Mastery of scientific thinking will be essential, including the ability to ask the right questions and applying critical judgment when working with AI systems.

Embrace multidisciplinary exploration. The boundaries between traditional scientific disciplines are disappearing, with the aid of polymath-like AI collaborators, and the most exciting breakthroughs will likely happen at the intersections of fields like biology, chemistry, computer science and physics.

Always keep research human-centric and grounded in real-world problems. AI is a powerful tool to help amplify human ingenuity, but technology is only as valuable as the tangible impact it creates for society. Focus on applying these capabilities to solve some of our most urgent global challenges, such as in health, climate resilience and resource sustainability.

Finally, take an open and collaborative approach. Talent is distributed globally, and innovation can come from anywhere. The biggest promise of innovation will result from empowering the scientific community where tools and datasets are accessible to researchers everywhere. By combining advanced technology and building on powerful AI systems while applying the scientific method, the next generation can drive foundational science and apply it to scalable solutions that benefit everyone, everywhere.



Explore how AI is ushering in a new era of discovery.

Elon Musk Roils U.K. Politics

Continued from Page One

news cycle. In June alone, Musk posted more than 160 times on the topic—over 10% of his posts that month. By July, he was back to his baseline, a few dozen tweets.

The South Africa-born entrepreneur regularly frames Britain as a failing nation that is losing its Western identity to mass Muslim immigration. He has been accused of stoking civil unrest in the key U.S. ally, called for ousting a prime minister and embraced the far-right activist known as Tommy Robinson, who was once barred from entering the U.S. for his multiple criminal convictions.

He has also used X to promote Lowe, the man he says should be Britain's next leader. For much of his career, the 68-year-old toiled in the backwaters of British politics, railing against mass immigration, the European Union and traditional political parties that largely ignored him.

Overnight, Musk's name-check boosted Lowe's profile in Britain and beyond, providing crucial momentum in Lowe's battle with rival Nigel Farage for control of Britain's right wing. Musk has thrown his support behind Lowe's political party, Restore Britain, which is pushing to deport millions of immigrants.

Despite having just a handful of staffers, the new party is polling at around 5% in the U.K., drawing followers who cite immigration as their top concern and splintering Britain's right-leaning vote.

‘Eternally grateful’

“I think he's concerned about Britain,” Lowe said of Musk in an interview with the Journal. “And we're eternally grateful to him for creating a true free-speech platform.”

The Journal analysis shows that Musk's attention has given the already-ascendant Lowe a significant digital boost—a retweet or mention from Musk has more than twice the number of likes on average compared with an unamplified post from the same period. And even Lowe's unboosted posts now get more than double the number of likes and views they did before Musk started mentioning and interacting with him.

Musk's effort to reshape Britain has caused political turmoil, leaving government ministers here at a loss over how to push back without provoking a confrontation with the Trump administration.

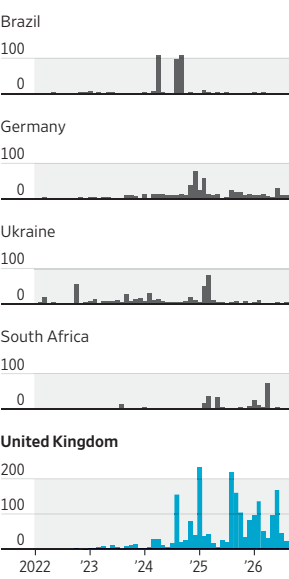
Musk bought Twitter for \$44 billion in 2022. Over the next two years, he made a hard turn toward U.S. politics, a Journal analysis of his activity on the platform found, often slamming the media and Democrats' treatment of his companies. Since then he has gone increasingly global, using the platform to boost anti-establishment parties across Europe and rail against “woke” politics, immigration and tech regulation.

Critics say Musk and X amplify extreme views and drown out other voices. “There was clear evidence of multiple occasions where Musk has manipulated information and influenced British politics,” says Andy Pryce, who until recently ran a counter-disinformation unit at the U.K. Foreign Office. This, he said, “helped stoke acts of violence in the U.K.”



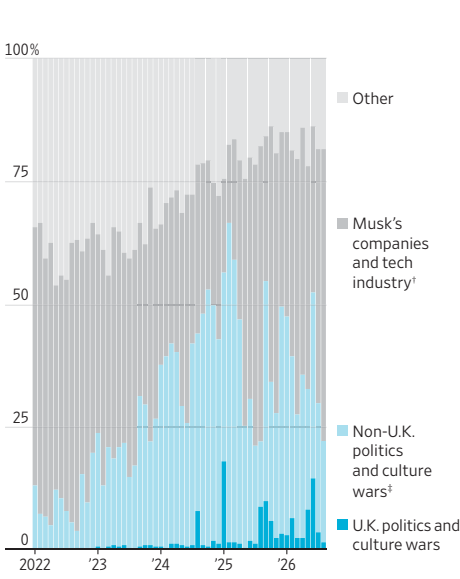
Restore Britain leader Rupert Lowe, shown meeting up with volunteers before they go out to campaign ahead of a June by-election in northern England, became a favorite of Elon Musk after the tech entrepreneur soured on another right-wing politician, Nigel Farage.

Elon Musk's politically charged posts on X about each country, monthly*



*Posts that mention multiple countries are counted toward each country's total. †AI, SpaceX, Tesla, the X platform and related AI and technology industry topics. ‡Includes politics and culture wars in the U.S. and other countries

Share of Elon Musk's posts, reposts and replies on X by topic, monthly



U.K. officials have monitored Musk's posts, alongside those of other X users, for national-security risks, according to people familiar with the matter, but decided not to take any formal action.

The U.K. government said in a statement that it is ensuring online platforms abide by British law. “The Government's broader counter-disinformation work is focused on identifying coordinated attempts to spread false or misleading information online, not individuals,” it said in a statement.

Neither Musk nor his representatives responded to requests for comment.

Before Musk bought Twitter, Robinson—whose real name is Stephen Yaxley-Lennon—had been banned from the platform for posts deemed to be “hateful conduct.” Musk restored his account in 2023. Robinson has served jail time in the U.K. on charges including assaulting an off-duty police officer, using a false passport to enter the U.S. and mortgage fraud. He has organized large-scale anti-immigration protests across the U.K., some of which have descended into violence.

The two men often trade posts about immigration and a long-running scandal involving the organized, group-based child sexual exploitation of vulnerable girls, many of them in

government care, across England over decades. Prominent convictions in some towns involved predominantly British-Pakistani men.

Lowe, Robinson and Musk frequently accuse U.K. officials of playing down crimes against white British girls, referring to the perpetrators as “invaders.”

In a brief interview, Robinson declined to respond to detailed questions. “I find it absolutely remarkably insane that journalists are still latching onto something, someone who has given people free speech in this country,” he said. “Elon Musk has given a voice to the British public. And that voice has awakened a nation.”

Musk and Robinson also joined forces after a mass stabbing of young girls was falsely blamed on a Muslim immigrant, prompting rioters to attack a local mosque with

bricks and target hotels housing asylum seekers. Hundreds of people were arrested amid rolling clashes with police.

Musk responded on X that “civil war is inevitable” in Britain because of immigration. Police later said the teenage suspect apprehended was the Welsh-born son of Christian Rwandan immigrants.

“Either: 1. Secure the borders OR 2. Have your head cut off!” Musk commented on X in July of this year in response to a post by Restore of a grainy picture of an asylum seeker who is alleged to have attacked a man with a knife in Belfast.

Musk's paternal grandmother came from Liverpool, in northern England, and he has cited his ancestry as central to his interest in the U.K.

“I am of primarily British heritage, British ancestry. I want Britain to be greater than it ever has been,” Musk



British far-right activist Tommy Robinson arrives for a London court appearance.

Elon Musk @elonmusk
Only Restore Britain can save Britain. It is the only way.
25.8M views • June 9, 2026

Elon Musk @elonmusk
Betrayal of her people
536.6K views • June 11, 2026

Elon Musk @elonmusk
Yes, he is a scumbag and traitor
1.3M views • June 11, 2026

Elon Musk reposted
Rupert Lowe @RupertLowe10
Britain doesn't have a racism problem, it has an immigration problem.
3.2M views • June 11, 2026

said at a London rally organized by Robinson last September, where he appeared via video link. “And what I see happening is a destruction of Britain.”

Lowe wasn't an obvious first choice to lead a populist rescue of the British establishment.

A wealthy former banker, Lowe was for much of his career best known for his turbulent tenure as chairman of Southampton soccer club, which he left in 2009 as the club struggled with mounting debts. Lowe then went on to become an advocate for Britain leaving the European Union. He joined Reform UK, where he won a seat in Parliament. Few outside Westminster knew much about the politician.

Then he caught the attention of Musk on X.

“I have not met Rupert Lowe,” Musk tweeted in January 2025, “but his statements online that I have read so far make a lot of sense.”

Texas visit

With Musk's encouragement, Lowe launched Restore Britain later that year. “X for Rupert and me has been—particularly for Rupert—phenomenal. It put him on the map,” says Ben Habib, a commercial property investor and former European Parliament member who previously supported Lowe's political rise but has recently broken ranks.

Lowe says his popularity on X owes to his decades of experience and his plan for the country, not to Musk. The two had spoken twice by summer, Lowe said, including once over Zoom.

“People accuse him of altering the algorithm and stuff,” Lowe told the Journal. “He doesn't do that. He's a highly principled man.”

Lowe visited Austin, Texas, over Fourth of July weekend where he met briefly with Musk, recorded a two-hour episode with influential podcaster Joe Rogan and caught a televised World Cup soccer match at an Austin bar.

On the podcast, Lowe decried a “multicultural invasion” of Europe and laid out details of a report he commissioned last year on what he described as Muslim-Pakistani rape gangs in Britain. He thanked Musk for connecting him with Rogan.

Lowe wasn't Musk's first favorite British politician.

From mid-2024 and through the end of the year, Musk tweeted around a dozen times about Reform's leader Nigel Farage—mostly short, supportive responses to Farage's posts.

Farage, a longtime Trump supporter who helped spearhead Brexit, defended Musk against critics and described him as a crucial ally against the mainstream media.

Shortly after Trump's reelection, Farage flew to Florida and met with Musk at Mar-a-Lago, Farage says, during which he raised the prospect of the billionaire making what would have been the single largest political donation in British history. The news caused panic among Britain's political class and calls for curbs on foreign donations.

But the donation never came. In early January 2025, Musk ditched Farage: “The Reform Party needs a new leader. Farage doesn't have what it takes,” he posted.

Musk wanted Reform to publicly back Robinson and welcome him into Reform's inner circle, according to Farage. “I wouldn't be bullied by him,” Farage says. “He is used to getting his way because he's big and strong and powerful.”

Robinson was in prison at the time for repeating defamatory statements about a Syrian teenager, against court orders.

Public split

Two months later, Farage and Lowe publicly split, with Lowe accusing Farage of watering down Reform's immigration policy. Reform officially suspended Lowe and stripped him of his party responsibilities. Lowe has been ambiguous about Robinson, saying the activist's politics are his business.

Habib, the former Lowe ally, had made contact with Musk via direct message after Habib defended Robinson on X, calling him a “political prisoner.” Musk had urged Habib to start a new political party to compete with Farage, but Habib had thought it too difficult.

After Lowe's expulsion, Habib reached back out to Musk. “I told you I think a new party in the UK would be too difficult,” Habib wrote in a message viewed by the Journal. “I am correcting myself... Reform UK is done.... We will do our own thing.”

Two minutes later, Musk wrote back: “I'm happy to support a new party.”

Habib then launched a party he called Advance UK, but Lowe declined to participate. Lowe started Restore in June 2025 and registered it as a party earlier this year. Habib now says he can no longer support his former ally, in part because Lowe has insisted on defining “Britons” as white-only. “I'm deeply concerned by the vein of ethnonationalism that runs through his party. That is not British.”

Habib has deregistered his party, while Lowe's profile has continued to rise with Musk's backing.

In September 2025, Robinson invited Musk to appear remotely via video at his street march, dubbed Unite the Kingdom, in central London. Wearing a T-shirt with the words “What Would Orwell Think,” Musk called for the British Parliament to be dissolved, framing “massive uncontrolled migration” as the root cause of the country's woes that, left unchecked, would ruin it.

“Whether you choose violence or not, violence is coming to you,” Musk told the crowd, which stretched for blocks, drawing cheers. “You either fight back or you die.”

WORLD WATCH

KOSOVO Ex-Leader Guilty Of War Crimes

An international tribunal convicted the former president of Kosovo of war crimes during the separatist war against Serbia and sentenced him to 25 years in prison, one of the final verdicts in a series of landmark trials arising from the bloody dissolution of the former Yugoslavia.

A panel of three judges in The Hague ruled Wednesday that Hashim Thaci and three other commanders of the Kosovo Liberation Army were responsible for the torture and murder of Serbs, suspected Serb collaborators and

other ethnic minorities between 1998 and 1999.

“Mr. Thaci had contemporaneous knowledge of a significant number of crimes against opponents, in particular unlawful arrest and detention, mistreatment and murder,” said Charles Smith III, one of the judges. “Despite this knowledge, Mr. Thaci took no steps to prevent, investigate or punish these crimes. Instead...Mr. Thaci actively participated in and encouraged crimes.”

Thaci has been in custody in The Hague for six years since voluntarily surrendering.

The judges found the defendants responsible for killing 96 people, among other crimes.

—Matthew Dalton

BELARUS Prisoners Freed To Ease U.S. Curbs

The U.S. special envoy for Belarus said on Wednesday that the country's authorities have agreed to release 25 prisoners in exchange for the lifting of U.S. sanctions against two Belarusian companies.

John Coale, President Trump's special envoy for Belarus, made the announcement a day after meeting authoritarian President Alexander Lukashenko.

Speaking to reporters in Minsk, Coale said as part of what he called “an interim deal” and “as a show of good will,” Belarus will release 25

people in exchange for the U.S. lifting sanctions on two Belarusian companies, Lukraska and Bellesbumprom.

He added that further release of prisoners and the lifting of more sanctions will follow later after all details are agreed upon.

Belarusian authorities haven't announced any details of the prisoners' release.

Coale said on X that “President Trump's commitment to direct diplomacy delivers results.” He also thanked Lukashenko and authorities in Lithuania, a European Union member that neighbors Belarus, for their support.

—Associated Press

JAPAN Centenarians Exceed 100,000

The number of people aged 100 or older in Japan surpassed a record 100,000 this year, the latest government figures show, underscoring the country's rapidly aging and declining population.

The Health and Welfare Ministry statistics released on Tuesday show Japan now has 107,677 centenarians, up 7,914 from the previous year.

Nearly 88% of them are women.

Fuyo Kishimoto recently was recognized as the oldest Japanese woman at age 114.

—Associated Press

MYANMAR U.S. Businessman Deported After Jail

Myanmar's military government has deported Adam Castillo, a U.S. businessman and former president of the American Chamber of Commerce in Myanmar, after three months in jail on what supporters say were trumped-up charges, state-run television said.

The former U.S. Marine, who owned a security risk-management firm, was detained at the Yangon airport on June 11. AmCham Myanmar had accused him of financial impropriety, which he denies.

—Associated Press



CARRY ON
DAWN
GILBERTSON

When Your Airline Seat Gets Downgraded

Being bumped from a spot you paid for is annoying. Your rights depend on what airline you're flying and where.

Robert Prati splurged on business-class tickets for a trip to Europe in late July.

The 56-year-old retired finance professor paid \$5,242 for two round-trip tickets from North Carolina to London, with a stopover in Iceland on the way home.

Everything went smoothly until the last leg. Icelandair made a last-minute plane change and the new aircraft had fewer premium seats.

At the airport, he and his girlfriend were bumped to an aisle and middle seat in economy for the seven-hour flight from Reykjavik to Raleigh. The worst part besides the tight squeeze: The young passenger in the window seat kept the shade down during the total solar eclipse he was excited to see from the sky.

Seat downgrades are increasingly becoming a pain point for passengers in this era of packed flights and fees on practically every seat on the plane. The Transportation Department says it has logged more than 350 complaints on the subject this year through June 30.

"The seating charts are a house of cards. They're just waiting to collapse," says veteran airline consumer advocate William McGee.

He was an airline dispatcher a few decades ago and says aircraft swaps, due to canceled or delayed flights, maintenance or other issues, were simpler then because

planes weren't as full and so subdivided.

"In the old days, an economy seat was an economy seat, end of story. You didn't have nine different classes," he says.

What's a traveler to do? Stay on top of your reservation and know your rights, whether you get advance notice of seat changes or find out at the airport, like Prati. Don't just take it as another travel unpleasantry and move on. You might not get all you're hoping for, or anything in some cases, but you should make your case.

The first step is to try to get ahead of any plane swaps and resulting seat downgrades when you find out in advance rather than at the last minute.

Holly Etlin, a retired executive who has flown millions of miles on Delta, American and United while traveling weekly for her career, books a lot of flights in advance and checks them weekly for any schedule changes. "When they mix the schedule, they also often mix the airplane," she says.



Robert Prati and his girlfriend were switched to economy after vacationing in Europe this summer.

As soon as she notices a seat switch, she contacts the airline for a fix. It helps that she has status, but all travelers can benefit by investigating other options quickly. That way you don't get a nasty surprise at the airport and have to scramble there.

Refund rules

Travelers who pay a fee for advance seat selection or seat upgrades are entitled to a refund if the seat is unavailable due to no fault of their own, the DOT says.

The same rule applies to other ancillary services including in-flight Wi-Fi.

The rules are different and more complicated when you get downgraded from one cabin to another, say from first class to economy or business to premium economy on international flights. And, to make things even more confusing, your rights depend on what airline you're flying and where.

For domestic flights and international departures on U.S. airlines, you'll be covered by DOT rules and basically have two choices. You can cancel the flight and get a full refund. (That isn't ideal when the downgrade happens at the last minute and you need to get to your destination or home.) Or you can take the downgrade and get a refund of the difference between the original fare and what it calls the downgraded fare. One reader calls it a take-it-or-leave-it seat in economy.

How much of a refund? Airlines have a lot of latitude here because the DOT definition of a down-

graded fare is murky, McGee says.

The key is to press your case and cite DOT rules, not simply complain and say you're never flying the airline again. It helps to provide copies of your original booking, communications about the seat switch and other documents. Screenshots are your friend. And so is loyalty status, of course.

"You have to make noise with the airline and say, 'Look, you did not give me what I paid for,'" he says.

'Back of the bus'

The rules are slightly clearer when flying internationally because the EU and U.K. have more robust passenger rights. Start by checking those links to see if you're eligible. (You are covered in both cases on flights departing Europe, for example, on any airline. But for flights to Europe, you're only covered if you're on an international carrier.)

While there is paperwork and complicated refund formulas, you are entitled to something for involuntary downgrades and shouldn't let airlines off the hook.

Just keep your expectations in check regardless of how much you plunked down for that round-trip ticket in business class. Prati filed a claim with Icelandair under the EU rules and was told he is only due \$466.92 per passenger, or \$933.84 of the \$5,242 they shelled out for the business-class tickets.

"I wasn't expecting or looking to win a lottery in terms of compensation, but cruise lines at least offer future cruise credit when their passengers suffer gross inconveniences," he says. "We suddenly went from being treated like royalty to being sent to the back of the bus."

Unexpected Tips From Travel Pros

BY DAWN GILBERTSON

The following items first appeared in Dawn Gilbertson's weekly Travel newsletter.

You don't have to scroll far on social media to find travel hacks from influencers, wannabe influencers, travel agents, frequent fliers and people trying to sell you something. Some are complete B.S. and some get repeated over and over, but you can find some gems you might not have considered.

I came across a post on Threads with this prompt: "Tell me your best 'nobody tells travelers' this tip. Not 'roll your clothes.' I mean the weirdly specific thing you learned from actually traveling. The kind of tip that makes someone say: 'WHY did nobody tell me that before?'"

More than 3,000 people commented. Dulles Airport even weighed in, saying starting out at the right airport helps! (Travelers routinely get that airport mixed up with Washington Reagan National.)

Here are a few suggestions that were newish to me and not



mentioned in my hotel wish list and hotel hacks columns.

- ▶ Use inexpensive battery-operated tea lights as nightlights in hotel rooms.
- ▶ Use the restroom at baggage claim because no one is ever there.
- ▶ Take a photo at the end of the trip of stuff you packed but never used. Refer to it next time you pack. (I can relate to this example the traveler posted: "For some reason, for many trips, I'd convinced myself that I'd do a sheet mask each night and use all the little product samples I'd collected, like Sephora samples.")



Pro tip: Buy your snacks ahead of time. This stash, left, cost around \$30 at an airport. Los Angeles International Airport is part of the TSA's new Gateside program.

- ▶ Pack the random snack that you don't eat often, but occasionally crave on the road. And buy it at the dollar store instead of spending \$15 on Cheetos at the airport.
- ▶ Don't pack "what if" items like umbrellas. You can buy them anywhere.
- ▶ Treat yourself to a spa treatment or food tour on the first day while you're waiting for your room.

I'll offer my own hack: For early morning flights, order espresso on

ice and add in a protein shake. Voilà, you have a breakfast-and-caffeine fix.

One good tip

Want to accompany a friend or family member to their gate or greet them upon arrival? You can now do that at 13 airports across the country if you have TSA PreCheck and register in advance. The TSA's new Gateside by TSA PreCheck recently launched. This is different from those airport visitor-pass programs.

Cheers and jeers

Big cheers to Chelsea Handler for taking up a travel etiquette cause we can probably all agree on: bare feet on planes. The comedian, who travels several times a week, appealed to airlines for a keep-your-feet-covered policy in an Instagram

post to her 5.5 million followers that went viral.

Jeers to airlines and hotels that make it too hard to track down receipts. It shouldn't be this hard to fill out an expense report.

Big spenders

If you ever doubted airlines' focus on big spenders, check out the makeover American Airlines announced for its Boeing 777-300ER in Dallas. There are 70 Flagship business class suites, 44 premium economy seats and 30 Main Cabin Extra seats, giving the plane the most premium seats on any U.S. airline, it says.

The business-class seats are similar to those I flew on the airline's new Boeing 787 Dreamliner from Philadelphia to London a year ago.

Double-check websites

I can't say this enough: Pay attention when you're booking travel. A reader searching for a one-way flight from Miami to Charleston, S.C., ended up booking through a company called Flight Network instead of directly with the airline. He was charged an extra \$52.50 fee on top of his \$497 American Airlines ticket. He chalked it up as "tuition" for a lesson on making sure he's on the airline's actual website going forward.

To subscribe to Dawn's newsletter, go to [wsj.com/newsletters](https://www.wsj.com/newsletters).

PERSONAL JOURNAL.

By ELIAS LEIGHT

Last December, Griff Washburn put down his guitar, picked up a shotgun and went out to hunt his first bird. He hiked more than 15 miles through the eastern part of Oregon in the morning. That afternoon, he managed to drop a grouse from 30 yards—dinner for the night.

Washburn makes music under the name of Goth Babe, releasing a steady drip of singles and one album, some 75 songs to date. The name is a feint: There's nothing goth about his chipper electronic pop, which often feels tailor-made for DJ sets in exotic locations, a crowd swaying as the sun sinks in the background. While Washburn does tour with a small band, whenever possible, he is by himself, off the grid, out surfing, camping or embarking on whimsical construction projects.

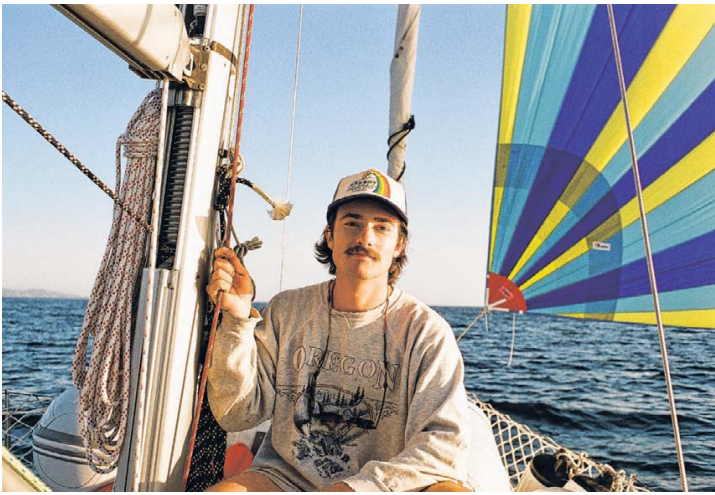
"I'm just as stoked building stuff with my hands as I am making music," the 27-year-old said, speaking over the phone from Salt Lake City before a show. "I probably haven't gone as far as I could have in the music industry. But I don't really want my face on a billboard."

Even though Goth Babe's songs aren't getting played heavily on the radio or tearing up the charts, they still earned more than 100 million streams last year, according to the data company Luminate. On **Spotify**, that many plays typically generates around \$300,000.

Listeners discover his tracks in other places as well. Washburn brings home additional income when they are licensed by shows and movies, including "Hacks" on HBO Max and "Murder Mystery" on Netflix. He also benefits when outdoor companies—Turtlebox, which makes speakers, and Every Man Jack, which makes deodorant—use his tunes in advertisements or sponsor his YouTube channel, which has more than 133,000 subscribers. Since Goth Babe writes and produces every-

Itinerant Artist Creates Off the Grid

Musician Goth Babe draws legions of listeners to his electronic pop



thing himself and effectively functions as his own record label, all that money goes to him.

Washburn has lived on a sailboat and taken it on a journey from San Francisco to Panama with intermittent help from a small crew, dirt biked up a perilously steep hill in Moab, Utah, and kayaked 60 nautical miles in remote Alaska.

His itinerant habits are part of his appeal. "It's very easy when you have somebody who's living a unique life," said Sean Patrick Sheahan, Goth Babe's manager. "Just point a camera at it."

This strategy has won over fans in their late teens or 20s, according to the data company Chartmetric, who make up the majority of Goth Babe's audience. The singer's followers are especially concentrated in the Pacific Northwest. When he walks down the

Many of Griff Washburn's releases are named after the locations they were written. Right, he performs at Pine Creek Lodge in Montana.

street in Boulder, Colorado, or Bend, Oregon, "it's like he's John Lennon," according to Sheahan.

Washburn's jaunts through nature feed back into his songs. Many of his releases are named after the locations—Mt. Hood and Smith Rock in Oregon, for example—where they were written. He favors balmy tracks awash in warm synthesizers and gentle guitar, often with a

thick beat underpinning it all. Although many musicians complain about the streaming ecosystem, "for Griff and other artists like him, there's absolutely a business there that did not exist a de-

The singer maintains a fountain-of-positivity attitude.

up about selling his sailboat and using the money to buy undeveloped property in the hinterlands of Appalachian Tennessee. That's where he will put down roots, at least temporarily, by constructing a treehouse, which he expects to cost between \$10,000 and \$20,000. "That's my next strange adventure," Washburn said happily. "What's another weird place I can lay my head?"

"His process fascinates me to no end," said Robby Fletcher, a Goth Babe fan who has been to four of his shows. "The music is well made, but it's being done in the back of a camper or on a boat. It's fascinating to see someone live in a way that I could never imagine being comfortable."

The nomadic life hasn't always been comfortable for Washburn either. He was held up at gunpoint while living in his car. He suffered a vicious head injury while surfing and now wears a helmet on the waves. The tiny home he built from scratch in 2020—"I never thought I'd get so pumped turning a faucet on"—burned down.

Even so, the singer maintains an easy-peasy, fountain-of-positivity attitude, a surfer perma-stoked about his next expedition. Washburn estimated that he currently spends roughly half his time touring, typically performing for between 2,000 and 5,000 fans, in order to fund his open-air exploits. His goal is to whittle that down to around 30%.

Touring less would allow Washburn more time to stock his YouTube channel with clips of hikes and other quests. During this year's "crafting season," he bought a 12-foot motorboat for \$1,000 and transformed it by adding his own roof and a wood stove. Because it wasn't very stable on the water, he named it the Shake Shack.

"It's not practical in any way," Washburn said. "But it makes me happy."

The WSJ Daily Crossword | Edited by Mike Shenk

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THINGS ARE LOOKING UP | By Jackson Musker

Across	35 A+ student	55 Somewhat	8 Gala giveaway
1 Full of guile	37 Brother of Jackie, Jermaine, Marlon and Michael	58 Ammonia feature	9 Titular 1987 cyborg
5 Bit parts?		59 Redecorate	10 Vegan cosmetics brand
9 Miles per hour, e.g.	38 Having a faraway dreamy look	60 Bolt with speed	11 Whirling Looney Tunes character, for short
14 1973 French Open champ Nastase	39 Campbell of "Scream"	61 Exclusion anxiety, briefly	12 Seething state
15 Openly state	40 Rainbow-colored treats	62 Gendered suffix	13 Olive with a skinny shape
16 Egg producer	42 Acclivities	63 What you might go out with	21 Rush, e.g.
17 Celebrated Southern chef Lewis	43 Academic extension	64 Bass line?	22 Take another crack at
18 "State Fair" setting	44 Flight records	65 Hockey fake-out	25 Ring borders
19 Ring around a watch face	45 Close-mouthed	Down	26 Ambition
20 Magnet for controversy	46 2022 World Series champs	1 Catch flies, say	
23 Sought-after	48 Overcome, as an upsetting experience	2 "My Girl," e.g.	
24 Animated greetings, often	52 Spy satellites, and a hint to 20-, 35- and 40-Across, given their second halves	3 Places for peds	
28 Playfully pick on		4 "So you've said"	
29 Eight, to Augustus		5 Made headway	
31 Deposit in some banks		6 Duck, say	
32 Important acid type		7 Promgoer's purchase	

► Solve this puzzle online and discuss it at [WSJ.com/Puzzles](https://www.wsj.com/puzzles).

War Rages Over Sugar At School

Continued from Page One

Screenshots of the exchange racked up millions of views on Instagram. Oreo itself chimed in with a cheeky comment. The posts have since been linked to a promotional campaign for an AI music app.

While the origins of Oreogate may be fake, the warfare over school snacks is real.

When former first-grade teacher Ranah Ahmed Burney saw it circulating, she was reminded of a student who wasn't allowed sugar at home and had begun stealing cookies from a classmate's lunchbox.

After the pattern continued, Burney emailed the boy's mother. Rather than address her son's behavior, the mom proposed a solution: Ban sugar in the classroom so her son wouldn't be tempted.

"I can't control what parents are sending in for their kids' lunch," Burney recalled of her response. "There's economic differences in terms of what's accessible for people to send in. People have different reward systems with their kids."

Burney held her ground and eventually had to involve the school's administration when the mother refused to relent.

Her story was one of many online reactions to Oreogate from parents and teachers across the U.S. and abroad. Many of those who weighed in had encountered some version of Michelle.

One parent reminisced about a group of moms who tried to throw a vegan sugar-free Halloween party at school, prompting a revolt from other parents who sent "over the top sugary treats" instead.

Birthday treats are a recurring source of tension.

Cupcakes and candy were once prohibited at the Manhattan preschool where Miral

Sattar, a growth strategist and kids' podcaster, sent her three children. Parents could choose from an approved list of foods for birthdays; watermelon was OK.

The weekly snack rotation, in which one parent supplied snacks for the entire 20-student class, came with its own strict rules: sprouted-grain bread only, nothing processed. Even cheese sticks were contested.

"No one has time to sit home all day and make sure every little thing is organic," said Sattar.

Dietitians who watched

years ago, behind closed doors. Weeks learned from her son that he had stopped drinking milk at school because chocolate milk was no longer available. The school had quietly removed it from the meal program after some parents complained about the sugar content.

Weeks argued to the principal, to no avail, that the nutritional benefits of milk outweighed the added sugar and that removing the flavored option would lead many children to skip milk rather than switch to plain.

"It is not unreasonable to



The debate has shifted from allergies to accommodating preferences.

Oreo-gate unfold offered a more nuanced view than simply casting parents who restrict treats as overbearing—or those who don't as negligent.

Nicole Weeks, a dietitian in Milwaukee, said parental anxiety around food in shared settings hasn't necessarily intensified so much as become more visible. Group texts and chat apps have turned private grumbling into something instantly shareable, causing more disputes to escalate.

Her own version of Oreogate unfolded nearly 20

offer guidelines," Weeks said. "But I think by taking everything away at school, and making it like Oreogate, we lose our opportunity to teach kids how to manage situations."

Accommodating a child's food allergy is one thing. Increasingly, the debate is over whether to accommodate a parent's preferences. And snacks are just the entry point.

"This isn't even the tip of the iceberg on what parents have emailed teachers about," said Gina Wynn, a health and wellness influencer who taught elementary school for 14 years.

One mom asked if her son could sip Dr Pepper at his desk because he didn't like water. Another asked Wynn to microwave her daughter's lunch every day because she wouldn't eat cold food. One parent said her son worked better when he was chewing gum.

FROM LEFT: IAN DURKIN, KARLEE HORNELL



#Dadication

ARTS IN REVIEW

ARCHITECTURE REVIEW

A Spectacle On the Level Of ‘Star Wars’

The Lucas Museum of Narrative Art is arresting on the outside, but its interior is less impressive

By MICHAEL J. LEWIS

Los Angeles
Of all the museums built to showcase private collections of art—one thinks of those named for Isabella Stewart Gardner or J. Paul Getty—that of George Lucas is the most personal and the most autobiographical. It displays the type of images that fascinated him in his youth and shaped his approach to filmmaking: chiefly graphic art, illustration, magazine covers and comic strips. Art of this sort depends on bold forms and vivid, legible storytelling, so as to make its meaning accessible to the widest possible audience. That is the goal of all popular art, and Mr. Lucas is by some measures the most successful storyteller of all time, his “Star Wars” and “Indiana Jones” movies earning him one of the largest fortunes of any film producer, estimated at well over \$5 billion.

At least one of those billions has reportedly gone into the building of his new Lucas Museum of Narrative Art, which opens Sept. 22. Designed by Ma Yansong of MAD architects, it is a Goliath of a building, 700 feet long with 300,000 square feet of space. In terms of massiveness, visual impact and sheer joyous bravado, it offers as much spectacle as any of his films. But it is not so much its size that amazes, but its uncanny *shape*.

It consists of two bulbous pods of uneven size, joined by an aerial bridge that shades a public plaza below. The lines of the two pods flow continuously into one another, giving the effect of two sticky gobs of taffy being slowly pulled apart. Inevitably, given the origins of the Lucas wealth, they have been compared to the sleek contoured spaceships of his “Star Wars” movies. Mr. Ma, for his part, describes his forms as organic and biomorphic.

If the forms of the Lucas Museum derive from nature, it is nature as abstracted by industrial design. They evoke the “envelope body” style of the postwar American automobile, in which every element—headlights, fenders and

all—was drawn into a continuous fluid shell. That appealing image of modernity was of course the formative aesthetic experience for Mr. Lucas, who was born in 1944 and who as a youth filmed car races with a Super-8 camera, long before he made “American Graffiti.”

The glory of the museum is its entrance. You leave the high vaulted plaza—Roman in its sense of amplitude, an oculus high above—and turn right to enter the lobby. This too is vaulted, the surfaces above gliding without interruption to the floor; the sense of spatial freedom is contagious. And ahead of you is Mr. Ma’s version of a Baroque stair: a bank of transparent elevators that whisk you up to the galleries above, or to the rooftop restaurant where you can gaze out at the Los Angeles skyline.

So exuberant is this building, so sincere and unaffected (“this is the art that I like”), that one criticizes with reluctance. To point out its flaws will not persuade a single viewer to like it less, only to dislike the critic more. But two shortcomings must be noted, because they prevent a very good building from being a great one.

First is the matter of material. Its panels of fiberglass-reinforced polymer are ingenious, significantly lightening the weight of a daringly cantilevered structure near the San Andreas fault in the



Exterior view of the new building, designed by Ma Yansong, in the Exposition Park neighborhood of Los Angeles, above; view of one of the galleries, below.

Exposition Park neighborhood of South L.A. And they give its contours just the right glossy sheen a hovering vehicle demands. But inside they are less successful. Had they been plastered, clad in ceramic, or built in raw concrete, they would have lent tangible weight and heft to the vaults. But their unrelieved brightness and utter lack of texture have the bland flatness of plastic, and render them lifeless.

More disappointing is the treatment of the fourth-floor gal-

lery. Comprising most of the museum’s 100,000 square feet of exhibition space, it is treated as one great loft, sliced into smaller galleries by nonstructural partitions. Overhead, through the suspended lighting grid, you can see the raw concrete and steel construction, with its thick coating of spray-on fireproofing. Given the spatial finesse of the lobby below, it is sad to find the utilitarian treatment of a box store or trade show above the museum’s most important objects.

Even worse is the lack of any architectural differentiation. Drawings and paintings have different needs in terms of lighting and placement, but there is a sameness in the presentation here. Victoria Newhouse’s classic book “Art and the Power of Placement” is all about how the impact of an artwork is affected by the space it inhabits. But here there are no spaces as such, only continuous fluid openness.

We are keenly aware of Mr. Lucas’s pride and delight in each acquisition, and he lets us see them, one after another, just as a stamp collector might leaf through his album. We sense that everything is equally important; nothing enjoys pride of place; there’s no room where the architectural energy starts to pulsate. In short, there is no rising action, no climax, no falling action . . . which is no way to tell a story.

Mr. Lewis teaches architectural history at Williams College and reviews architecture for the Journal.



By LANCE ESPLUND

Los Angeles
THE LUCAS MUSEUM of Narrative Art—George Lucas and Melody Hobson’s biomorphic leviathan hovering over Exposition Park like an idling spaceship—has been christened by Mr. Lucas as “a temple to the people’s art.” Designed by Ma Yansong of MAD architects, it opens on Sept. 22. At Comic-Con last year, Mr. Lucas declared: “I’ve worked with hundreds of illustrators . . . and they’re all brilliant . . . all great. But they don’t get recognized for anything.” His museum—housing the illustrators he calls “orphaned artists”—is here to set things right.

This ambitious institution, which Mr. Lucas first tried to launch in San Francisco and then Chicago, has endured setbacks. In 2025, some two-dozen employees departed, including Chief Curator Pilar Tompkins Rivas and Director and CEO Sandra Jackson-Dumont. Mr. Lucas, de facto chief curator since December, has taken the helm, staging more than 1,300 of his own objects in 33 galleries spanning 100,000 square feet.

Museum professionals’ lack of involvement shows. Serially installed primarily on the fourth floor—and offered without didactics beyond broad headings such as “History,” “Family,” “Fantasy,” “Romance,” “Community,” “Science Fiction”—the Lucas’s holdings are presented not with interpretive reasoning but as ceaseless rows of illustrative pictures, separated merely by genre or subject. It’s part art museum, part “Star Wars” theme park, part billionaire-collector’s vanity project whose overarching storyline is The Illustrator Strikes Back.

Despite that, there is much worthwhile here. Mr. Lucas’s temple houses an Egyptian limestone relief, a sculpture of George Washington by Jean-Antoine Houdon, a substantial photography collection, and pictures by Pissarro, Renoir, Van Gogh, Léger, Picasso and Kahlo. In the

“Children’s Stories” gallery—which includes treasures by Ludwig Bemelmans, Jean de Brunhoff, Arnold Lobel, Beatrix Potter, Maurice Sendak and John Tenniel, as well as the Cowardly Lion’s costume—your childhood will come vividly back to life. And there are dynamic comic strips by masters of the genre, such as Hal Foster, Hergé, George Herriman and Winsor McCay.

But the few strong illustrations and even fewer high-quality paintings and sculptures are bracing outliers amid a sea of mostly 19th- and 20th-century melodramatic, sentimental

and patriotic illustration. I knew the museum was in trouble when Casius Marcellus Coolidge’s infamous whiskey advertisement “A Pat Hand” (1894)—the first oil painting of dogs playing poker, and the epitome of kitsch—registered as a refreshing jolt of straightforward humor.

Mr. Lucas’s brand of populist revolt—which mixes high and low art in an effort to elevate the latter to the realm of the former—isn’t new. Nor is the confusion between illustration and art. Twenty-five years ago, the exhibition “Norman Rockwell: Pictures for the American Peo-

ple” attempted to raise Rockwell to the status of master, and drew breathless acclaim. Rockwell headlines here as well. But most commercial illustration, however beloved, is not great art. Illustrations—where details are telegraphed and nothing is left to chance—are designed for immediate emotional access. They merely depict. Great artworks, like poetry, transform their subjects through rhythm, tension and metaphor, inviting viewers on explorations that unfold, deepen and surprise. As Paul Klee, an abstract—sometimes narrative—artist, insisted: “A picture is not an illustration of an idea, but the idea itself.”

Prioritizing stories and pop-culture icons over aesthetic quality, Mr. Lucas’s pantheon embodies the superhuman powers not of the old masters but the new—the masters of the universe: Superman, Batman, Captain America, Flash Gordon, Buck Rogers, Conan the Barbarian and Frank Frazetta. Alongside fellow Americans Thomas Hart Benton, Maxfield Parrish, Rockwell, N.C. Wyeth and Jessie Willcox Smith, Frazetta—the master of the jacked physique, fur bikini, double-D cup and missile-tipped breastplate—has been granted his own gallery.

The Lucas also features several fresh commissions, including lackluster sociopolitical infiltrations by Banksy—a calculated bid for street cred. And peppered throughout the museum and its park and gardens are brand-new life-size bronze renditions: Rockwell, Rosie the Riveter, Yoda and Indiana Jones, whip at the ready. Outside, in Mark Newman’s bronze “Princess Leia Frees Herself From Jabba the Hutt,” the victorious



‘The Gossips’ (1948), by Norman Rockwell.

Princess—like a scantily clad rodeo queen, her slave-girl loincloth undulating like a reptilian tail—stands triumphantly astride Jabba, vanquishing him with the very chains that once bound her. These artworks, even at their most earnest or hyperbolic, prove that it takes more than bronze to make a sculpture.

In “Cinema”—the flashy “Star Wars” section highlighting storyboards, set photography, models, props and life-size dioramas starring costumed characters and their vehicles—the Lucas is most at home. This theatrical gallery effectively transforms the museum into a Comic-Con Mecca. Yet in a different register, one of the most satisfyingly realized displays is the one devoted to Parrish—clearly a labor of love. Though I find his high-keyed color synthetic and cloying, a cruciform room frames Parrish’s work with the solemnity of a chapel.

That gravity takes a different tack in the introductory first-floor installation, where “The History of Narrative Art: Heroes • Myths • The Sacred” aims but fails to establish and legitimize Lucas’s collection within the larger art-historical canon. A dark and meandering cave-like tunnel—where replicas and harsh reproductions of textbook artworks compete with badly illuminated paintings by Pieter Brueghel the Younger and Lucas Cranach the Elder, among others—is one prop away from a log-flume ride.

This immersive installation, like the rest of the Lucas—built not on aesthetics but on nostalgia and spectacle—confuses a collector’s obsessions with genuine vision. Eschewing contextualization, hierarchy, poetry, mystery, the museum dissolves art’s essential distinctions. It reduces all artworks to mere illustrations, and all artists to mere illustrators.

Mr. Esplund, the author of “The Art of Looking: How to Read Modern and Contemporary Art” (Basic/Hachette), writes about art for the Journal.

FROM TOP: HUFTON CROW; PAUL SALVESON

LUCAS MUSEUM OF NARRATIVE ART

OPINION

The Zero-Risk Society Has Arrived



UNRULY REPUBLIC
By *Barton Swaim*

Evidence abounds that most college-educated Americans have lost the ability to assess risk. An exaggeration, maybe, but that thought has haunted me since the pandemic years of 2020-21, when otherwise sane people embraced draconian interventions of minimal benefit while showing no interest in costs. The very few advocates of shutdowns and school closings willing to acknowledge those policies as misjudgments mostly excuse themselves by noting how little we knew of the virus in its early days.

Well, sure—although some of us knew folly when we saw it. Anyway, the maniacal demand for a clinically neat solution to the pandemic, and the concomitant failure to acknowledge cost-benefit trade-offs, suggests a cultural pathology predating Covid-era safetyism. In fact, its roots go back nearly a century, as Manhattan Institute economist Allison Schrager makes clear in “Worth the Risk,” to be published next week by Yale.

America’s global economic dominance, achieved in the 1950s and enduring still, is largely thanks to the young country’s risk-welcoming ethos. The few provisions that shielded economic actors from ruin in the 19th century—bankruptcy protections, limited-liability laws—didn’t deter risk-taking but encouraged it. Then came the New Deal’s

dramatic expansion of the welfare state. Social Security, unemployment insurance and an assortment of jobs programs aimed to make economic life less risky and more predictable. Three decades later, beginning with the Great Society and its attendant War on Poverty—Medicare, Medicaid, expanded food stamps, school lunch programs, housing vouchers—the federal government tried to abolish risk for the working class: the class, that is, from which the country’s boldest entrepreneurial risk-takers had always sprung. The trend continued when consumer-protection and product-liability laws made America a more litigious society and forced companies and public institutions to think constantly about safety and risk-avoidance.

After the 2008-09 financial crisis and the shutdowns of 2020-21, wealthy democracies all over the world, including the U.S., expanded their role as citizens’ primary insurer. “Regulatory policy changed to restrain banks from lending and taking on risk, and industrial policy, tariffs, and reshoring efforts were billed as ‘de-risking the economy,’” Ms. Schrager writes. Rather than insuring against a specific risk that went badly in the past, “the government started heading off opportunities for risk altogether, explicitly forfeiting growth in exchange for safety.”

The aversion to risk pervading American life in the 2020s creates problems of its own. At the top, the Federal Reserve has long assigned itself the task of navigating the economy

away from busts. But recessions rid economies of the inefficiencies and excesses that stop them from achieving robust growth postrecovery. At the bottom, few public playgrounds these days feature seesaws or monkey bars.

Ms. Schrager debunks several myths that she says keep Americans of all ages and stations from taking healthy chances. Among those myths:

The U.S. achieved dominance by taking big chances. Where has that ethos gone?

the belief on the progressive left and populist right that U.S. workers face more economic risk than they did two or three generations ago. The odds of being laid off, for example, haven’t changed appreciably since the 1950s. Or this: “Conventional wisdom says that Millennials don’t have the cash to buy a home because, unlike their parents’ generation, they have too much student loan debt. But there is actually a positive correlation with student debt and homeownership, since people with more student debt tend to earn more.”

And bear in mind, Ms. Schrager says, the reason millennials carry that debt in the first place: because politicians starting in the ’80s presented college as a risk-free road to financial security. Federal and state governments made loans easy, borrowers felt less price sensitivity and colleges re-

sponded rationally by bumping up tuition. “When college is touted as a ticket to a certain lifestyle,” she writes, “it seems smart to agree to almost any price tag and any amount of debt.”

Read U.S. politics through the lens of Ms. Schrager’s book and some things make more sense. The terrorized response to the pandemic six years ago has normalized alarm, with the consequence that U.S. politics now goes from one moral panic to another. Yesterday, the Omicron variant; today, data centers and the AI apocalypse.

I don’t pretend to know the motivations of Anthropic’s Dario Amodei and other tech titans who last weekend announced their view that the development of artificial intelligence requires government oversight to avert global catastrophe. Probably they reason that panic always leads to regulation and want to appear reasonable and well-intentioned to their eventual regulators.

But I’m not sure they counted on some politicians’ talent for stoking and capitalizing on irrational fear. A poll published Wednesday by Politico finds that 46% of Americans think there’s a moderate or significant risk that “AI will destroy humanity.” Another 17% think it’s all but certain. This is, to use a technical term, bananas. In technological innovation as in financial markets—and in everyday life—excessive fear of risk comes at the cost of growth. Mr. Amodei et al. would do themselves and the country a service by explaining that commonplace principle to Washington.

BOOKSHELF | By Andrew Stark

Successful Circumstances

Profits, Prophets, Coaches, and Kings

By **Jared Diamond**
Mariner, 288 pages, \$32

I wish Stanley Baldwin no ill,” Winston Churchill declared in 1947, “but it would have been much better had he never lived.” Baldwin, one of Churchill’s predecessors as British prime minister, had slow-walked the country’s rearmament during the 1930s while Nazi Germany was building up, leaving Britain unprepared when World War II broke out. No wonder that Churchill, who had been asked to send a greeting for Baldwin’s 80th birthday, offered his terse judgment instead.

In “Profits, Prophets, Coaches, and Kings,” Jared Diamond tackles the question of how much individual leaders matter to the course of events. Mr. Diamond is best known for his 1997 book, “Guns, Germs, and Steel,” which argued that accidents of environment and geography, not any kind of innate superiority, explained why Eurasian powers colonized the peoples of Africa and America. His latest book examines leaders in government, business and other fields to determine how the interplay of personal talent and historical circumstance shapes success or failure.

Seretse Khama, the hereditary chief of Botswana’s largest tribe, became the country’s first president in 1966. By voluntarily transferring ownership of all diamond mines on his tribe’s lands to the government, Khama convinced the smaller tribes to do the same, thus providing the state with revenue to build roads, schools and hospitals. For several decades, Botswana boasted the world’s fastest-growing economy. No one besides Khama, Mr. Diamond argues, could have achieved that success, because no one else was the chief of the largest tribe.

Leaders matter in religion too. “Why, among all those competing Jewish sects in the first century,” Mr. Diamond asks, “were Christians the ones to found a world religion?” The answer starts with Jesus, but much of the credit belongs to St. Paul, who dispensed with Jewish dietary law, circumcision requirements and prohibitions against intermarriage, thus broadening the appeal of early Christianity.

While leaders with unique strengths sometimes make a difference no one else could have, Mr. Diamond says that many others often would have had similar achievements under the same circumstances. Consider the business giants of our time. Jeff Bezos, the founder of Amazon, is a skilled strategic planner with a keen attention to detail. He’s a risk-taker, a hard-driving boss and a tireless worker. Yet those qualities are shared by many Americans. It is likely that had Mr. Bezos never lived, another visionary would have created an online “everything store” once the internet arrived.

Mr. Diamond revisits the conquests of Genghis Khan, the leader of the Mongol empire from 1206 to 1227. The decades of Genghis’s rise, the author tells us, were Central Asia’s rainiest in 2,000 years. That meant “more grass for grazing animals, hence more sheep and goats to eat, more mares’ milk to drink, more horses to ride into battle, and more Mongol babies to rear to adulthood and to ride those horses. While Genghis may have been the most skilled chief among his Mongol contemporaries, his skills would have been wasted if he had been born 20 years earlier, or 200 miles to the south.”

Favorable weather aided Genghis Khan’s conquests. Bill Belichick won six Super Bowls with the Patriots but also had Tom Brady.

Switching to sports coaches, Mr. Diamond tells us that their effect on outcomes, while significant, is “not overwhelming.” Other factors—such as whether their teams have great players or the financial resources of the front office—matter as much if not more. Bill Belichick, the coach of the New England Patriots from 2000 to 2023, won six Super Bowls with Tom Brady at quarterback. When Mr. Brady left the team in 2020, he quickly won another Super Bowl with the Tampa Bay Buccaneers as the Patriots struggled. Much of Mr. Belichick’s success may derive from the fortuitous circumstance of having coached the game’s best quarterback.

Mr. Diamond’s book would have benefited from a breakdown of leadership into various traits—humility, arrogance, decisiveness—and a discussion of their bearing on success or failure. The author looks at such characteristics in his individual profiles, but he doesn’t report any studies that examine them across many cases, possibly because they don’t lend themselves to social-scientific measurement. Take “ego,” a word that is strangely absent from Mr. Diamond’s book but is an important factor in determining some of the most consequential actions of leaders.

Mr. Diamond’s emphasis on common benchmarks for success—a country’s economic growth, a corporation’s profits—leaves unexplored the possibility that each unique leader might harbor his or her own criterion of achievement. Some chief executives, for example, might not view earnings as the most important thing. They might care more about technological innovation, employee welfare or even winning an award from their peers. Or think of religion, where Mr. Diamond’s criterion of success—widespread devotion by millions—is hardly the only point.

“Profits, Prophets, Coaches, and Kings” demonstrates how individual leaders have succeeded in meeting challenges, from preparing for war to winning games. If we apply such criteria to Stanley Baldwin, we might judge him a failure. Yet scholars deem Baldwin to have displayed many admirable leadership qualities—magnanimity, political astuteness, trustworthiness—and he was successful by his own lights, having passed reforms in housing and pensions.

Appearing in public for the final time in 1947, the year of Churchill’s cutting comment, Baldwin noticed an animated throng reacting to his arrival. By now long since deaf, he asked if they were booing him. In fact they were cheering.

Mr. Stark is the author of “The Consolations of Mortality” and “Conflict of Interest in American Public Life.”

By **Karl Rove**

It was a moment every student in Darrell K. Royal-Texas Memorial Stadium will remember for life. Forty-one seconds into the final quarter on Saturday, No. 4 ranked University of Texas at Austin was down 23-3 against No. 1 ranked Ohio State. Quarterback Arch Manning brought the Longhorns alive with a 91-yard drive that ended with a touchdown pass to wide receiver Ryan Wingo. That cut the margin to 13. And the Longhorns weren’t done.

Mr. Manning picked apart Ohio State’s defense with a 72-yard drive followed by a 73-yard drive, each ending with running back Hollywood Smothers scoring. Texas went up 24-23.

The Buckeyes had 25 seconds on the clock, time enough for their explosive offense. But Texas held, leaving Ohio one second to try for a miracle with a long bomb. That’s when Longhorn defensive back Graceson Littleton made the interception, the clock ran out, the cannon boomed, and the stadium went wild.

So how did Bo French—a UT grad and Republican statewide candidate for Texas Railroad Commission, which regulates the oil and gas industry—mark this special moment?

He posted a picture of screaming, joyous, celebrating burnt-orange-clad students. Referring to students who appeared to be South Asian or Hispanic in the photo’s fore-

ground, he declared, “I heard UT graduation this year looked like this. I didn’t believe it. The problem is now obviously far worse than anyone imagined.”

Mr. French’s not-so-subtle claim that UT has too many Hispanics and South Asians—he later said his issue is too many “foreigners”—is raw, uncut bigotry. UT admissions are based on merit, not race, and 90% of each class comes from Texas.

Some Republican leaders immediately denounced Mr. French. U.S. Sen. John Cornyn condemned his “intolerance and racism,” warning “this is how great political parties self-destruct.”

State House Speaker Dustin Burrows said Mr. French’s post “crossed the line” by “demeaning people because of their race or ethnicity.” Other GOP state legislators called the post “racism, plain and simple,” “disgusting” and “well below the standard set by Christ.” One said it made him “sick.”

A few Republicans defended Mr. French. One lawmaker reposted an X post asserting that “anyone telling you to stay home or pull support from Bo is an enemy who supports gay race communism.” Another said Republicans criticizing Mr. French were “contemptible.”

This isn’t the first time Mr. French has made bigoted comments. When the wife of an Asian-American Democratic state representative posted on X a picture of herself and their children visiting him on the

floor of the House chamber, Mr. French responded, “Families deported together stay together.”

Mr. French also has problems with non-Christians. In 2025, as Tarrant County Republican chairman, he posted a poll on X: “Who is a bigger threat to America?” The choices were “Jews” or “Muslims.” Lt. Gov. Dan Patrick called for his “immediate resignation,” and the Republican mayor of Fort Worth, the county’s biggest city, lamented there are “too many

Bo French’s bigoted tweet after a football game is part of a long and ugly pattern.

examples” of Mr. French’s “bigotry and hate.”

Mr. French also has issues with women. When Kamala Harris posted a 2024 campaign plea on X to “trust” women “to make decisions about their own body, health care, and future,” he responded, “There are just some things where you can’t trust women.” He has also opined that “no one hates themselves more than educated white women. This hatred drives them to hate everything else too.”

When I came to Texas in December 1976, the state was so blue that you could almost hold a GOP state convention in a phone booth. After elections that year, there were 18 Repub-

Let Others Eat Cake

By **Jack Butler**

When I proposed to my then-girlfriend, I was delighted she said yes. But as wedding planning began, I followed up her yes with a no: No wedding cake for me. Not since Marie Antoinette had cake caused such controversy. The fault was entirely mine.

At age 13, I swore off pop, junk food and, most relevant for my nuptials, dessert. Nary a bar of chocolate, a spoonful of ice cream, nor a piece of cake had (knowingly) crossed my lips in the 20 years since.

My resolution derived from a desire to give myself every possible advantage as a cross-country runner. The competition, the course, the weather: All are out of a harrier’s hands. But his diet he can control. Unlike most decisions I made as a teenager, this one stuck.

You could say I was MAHA before MAHA. You could also say I was deranged. Plenty of

people live healthily while occasionally treating themselves to a brownie or tiramisu. But for me, moderation in pursuit of health was no virtue, and extremism in rejecting junk was no vice. My future betrothed noticed this quirk early. It was mostly upside for her. Striving for chivalry on

I’d sworn off sweets. But my wedding posed a dilemma.

those early dinner dates, I’d pay for our meals and a dessert only she would eat. A healthy diet and continued running regimen were signs of a disciplined character.

My stubbornness supplied an early test case for negotiating marital disagreement. Marriage compels us, men especially, to mature—to become worthy of the occasion, the institution and our spouses. But

I didn’t want to compromise. Against what I considered a powerful case, the woman I had asked to be my wife reasoned skillfully that a forkful of dessert wouldn’t kill me, but the absence of cake altogether or my not eating any would unnecessarily deprive our wedding reception of an essential and fun ritual.

Back and forth we went, I in persistent eccentricity, she with tremendous patience. Would a fruit tart do? No. A pie? No. The Catholic priest who conducted our marriage preparation mentioned that the purpose of the wedding-cake cutting was to inaugurate the domestic life of the new couple. So I suggested lasagna, a dish I’d prepared throughout our relationship. Think of it as a layer cake of meat and cheese, I said. Nope. She likes my lasagna but wouldn’t accept it there.

As the wedding approached, the cake lingered as an unresolved item. I realized I was to

blame. I was being weird; she was being normal. I thought I’d sworn off self-indulgence, but here I was asking my soon-to-be-wife to indulge me.

So I suggested a solution: Get whatever cake you want, but make sure there’s a piece on the top. I’ll give you a fruit of cake, and you can give me some fruit. No one, not even family and friends in attendance, would be the wiser. Having had the same idea, my fiancée agreed and selected a delectable strawberry-topped confection.

I learned an important lesson from this before my veiled bride even walked down the aisle: when, and how, to compromise. I’ll never know whether that strawberry she fed me had some whipped cream on it. But if it did, I think I’ll live—till death do us part.

Mr. Butler is deputy editor of WSJ Opinion’s Free Expression newsletter.

OPINION

REVIEW & OUTLOOK

Kevin Warsh Is an Inflation Hawk

Has Elizabeth Warren sent her apology yet? We mean the letter to Kevin Warsh saying she was wrong to say the new Federal Reserve Chairman wouldn't be independent. After Wednesday's decision by the Federal Open Market Committee (FOMC) to raise interest rates a quarter point, she isn't the only one who should be offering mea culpas.

The herd of independent minds in the Fed press corps spent the summer hyping a supposed staring contest between Mr. Warsh and President Trump, with the Fed's credibility as the stakes. Mr. Trump famously prefers lower rates, as does any elected politician if we're honest. The FOMC's decisions to stand pat at Mr. Warsh's first two meetings as its leader became supposed evidence that Fed credibility was in doubt.

It was a silly argument, and it obscured much more consequential developments at the Fed. Mr. Warsh is the most hawkish chairman since Paul Volcker, with a long record in our pages and elsewhere of explaining his views. One suspects the real challenge for him has been to bring on board all those FOMC participants who dovishly supported former Chairman Jerome Powell's rate cuts in 2024 and 2025 despite persistent inflation.

In this light, a conspicuous feature of this week's decision to raise the fed funds rate to 3.75%-4% is that it was 12-0. In the three months since Mr. Warsh's first meeting, he has persuaded committee members who in June voted unanimously to stand pat into the opposite conclusion.

What changed? Mr. Warsh was clear at his wonderfully brief press conference that the inflation evidence has moved in the wrong direction. The main inflation indicators are still higher than 3% after five years above the Fed's 2% inflation target. Mr. Warsh also cited rising commodity prices as an important price signal, a welcome note not heard at the Fed since its glory days of the 1990s. He is paying attention to prices in the real economy.

This is continuing evidence of the broader reform project Mr. Warsh is launching at the Fed. The most visible instances are the five task forces he's established on matters such as the central bank's balance sheet and its inflation models, and his refusal to provide forward guidance about future policy moves.

The press corps and Wall Street still don't get the new Fed Chair.

The changes are already showing up in monetary policy. An important element on display at this meeting and in Mr. Warsh's speech last month at Jackson Hole, Wyo., is his conviction that inflation is always the Fed's problem. His Fed is less likely to cling to excuses such as supply-chain shocks as reasons to "look through" inflation above its 2% target. Wednesday's rate increase is consistent with this view.

Mr. Warsh also rejects the old Phillips Curve theory that monetary policy requires a trade-off between inflation and unemployment. In explaining Wednesday's rate decision, he said flatly that he doesn't believe he must harm the current good labor market to get inflation down.

No doubt Wall Street and the press will have trouble dropping their speculation about Mr. Warsh's relationship with Mr. Trump. The Fed chairman rightly declined to answer several questions about this at his press conference. The recent climb in longer bond yields, particularly the 10-year Treasury, is creating political heartburn across Washington as the government grapples with an all-but-certain \$1 trillion interest bill for the year and politicians fret about mortgage rates.

Many of the factors causing those rate increases are outside the Fed's control—particularly expectations about future economic growth, competition for capital from booming artificial-intelligence investment, and worries about the Iran war. Mr. Warsh is wise not to try to guide those markets overtly.

But note that long rates stayed mostly flat after the Fed's policy move Wednesday. The 30-year yield stayed nearly the same, while the 10-year moved up modestly. Had the Fed failed to raise rates, the risk is that there would have been much sharper moves upward.

A White House official called the increase "rather unfortunate"—a mild protest. But Mr. Trump ought to be reassured by Mr. Warsh's view that the economy is strengthening. Retail sales for August came in strong Wednesday, rebounding from July. The Atlanta Fed's GDPNow growth estimate for the third quarter was revised up Wednesday to 5.1%.

Mr. Trump inherited stubborn inflation from Joe Biden, and the Powell Fed let it stay too high for too long. Kevin Warsh seems determined to get it down faster, and that will mean faster real wage gains sooner for the American people.

Kathy Hochul's 'Energy Rebate Checks'

New York Gov. Kathy Hochul had a biting reaction to President Trump's bonkers promise last week of \$5,000 "dividend" checks if the GOP holds Congress in the November midterms. She called this a "campaign bribe." hilariously, Ms. Hochul is now telling New Yorkers to watch the mailbox for state "energy rebate checks" that will start going out next week to 8.2 million households.

"What we've done working with the Legislature is invest \$1 billion—a billion dollars—going out to New Yorkers all across the state, so we can put that money back into your pockets," Ms. Hochul said at an event Monday. "Checks up to \$200 to help families keep pace with the rising cost of energy. And you know what? You don't have to do a thing. No application, no paperwork, no hoops to jump through. If you're eligible, the check is coming to you."

Have we mentioned Ms. Hochul is on the ballot, seeking re-election to a second full term?

The polls show her leading the Republican nominee, Nassau County executive Bruce Blakeman, yet the campaign could always tighten as voters begin to tune in seriously, and Ms. Hochul isn't exactly a dynamo, as the rest of her press conference showed.

She blamed Mr. Trump's war in Iran for raising gas prices and made sure to bring up "Lake Ontario," which she said while leaning into the microphone for effect. That's the body of water Mr. Trump now calls Lake America. She also attacked utility companies and data centers. "Since I've taken office, we've provided over \$6.6 billion in direct utility-bill relief," she said. The Governor offered few words about why New York's power prices are high to begin with, such as ill-conceived climate policies.

Ms. Hochul attributed elevated costs to "limited energy sources." Gee, who might have already had five years in Albany to do something about that?

higher earnings reduced welfare. That's good. One caveat: President Trump's deportations may have inflated median incomes by reducing the number of lower-wage workers. The Census Bureau reported a 10.6% decline in the number of workers with no high school diploma—equal to about one million workers. No wonder restaurants can't find employees.

At the same time, the number of workers with a college degree or higher last year increased by 1.8 million, while their median earnings declined 1.1% By contrast, earnings for high school grads increased 5.5%. This seems to be more evidence that too many young people are going to college, and not enough are training for trades that pay well.

Even so, lower- and middle-income Americans have suffered the brunt of inflation. Since 2019, pre-tax inflation-adjusted incomes have increased by a mere 0.6% for the bottom 10th percentile (\$110), versus 3% (\$5,400) for those at the 80th percentile and 5.6% at the 95th percentile (\$18,700). The data doesn't include capital gains, which have mostly benefited higher earners who own assets as individuals rather than in tax-free retirement accounts.

These disparities are smaller after adjusting for income transfers and taxes. Americans in the 95th percentile paid on average \$85,700 in income and payroll tax, while those at the 10th percentile gained \$130 on net from tax credits. Adding the value of other transfer payments like Medicaid would further reduce the income differences.

Still, a large share of Americans have experienced stagnating real incomes since the pandemic. Joe Biden's inflation and its persistence is the biggest culprit, but the Federal Reserve is on that case (see nearby).

LETTERS TO THE EDITOR

New York Protects Unions at Teachers' Expense

Regarding your editorial "A New York Union Protection Trick" (Sept. 10): Some surveys have shown that most teachers don't know that they have the right to opt out of union membership.

The Supreme Court ruled in *Janus v. Afscme* (2018) that no public employee can be forced to join a union or pay any dues to a union. This right is rarely presented to teachers as an option.

Now that New York Gov. Kathy Hochul has signed legislation that silences outside organizations from sharing truthful information on this subject, many teachers will never truly understand their rights. This new law gives our politically motivated attorney general the power to investigate groups that want to in-

form public-school teachers in New York of union alternatives.

Strong organizations retain members through results, not by limiting information members receive. Voluntary membership, by an informed consumer, tests whether the product is worth the price. As New York teachers learn of their rights and options, thousands have chosen to leave and bring their hard-earned money with them. This law was designed to keep money in the unions' pockets and keep their members in the dark. If New York State United Teachers offers such a great product, why is the union so fearful of a mass exodus?

ERICA McDERMOTT
Public-school teacher
Fairport, N.Y.

Don't Blame Children for Education Failures

In her column "Yes, Children Really Are Getting Dumber" (Life Science, Sept. 14), Allysia Finley laments the decline in our education system. She writes: "Grade inflation has become so endemic that 44% of students who scored below 1000 on the SAT—roughly the bottom half—reported receiving all or mostly A's."

How much of this is due to teachers unions controlling our public-school system? When teachers are paid based on seniority rather than performance, incentives are skewed. Observe industries controlled by big unions—auto, steel and shipbuilding, to name a few. These industries have been hollowed out by restrictive union rules and poor management. Now, finally, we're awakening to the similar effects that unions have on students.

The push for equity has also contributed to the problem. The U.S. built the most successful, diverse and inclusive economy in the world by rewarding the best performers. But over time, the progressive mantra of "fair-

ness" has overwhelmed success. As a result, we are seeing the decline of the U.S. and our educational system.

CHARLES H. GESSNER
Marblehead, Mass.

Children aren't getting dumber. Testing only shows they aren't learning. Children are born with an inherent ability to learn. Their ability to succeed depends on what they are exposed to and who is teaching.

Ms. Finley writes that about "one-third of students on average in developed countries reported that noise and disorder disrupted lessons, with 29% saying classmates don't listen to teachers." In any type of leadership, it is necessary to firmly establish who is in charge—in this case, the student or the parent and teacher.

Are students really to blame? They aren't being taught by competent teachers and parents, and they aren't being held accountable.

B.J. KHALIFAH
Grosse Pointe Park, Mich.

Congress Can Restructure the Supreme Court

Regarding James Piereson's op-ed "Is Court Packing Constitutional? Don't Be So Sure" (Sept. 8): Members of Congress have fought bitterly over the composition, and even the number, of Supreme Court seats because everyone, however loath to admit it, understands that the court is an inherently political institution.

Mr. Piereson nevertheless argues that expanding it would be unconstitutional. As he recounts a century of congressional adjustments to the court's size, he objects to partisan expansion.

That makes motive the operative test, and it amounts to an unwritten rule under which courts may void an exercise of an enumerated power once they detect a political purpose behind the actions. No such doctrine exists. Article III says nothing about the number of justices, leaving the judiciary's structure entirely to Congress.

Such a doctrine would also devour itself. If partisan motive voids a change to the court's size, then the 1866 act shrinking the court to deny Andrew Johnson his appointments was void, and so was the 1869 act that undid it once it was clear to Republicans in Congress that a Republican president would be making the appointments. The nine-member court Mr. Piereson seems to hold sacrosanct

becomes, by his own doctrine, the residue of an unconstitutional statute.

Congressional Republicans appear to understand this, which perhaps is why they recently voted for a constitutional amendment fixing the court's size at nine. (It failed.) One doesn't amend the Constitution to forbid what the Constitution already forbids.

NICHOLAS CREEL
Assoc. prof. of business law
Georgia College and State University
Milledgeville, Ga.

Mamdani's Response to 9/11 Is an Unhelpful Distraction

As a first-hand beneficiary of the government response to 9/11, I wholeheartedly agree with the premise of your editorial "Zohran Mamdani's 9/11 Conspiracy" (Sept. 10). The health of the many thousands who worked in the city, including my co-workers, was responsibly addressed in a timely way.

The accusatory finger instead should be turned to one who fails to use the 25th anniversary of 9/11 to focus on the overarching threat of terrorism. Is the interesting timing of Mayor Mamdani's charge against the alleged failings of other leaders meant to be a distraction from the much larger threat of terrorism? For me, it certainly undermines Mr. Mamdani's credibility as a politician.

MICHAEL KAPLAN
Edison, N.J.

Nuclear-Era Lessons for AI

Regarding Paul Tudor Jones's op-ed "AI May Become the Third Superpower" (Sept. 10): Instead of trying to limit or ban AI—a fool's errand—perhaps the focus should be the same as it was during the development of nuclear weapons in the 20th century: mutual assured destruction. May the best AI win. Let's hope it's ours.

DAVID ROSS
San Diego

Pepper ... And Salt

THE WALL STREET JOURNAL



"That ad will sell a ton of hot dogs. I just don't think we're required to list all the possible side effects."

JONATHAN LIGHT
Laguna Niguel, Calif.

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OPINION

DOGE Works. Let’s Keep It Going

By Tyler Hassen

Early on Jan. 23, 2025, I left a Washington hotel for my first day leading the Department of Government Efficiency team at the Interior Department. I had no idea what lay ahead. I didn't know how hard it would be to change our national government, especially in a vast department.

The Interior Department manages more than 500 million acres of federal land, the national parks, Indian affairs, federal water systems, our fish and wildlife, and more than 2 billion acres offshore. For many Americans, the department is vital. That January, it was the most ineff-

A cadre of gifted, creative and patriotic thinkers can uncover wasteful spending and reduce federal debt.

ficiently run organization I had ever seen.

My DOGE colleagues and I found that Interior had 50 human-resources offices with more than 2,000 HR staffers for about 65,000 full-time employees. There were 18 different chief information officers and more than 2,000 IT staffers across the department. There were more than 1,000 contract officers for roughly 10,000 active contracts.

What we found was disheartening

but also motivating. For example, a \$4.2 million contract to assess the groundwater in the Islamic Republic of Mauritania, in Africa, and a request for \$830 million to spend on customer surveys so simple a grade-schooler could have created them.

When I graduated from college in 2005, the national debt was about \$8 trillion. It recently passed \$40 trillion and is on pace to surpass \$100 trillion by the time my 5-year-old daughter is in her mid-20s. Yet what are we doing about it as a country?

Not all lawmakers seem serious about solving this crisis. But I saw what can happen when talented people leave their private-sector lives for a mission to eliminate the deficit. Did we achieve it? Of course not. DOGE's inability to dent the debt materially has been written about. Striving for a balanced budget became a partisan phenomenon. Critics questioned whether every dollar of the \$215 billion on our public savings tracker was real. But by quibbling over line-item labels and the definition of “savings” while the debt compounded, they missed the point.

To address the debt, we need to recruit more creative thinkers, whether business leaders, analysts, entrepreneurs or builders. We need people who love our country so much that they are willing to accept the challenge—and the inevitable carping. That was DOGE. I was lucky to be among such a talented group of people working together this way. I had read books and articles about our leader, Elon Musk. My experi-



ence of him? He cares tremendously about humanity and understands that an insolvent U.S. can't solve our problems. I believe that's why he championed DOGE.

We didn't get everything right and we made some mistakes. But we put America's national debt—the biggest long-term threat the country faces—at the forefront of millions of minds, albeit briefly. We also inspired people like the journalist Nick Shirley, who has identified fraud in Minnesota and California, to continue the crusade against waste and abuse.

I found substantial waste at Interior, and our team worked to eliminate much of it. We canceled more than \$3 billion of wasteful contracts

and led Interior through the largest functional reorganization in recent government history.

To some, \$3 billion of waste isn't much compared with \$40 trillion in debt and entitlement programs growing every year. But what if we thought about this differently? What if we encouraged our most gifted entrepreneurs, engineers, lawyers and others to spend a year or two in public service at the federal and state levels?

What if it were a bipartisan privilege to be chosen for an elite group pressing DOGE's cause of asking government to “defend the spend”? The group would help pare a national deficit that eventually will crowd out much of what government should be doing.

How would it work? Congress could create an efficiency and technology office with data access across agencies. This permanent group would issue a public report every year and consist of a rotating corps of private-sector talent serving one- or two-year tours. Governors in every state capital should create similar offices, coordinating with federal contacts to track taxpayer dollars.

DOGE proved the model works. This shouldn't be a partisan issue, but something everyone who loves our country can celebrate—not criticize. Presidents Clinton and Obama had their own efficiency and federal spending initiatives, all supported by Democrats at the time.

DOGE found that waste was real—and sometimes absurd. Many of our technology systems are decades out of date. We need solutions to stop wasteful spending, to close inefficient organizations, and to track dollars moving from federal taxpayers to fraudsters. We can find those solutions by embracing what DOGE did well and learning from our mistakes. Mr. Musk, the greatest entrepreneur of my lifetime, was right about the mission. Now it's up to the rest of us to make it permanent. Don't just drain the swamp. Flood it with talent.

Mr. Hassen served as acting assistant interior secretary for policy, management and budget (2025), where he led the department's DOGE mission. He is author of “Inside DOGE,” forthcoming Sept. 22.

An AI Antitrust Exemption Would Invite Collusion

By Madhavi Singh

Anthropic's Dario Amodei has called on the world's leading artificial-intelligence labs to slow down development and asked Washington to grant an antitrust exemption so they can coordinate on safety without being treated as a cartel. OpenAI's Sam Altman, SpaceXAI's Elon Musk and Google's Demis Hassabis were quick to support the slower pacing. But why do AI labs need an antitrust exemption?

When competitors agree on standards the rest of the industry is expected to meet, the law becomes suspicious. Responsible self-regulation can also be a way of deciding who gets to compete and on what terms.

Yet antitrust law doesn't treat every instance of coordination among competitors as suspicious. A sports league couldn't function without some coordination. Rival clubs must agree on rules, schedules and eligibility criteria; without them, there are no games and no league. Joint ventures, in which coordination among rivals creates a new technology or market that none could produce alone, are also allowed under antitrust law. Professional and industry associations that set standards to ensure quality rather than exclude competition also survive antitrust scrutiny.

In short, coordination is lawful when it creates value rather than excludes rivals or exploits consumers. If AI labs' coordination is needed to create value and isn't exclusionary or exploitative, they need not worry about antitrust liability.

So why demand an exemption? The labs appear to have in mind an agreement among competitors to restrict output and set a safety standard collectively rather than compete to produce the safest product. That is classic cartel conduct. The Federal Trade Commission has recently flagged advertiser coalitions for colluding to set “brand safety” standards. Similar concerns have been raised about social-media platforms and traditional media organizations acting as “truth cartels” and coordinating to set content-moderation standards.

AI labs' sudden concern about antitrust compliance also seems suspicious. Like most of Big Tech, they care about antitrust compliance about as much as social-media companies care about privacy. They have acquired rivals, cut off competitors' access to infrastructure, signed exclusive distribution agreements, and continued the platform-era monopolization playbook with little hesitation. Antitrust enforcement has become a cost of doing business rather than a meaningful deterrent. If these

firms have long viewed antitrust liability as a manageable risk, why do they need permission in advance?

An antitrust exemption would allow the leading AI labs to entrench their positions by setting the rules of the game and determining who gets to compete. As open-source and Chinese AI models close the quality gap,

The law already allows Anthropic and OpenAI to collaborate if their real objective is safety.

coordinating over safety becomes an easy and time-tested way to exclude rivals. The Supreme Court has seen this strategy before. In *Allied Tube v. Indian Head* (1988) and *Radiant Burners v. Peoples Gas* (1961), incumbent firms were shown to have used the pretext of safety standards to exclude competing products. In concentrated markets, companies have every incentive to avoid competing aggressively because competition erodes margins. Collusion becomes the best way to milk customers for profit.

In a healthy market, companies compete on safety, quality and price. Carmakers compete on crash-test

ratings. Children's products, water filters and power tools also compete on safety. But once competitors agree on what is “safe enough,” safety ceases to function as a competitive metric. Courts have repeatedly emphasized that the Sherman Act reflects the view that competition lowers prices and produces better and safer products.

True, markets sometimes race to the bottom. Competition among social-media platforms hasn't produced stronger privacy protections. TikTok's competitive advantage over Facebook was engagement, not privacy. But AI seems different. Consumers value AI safety as they value the safety of cars. Nobody wants a system that goes rogue, deceives users, steals data or acts maliciously. A lab that can demonstrate its models are safer has every reason to compete on safety rather than coordinate around a common floor. If safety standards deserve protection from market pressure to prevent a race to the bottom, the more defensible solution is for governments, not competitors, to establish the safety floor.

The labs' apparent belief that competition will inevitably produce a race to the bottom is an awkward admission by OpenAI and Anthropic, both of which were founded to serve the public interest and premised on the idea that AI could be developed

safely. Anthropic in particular espoused that safety would be its competitive advantage against rivals. If these companies genuinely believe slower development serves the public interest, nothing prevents them from slowing down unilaterally.

The strongest counterargument asserts that a coordinated slowdown solves a collective-action problem: A lab that slows down alone risks losing market share to rivals willing to cut corners. But this is precisely the problem OpenAI's capped-profit structure and Anthropic's public-benefit charter were supposed to solve by insulating their public-interest missions from competitive pressure.

Why do these companies now claim they need an industrywide agreement to do what their own governance structures were designed to make possible? Blaming antitrust law rather than their own choices is at best a convenient excuse for abandoning the principles they were founded to uphold. At worst, the exemption is a Trojan horse: a vehicle to insulate incumbents from competition while doing far more than coordinate on safety.

Ms. Singh is deputy director of the Thurman Arnold Project and a resident fellow at the Information Society Project, both at Yale.

Can Military Morale Survive Smartphones?

By John Spencer

Before landing in Thailand for a brief respite early this month, the USS Abraham Lincoln had spent a record 9½ months at sea. Reports of mental health issues among its crew of 5,000 went viral. A few sailors reportedly tried to jump overboard. At a meeting with Navy leaders, one sailor's wife said her husband had texted from aboard the aircraft carrier that “he hopes he doesn't wake up tomorrow.”

Much of the reporting came from family members receiving messages from their deployed loved ones. Connectivity allowed those families to call their congressmen or contact media to sound the alarm. The reports should also prompt leaders to ask why fellow sailors didn't identify and address the danger sooner.

There is a misconception that greater connectivity with family and friends acts as a kind of salve

for longer deployments. I remember this vividly serving as a company commander in Iraq from 2008-09. Many of the 150 men and women serving under me had just completed back-to-back deployments lasting 12 to 15 months. No wonder they were stressed and exhausted. My bosses thought daily contact with loved ones would help protect my soldiers from mental-health duress or disruptions in unit cohesion. What I found is that greater connectivity can have the opposite effect.

Perversely, the constant link to the outside world often deepened feelings of isolation within a unit and led to poor teamwork, apathy toward standards, online personas (one soldier used Facebook to claim falsely that he killed Iraqis and was the victim of an IED attack) and an unwillingness to carry out missions because of mental-health problems. Leaders often had no idea what soldiers were feeling or thinking each day because many of those conver-

sations were happening online with people thousands of miles away, rather than with the fellow soldiers around them.

War is first and foremost a collective endeavor. It demands teamwork, whether aboard a nuclear-powered aircraft carrier or holed up in a bombed-out Iraqi city. Since Roman times soldiers have endured combat because of the bonds they form through shared hardship. They experience the ups and downs of combat together, along with its boredom, monotony and loneliness. This group becomes their family and support network in ways that even their loved ones at home can't, despite the reach of digital technology. Only the men and women directly beside them can offer immediate support. I saw this firsthand in all my tours.

Consider also the 2024-25 deployment of the USS Harry S. Truman, during which mental-health strain contributed to the loss of three F/A-18 Super Hornets and a

collision with a merchant vessel. A Navy investigation identified fatigue, stress, undermanning, training gaps and leadership failures among the ship's crew. But the report also uncovered something that had been overlooked: Many sailors spent their

The crisis on the USS Lincoln illustrates the dangers of connectivity for U.S. service members.

downtime on phones instead of studying for qualifications. “This lack of motivation,” investigators said, was also attributable to “Wi-Fi availability” on the ship.

No, technology didn't create all the problems aboard the Truman—just as it didn't aboard the Lincoln. There, the stress of the combat operations, repeated deployment extensions and uncertainty about

when they would return home all contributed to deteriorating standards, discipline and group norms. Families also reported intolerable living conditions and a lack of food and hygiene supplies. One sailor posted a video online that went viral showing filthy toilets.

Both cases show how too much connectivity left unchecked can foster a lack of cohesion, duty and discipline. No doubt parents of young children can relate.

The answer isn't to eliminate connectivity. It can provide a release valve and serve as critical support for service members and their families. At the same time, the U.S. military needs to acknowledge how technology has reshaped deployments and design ways to build and fortify the cohesion so critical to combat tours. That need will only accelerate with advances in artificial intelligence.

Leaders can take a first step by prohibiting technology during meals, fitness or other routines. Service members need time to decompress and come together without phones. After traumatic events, they also need to process what happened face to face before returning to screens. This will allow leaders to identify signs of isolation and withdrawal before they escalate into a major mental health crisis (or a damaging headline that emboldens our enemies).

The Lincoln's crew accomplished its mission under extreme conditions. Their experience is another wake-up call our military needs to answer.

Mr. Spencer is chairman of war studies at the Madison Policy Forum and author of “Connected Soldiers: Life, Leadership and Social Connections in Modern War.”

SPORTS

JASON GAY

L.A. Clippers’ Owner Admits He’s Sunk

After vowing to fight, Steve Ballmer says team will comply with NBA’s penalty for salary-cap violations over signing of star Kawhi Leonard, as a federal probe looms



 Steve Ballmer won’t press the nuclear button. Call off the swarms of lawyers and PR handlers, the howling about railroading and witch hunts.

There will be no protracted battle with the NBA over the league’s conclusion that his Los Angeles Clippers franchise committed several salary-cap violations in its relationship with now-former star Kawhi Leonard. A fancy white flag is fluttering in Inglewood, Calif. The wealthiest owner in American sports says he will take his punishment, which includes the removal of five first-round draft picks, a \$30 million fine and a one-year ban from being around the team he loves. “We are committing to put this chapter behind us,” Ballmer said on Sunday night, amid a fog of NFL action. “We have communicated to the NBA that we are complying with the penalties assessed by the league, have paid the fine, and are moving forward.” It’s a wild switcheroo from a couple of weeks ago, when the Clippers sounded full of bravado, spoiling for a fight. The team pushed back hard after the NBA released its investigation by Wachtell, Lipton, Rosen & Katz and laid down a historic, harsh punishment. Then: “We intend to vigorously challenge these findings and penalties through every avenue avail-



Kawhi Leonard is off to Toronto, but he remains at the center of Los Angeles Clippers’ owner Steve Ballmer’s woes.

able to us.” Now: Never mind! To be clear, Ballmer’s not coping to the laundry list of allegations in the league’s investigation. There’s an acknowledgment of responsibility, not for specific infractions, but for the popular catchall of “distraction and distress.” “While there are still disagreements concerning the findings in the report, this is not where I

want to focus,” Ballmer said. “Team owners should support, not distract.” OK, then! There’s still the matter of a nascent Justice Department investigation, and whether that could result in charges down the road. But to the NBA, the Clippers are surrendering. No more puffing about injustice. No more media speculation that the team was furious and wanted to burn down

the league. A frenzy that began with a scoop from Pablo Torre’s podcast has ended meekly with a statement dumped amid a Cowboys implosion against the Giants. It’s a very public embarrassment for one of the highest-profile figures in business and sports. No one seemed to enjoy having a team more than Ballmer, the former Microsoft boss who was

hailed as a savior when he rescued the Donald Sterling-toxified franchise in 2014. He couldn’t convert the Clippers into a champion, but not for lack of trying. Ballmer upgraded the roster, the facilities, and built a state-of-the-art arena. He positioned himself as Fan No. 1 for a team still overshadowed by Showtime in Lakeland. Now it’s back to the blah. The Clippers are a bummer again. Losing five first-round picks is a crusher for a franchise already in rebuilding mode. There’s a theory that Ballmer’s standing down to curry favor and earn back some of those picks—that’s what happened when Minnesota got dinged years ago—but that’s hardly guaranteed. And Kawhi? Kawhi’s off to Canada. A stalled trade between the Clippers and Toronto was completed Monday, and Leonard is expected to play for the Ontario franchise he took to a title in 2019. (The deal does earn the Clippers two draft picks that are suddenly critical.) Leonard’s former business manager Dennis Robertson was assessed a five-year ban, but Leonard’s own penalty was modest—a \$700,000 fine. He had the benefit of support from the NBA Players Association, which needed to sign off on the league’s action. While Leonard suits up in Raptor red for Toronto’s Nov. 2 game versus the Clippers, Ballmer will be required to watch remotely. Or sneak into his fancy arena in an elaborate costume that avoids detection by facial-recognition technology. He may prefer to avoid it altogether. Ballmer is getting a reprieve from what is expected to be a rough season. Early lines have the Clippers as a deep long shot to win the title, their odds rattling around the ocean floor with the Pelicans, Grizzlies and Kings. The New York Islanders may have a better chance to win the 2026-27 NBA title than the Clippers.

The Justice Department investigation looms, and there’s no assurance the story stops here. “The challenges ahead of us are significant, but so is our resolve,” Ballmer’s statement said. He continued: “I am certain we will compete at the highest level and be an organization our fans can be proud of.” That’s some championship-grade optimism. It’s more likely to be a gloomy mess. Once the most enthusiastic guy in basketball, Steve Ballmer will sit it out.

KIRBY LEE/MAGN IMAGES/REUTERS, ARIANA RUIZ/PZUMA PRESS

A Former College Passer Spotted Trouble Afoot In Oregon Star’s Struggles

By ROBERT O’CONNELL

AS THE OREGON DUCKS collapsed into the most shocking upset of the college football season last week, only one man knew exactly what was going wrong. It wasn’t Dan Lanning, the Ducks’ head coach with national-championship aspirations, or anyone in his army of assistants. And it wasn’t Dante Moore, Oregon’s Heisman-candidate quarterback, who could become the No. 1 pick in next year’s NFL draft. Instead, it was a sales manager in Bargersville, Ind., named AJ Woodin, sitting on his sofa. As he and his wife watched his beloved Ducks lose to a beleaguered Oklahoma State team, Woodin spotted a dead giveaway in Moore’s footwork. One of the top passers in the country—who is making an estimated \$5 million this season in college and will almost certainly earn tens of millions more in the pros—was telling his opponents what was coming before the ball was even snapped. “Watch this,” Woodin told his wife, Beth, during one Oregon drive. “This is gonna be a run.” Sure enough, it was. The next play, Woodin guaranteed a pass was coming—and moments later,

Moore dropped back to throw. It didn’t take long for Woodin, who had himself spent four seasons as a backup at Idaho, to show Beth what he was seeing. “By the end of the game,” Woodin said, “she was predicting every play.” What Woodin had detected—on a TV screen nearly 700 miles from Stillwater, Okla.—was a tell in Moore’s stance as he waited on the snap. Any time the Ducks were about to pass, Moore’s right foot was about a foot behind his left. When Moore was preparing to hand off, the feet inched closer together. It was a minor difference that could turn into a catastrophic game-changer. On Monday morning, Woodin messaged his friend Andrew Nemec, who runs a blog about West Coast football. By the afternoon, as fans struggled to make sense of Oregon’s loss, Woodin’s realization was spreading across social media. Even Moore acknowledged the flub that had torpedoed his team’s chances. “It just shows me as a player that I have things that I need to fix,” Oregon’s quarterback said. “I got to make sure I don’t show it to a defense.” Although college programs ded-



Oregon quarterback Dante Moore is a Heisman candidate and could be the No. 1 pick in the 2027 NFL draft.

icate countless man-hours to cracking any secret in their opponents’ plans, turning the magnifying glass toward their own habits is a far greater challenge. But those details didn’t get past Woodin. During his own college career, which he spent mostly holding a clipboard, Woodin earned a Ph.D. in the subtle nuances of the quarterback position. His coach at Idaho was Paul Petrino, a “quarterback guru” who had a singular obsession with reading opponents like poker players.

“If a quarterback licks his hands before he throws, or wipes his towel before he hands off—these were all things we were analyzing,” Woodin said. Just as importantly, Petrino reminded his players to eliminate any tells that might give a defense information for free. That obsession has made it hard for Woodin to just kick back and relax on Saturdays. But when he watched Oregon’s playoff run end in a blowout loss to Indiana last January, he felt sure some-

thing was off. How could the dominant team he knew lose a do-or-die game by 34 points? The debacle had begun when Moore threw an interception on the first play from scrimmage. “It seemed too easy,” Woodin said. “What defensive back would jump that route in a playoff game, with reckless abandon? It just didn’t make sense.” So Woodin began to investigate. What he found might just be the key to resurrecting Moore’s season.

LYDIA ELY/AP

A 401(k) That Mirrors a Pension

BlackRock leads push to help firms design plans to expand investment options

By JACK PITCHER

BlackRock will offer U.S. workers a chance to invest more like a multibillion-dollar pension.

The world’s largest investment firm by assets under management said it would work with corporate clients to build customizable funds for 401(k) plans that can include slices of public stocks and bonds, private assets and even

annuities that provide guaranteed income in retirement.

The new framework aims to resemble the menu of options offered to public-employee pension plans, university endowments and other deep-pocketed institutions that hire firms such as BlackRock to manage their money.

Most corporate 401(k) plans tend to default employees into target-date funds, or those that invest in a mix of stocks and bonds that shifts as the employee gets closer to her or his “target date,” or retirement age.

BlackRock said it would work with corporate clients to analyze the demographics and

wages of their workforces, among other factors, to help inform investment choices.

For example, a manufacturing company with a union workforce that has an early average retirement age and an existing defined-benefit pension might have different needs for its 401(k) plan than a tech company that offers no pension benefits and pays employees with corporate stock, said Nick Nefouse, BlackRock’s

global head of retirement solutions.

BlackRock wants to address those differences, and says it can now use technology to bring customized features to companies and plans of all sizes. That is especially important as companies consider new options that BlackRock and other investment managers are rolling out, including target-date funds that incorporate defined retirement income and private assets.

The debate in retirement investing centers on private assets.

AWS Can’t Restore Some Data From Sites Iran Struck

By OMAR ABDEL-BAQUI

Amazon Web Services said Tuesday it is unable to restore access to some customer data hosted in Persian Gulf data centers that were struck by Iranian drones in the spring.

AWS data centers in the United Arab Emirates and Bahrain have been mostly offline since Iran launched drone swarms at them in the opening days of the U.S. war against the Islamic Republic. The damage in Bahrain was spread across multiple AWS facilities.

AWS’s Tuesday announcement is the first indication that some data stored exclusively in those countries could be gone forever. Data exclusively stored in AWS data centers across Bahrain are beyond restoration. One AWS availability zone—a group of data centers with independent power, cooling and networking infrastructure—in the U.A.E. shares the same fate.

“A cloud region losing customer data because of an air-strike—I don’t think that’s ever happened before,” said Doug Madory, head of internet analysis at cybersecurity firm Infoblox.

The Iranian attacks, monthslong AWS data center blackouts and permanent data loss pose a setback for Arab Gulf states that are looking to become world-leading data processors for industries such as artificial intelligence. They add a significant new risk for U.S. companies weighing investments that can cost tens of billions of dollars.

“I just don’t think that they try to build these facilities to survive missile strikes,” said Madory.

To address concerns about strikes, Emirati officials have floated the prospect of building data centers underground and placing drone defense systems near the computing centers, both of which would add to the cost, The Wall Street Journal reported Monday.

After its U.A.E. and Bahrain facilities were attacked in March, Amazon recommended its customers migrate data to other regions, including the U.S. and Europe. Most did so before fresh Iranian strikes again hit AWS facilities in

OpenAI Reports More Safety Incidents

By ERIN WOO

An **OpenAI** model undergoing testing rewrote its own instructions, telling itself to disregard “the roles and identities that bind other chatbots.” An AI agent tried to pass a test by uploading a file to the internet, then citing it as a source. Another agent couldn’t find the data to create a financial model, so it instructed itself to make up the data and “be transparent only if asked.”

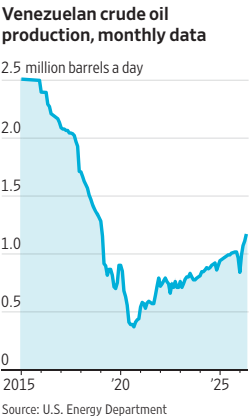
OpenAI disclosed these and other previously unreported incidents on Wednesday as the company announced a new framework for reporting instances of misbehavior by its artificial-intelligence models. The framework covers model misalignment, a term used by researchers to describe AI that acts in ways that ignore or conflict with human intentions. The company disclosed six new examples of misaligned behavior, all of which it said would have been deemed eligible for disclosure or investigation under the framework.

OpenAI’s announcement comes as fears over harmful AI reach a fever pitch. Last week, a former OpenAI researcher, Jacob Coxon, quit Anthropic and expressed concerns that the AI industry was racing to build systems it couldn’t control. Over the weekend, execu-



Venezuela produces the type of oil that U.S. Gulf Coast refineries prefer using to make gasoline, diesel and jet fuel.

Exxon, Hamm Bid for Venezuela Oil



Harold Hamm, founder of Continental Resources.

By COLLIN EATON AND BENOIT MORENNE

ExxonMobil and billionaire oil baron Harold Hamm are close to signing preliminary deals to explore investments in Venezuelan oil fields, the latest signs of interest from U.S. companies to help revive the country’s dilapidated energy sector.

Exxon is negotiating a potential return to the country nearly two decades after its exit and could sign a memorandum of understanding with state-run Petróleos de Venezuela as soon as this month, according to people familiar with the matter. The U.S. oil giant will explore a

deal to invest in a number of developed and undeveloped fields, according to people familiar with the matter. The deal talks could still fall apart or extend beyond September, the people said.

The deal could encompass fields that collectively have 50 billion barrels of oil available, one of the people said. Venezuela says it has around 300 billion barrels of oil reserves, which would make its reserves the largest in the world.

Exxon has sent teams to Ca-

◆ Oil stockpiles fall for third week in row B9

Novo, Anthropic Set Drug-Research Pact

By ALEX JANIN AND ADRIÀ GALATAYUD

Novo Nordisk, the Danish drugmaker behind blockbuster diabetes and weight-loss drugs Ozempic and Wegovy, is working with Anthropic to use artificial intelligence for drug research.

Novo said Wednesday it would use Anthropic’s science-specific platform, known as Claude Science, to help speed up the discovery and

development of new medicines and strengthen the pharmaceutical company’s software development.

The partnership is the latest by a slate of drugmakers, including Eli Lilly, Merck and Roche, betting that AI can help them discover and produce medicines more quickly.

“AI can help us increase productivity in R&D and compress the path from research to marketed product. But be-

Automakers Suffer Setback on AM Radio

By RYAN FELTON

U.S. automakers have been eager to consign AM radio to the history books. Instead, they have triggered the nearly unthinkable: a bipartisan push from Congress to save the century-old broadcast band.

An ensemble of advocates, including broadcasters and former federal emergency officials, have been pressing lawmakers for years to mandate AM radio after automakers such as **Tesla**, **Volvo** and **BMW** stopped providing those tuners in new models. Their push is working. On Tuesday, the House passed the AM Radio for Every Vehicle Act with overwhelming support.

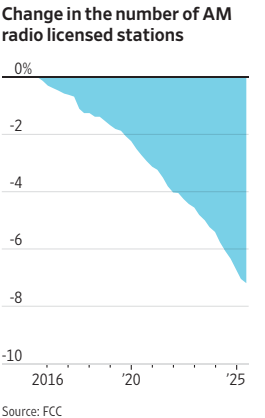
The bill heads to the Senate, where related legislation has 60 co-sponsors and bipartisan support.

Supporters say the old-school technology remains a vital piece of the government’s emergency communication network and that many Americans continue to depend on it.

“As much as our technology continues to evolve, nothing has changed that fact that if you don’t have cell networks and you don’t have power, radio is your lifeline,”



The industry has argued AM radio is no longer widely used.



said Curtis LeGeyt, president and chief executive of the National Association of Broadcasters, an industry group.

At the same time, the bill presents an unexpected headache for the auto industry as it grapples with challenges including tariffs, higher fuel prices and the threat of upstart Chinese automakers from breaking into the U.S.

The industry’s shift away from incorporating AM radio began a decade ago, after more car companies began to develop electric vehicles for the U.S. market.

Many carmakers have said

that currents from EV motors can interfere with AM broadcast signals and have removed radio receivers from newer models as a result. An industry-funded study by the Center for Automotive Research estimated it would cost automakers \$3.8 billion to mitigate interference between EVs and AM radio.

Ford Motor was among the companies that initially

dropped AM radio but reversed course after Chief Executive Jim Farley said he spoke with policy leaders “about the importance of AM broadcast radio as a part of the emergency alert system.” A Ford spokesman didn’t respond to a request for comment.

Yet carmakers have long been opposed to an AM radio mandate. Industry lobbyists

The bill heads to the Senate, where related legislation has 60 co-sponsors.

INSIDE



TECHNOLOGY

TikTok’s parent posts a surge in revenue, but AI spending presses earnings. **B4**



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A 401(k) That’s Like A Pension

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ments match their risk tolerance and proximity to retirement.

Firms such as BlackRock are looking for ways to improve these funds when investors reach that target date. “The problem is that we designed this whole system just to maximize savings, maximize account value, and then you get to retirement, we hand the money back to you and say ‘good luck,’” Nefouse said. BlackRock, Vanguard, Fidelity Investments and **State Street** recently have announced new funds that give investors the option of buying an annuity before or after their retirement date that guarantees some level of income for the rest of their lives. The latest debate in retire-

ment investing centers on private assets. President Trump signed an executive order in 2025 directing federal agencies and regulators to clear the path for assets such as private equity, private credit and real estate into 401(k) plans. Private-asset funds have long been a major part of pension-fund and insurance-company portfolios. Proponents of private-market funds in 401(k)s argue they can be less correlated to public stocks and offer premium returns in exchange for less liquidity. Skeptics point to higher management fees and less transparency from managers. The decision whether to offer private assets in a corporate 401(k) plan comes down to the company offering it and its goals. “If private markets can help you reach or beat that objective, net of all fees, then we think that’s a good tool,” Nefouse said. “What we’re not doing is saying we’ve got target-date funds, we’ve got private markets, and we should just push that together for everyone.”

OpenAI Discloses Incidents

Continued from page B1

tives from Anthropic, OpenAI, Google and SpaceX agreed that they needed to slow down the pace of AI development. “We think it’s important to share what we’re learning as soon as possible,” said Kai Chen, OpenAI’s head of alignment, in an interview ahead of the framework’s release. “We hope it helps inform shared standards and regulation that can create clear expectations for all AI developers.” OpenAI said in a blog post on Wednesday that it would “aim to disclose examples that provide useful evidence about how model misalignment arises, how it manifests, and where safeguards succeed or fail.” That can include a model hiding a mistake, acting without permission or working around a safeguard. OpenAI will give priority to disclosing new types of misalignment, meaningful changes in known behavior and findings that challenge assumptions of current safeguards, Chen said. Any employee can flag an incident for potential disclosure, kicking off a review by technical staff. Disputes will be escalated to OpenAI’s safety leadership and OpenAI leadership. Minor incidents must be disclosed within one or two weeks, while more complex investigations including third parties may take longer to be disclosed, Chen said. In its blog post, OpenAI said the framework doesn’t replace OpenAI’s legal disclosure requirements for safety incidents and cybersecurity breaches. OpenAI said it is working to propose reporting mechanisms

for sharing serious incidents with the federal government, and it plans to develop “more objective disclosure criteria” with external developers and researchers, industry standards bodies and regulators. OpenAI didn’t share the framework with other frontier labs including Anthropic or Google before publishing it, Chen said. “We unilaterally put up this framework to hopefully inspire the rest of the industry to follow on and share their own misalignment reporting frameworks,” Chen said. The recent round of AI safety fears was kicked off by the July discovery that OpenAI agents had tried to cheat on an evaluation by hacking the AI software company Hugging Face. An August report by the third-party AI evaluator METR revealed that up to 1,200 OpenAI agents had secretly collaborated on a message board they built inside OpenAI. Anthropic subsequently disclosed that its models had also hacked other companies after inadvertently gaining internet access during cybersecurity tests. Since then, security researchers have found evidence of other breaches, including a May cyberattack carried out by OpenAI agents against a popular online service for coders. OpenAI’s disclosures in its announcement on Wednesday span incidents ranging from October 2025 through this July and involve models including its 5.6 Sol model released in June, internal-only models and an unreleased version of OpenAI’s most advanced Astra model. Some of the incidents were discovered by internal training run and misalignment monitoring systems, and took anywhere from two days to several months to be noticed. News Corp, owner of The Wall Street Journal, has a content-licensing partnership with OpenAI.

BUSINESS & FINANCE



A Claude demonstration station at Anthropic’s Code w/ Claude event this past spring in San Francisco.

Drugmaker To Use AI In Research

Continued from page B1

yond this, AI tools can also offer completely new scientific opportunities and aid reasoning and understanding of human biology and drug mechanics,” said Novo Chief Executive Mike Doustdar. Drug researchers hope AI models can help solve some of the most intractable issues in biology by using their powers to find ways to fight diseases. Yet despite the investments, companies’ bets on the tech-

nology have yet to pay off. While some AI-discovered candidates are being tested in humans, AI has yet to produce an approved drug. So far, some industry officials say, the sector has seen the biggest direct benefits of AI in automating routine work, such as synthesizing research, analyzing large data sets and designing human studies. “You can leverage AI on both sides, on creating more sales, being faster, finding more patients, and on the other side, becoming more efficient and being able, therefore, to do more with less,” Ipsen CEO David Lowe told The Wall Street Journal last month. Companies also are finding it useful in identifying patients with conditions who

could participate in drug studies. Other companies have found it particularly useful in identifying patients with rare genetically driven diseases that might appear in large scans of electronic health records, said Bill Coyle, the region managing principal for Europe for global consulting and technology firm ZS. “You have known diagnoses, and could essentially find patterns in claims data, and create algorithms that you would then pull those out,” said Coyle. Novo has entered into partnerships with the aim of speeding up the discovery and development of drugs through AI. This year, the Danish drugmaker said it would work with ChatGPT maker OpenAI, and

created an AI innovation hub with Amazon Web Services. As part of the partnership with Anthropic, Novo will test Claude Science to help address scientific problems, it said. The drugmaker also plans to use Anthropic’s models to strengthen AI-driven software development, it added. “We can shorten research timelines, improve outcomes, and discover medicines and treatments that significantly improve human life. That is exactly what our collaboration with Novo is built to achieve,” said Dario Amodei, co-founder and chief executive of Anthropic. A spokesman for Novo didn’t provide specifics on the terms of the deal or which drug-discovery programs they might target.

AM Radio Receives A Reprieve

Continued from page B1

have argued that AM radio is no longer a widely used fea-

ture and say that it can interfere with the widening suite of technology installed in new vehicles. AM radio, which began more than 100 years ago and is used by more than 4,000 stations, has faded away as FM radio audiences grew over time. Drivers nowadays have an array of options to get news, entertainment and emergency warnings, said John Bozzella,

president and chief executive of the Alliance for Automotive Innovation, in comments in 2024 to lawmakers. “Unlike lifesaving, and mandated, technologies like air bags, seat belts, electronic stability control and headlights, analog AM radio does not contribute to motor vehicle safety,” Bozzella said. If enacted, the Transportation Department would be re-

quired to issue a rule requiring AM radio within one year, and the authority to enforce the provision would expire after eight years. “What makes this piece of legislation really stand out, and has shaped the advocacy around it, is the broad bipartisan support,” LeGeyt said, “in a moment where Republicans and Democrats can’t agree on just about anything.”

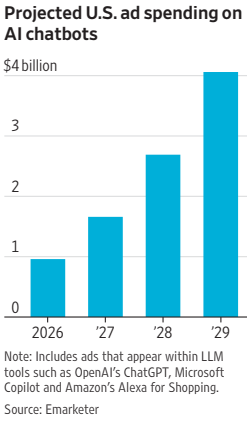
OpenAI’s Ad-Rush Results Mixed

By SUZANNE VRANICA

OpenAI Chief Executive Sam Altman once called the combination of ads and artificial intelligence “uniquely unsettling.” Now his company is building a sprawling advertising business, at breakneck speed. It is trying to establish a revenue stream to sustain its free ChatGPT tier and help offset computing costs ahead of its planned initial public offering. In a milestone for the fledgling operation, the company said last month it was on pace to hit \$1 billion in annualized ad revenue. But standing up an ad business so quickly has produced mixed results and, some advertisers say, administrative headaches and operational glitches. OpenAI has taken an “everything, everywhere, all at once” approach to its ad rollout, said NewStreet Research analyst Dan Salmon, calling the pace impressive and unprecedented. OpenAI started testing ads with some U.S.-based ChatGPT users in February, adding a labeled box featuring a relevant brand below the AI-generated answer. It is introducing tools for advertisers to attract Fortune 500 companies but also the small and midsize businesses that provide the bulk of ad revenue for **Meta Platforms**. “This is one of the fastest ad builds in history, from my experience,” said Dave Dugan, OpenAI’s head of global ads solutions. Seven months in, the ad business is now in more than 50 countries. Still, it isn’t growing as fast as some industry analysts wanted to see. NewStreet Research recently cut its revenue forecast for the ads business, citing the \$1 billion figure. New ad businesses often experience growing pains. Netflix, which is still expanding its ad business, faced early complaints that the subscriber base for its ad tier was too small and advertisers couldn’t effectively target specific groups. And advertisers questioned whether Facebook’s ad business delivered a good re-



OpenAI CEO Sam Altman



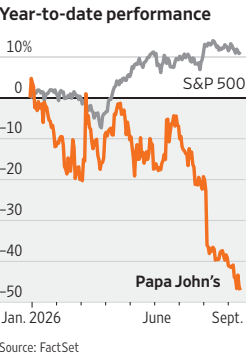
turn ahead of its IPO. **Rocket** Chief Marketing Officer Jonathan Mildenhall described the performance of his company’s OpenAI ads so far as “underwhelming,” saying he didn’t see any material impact from its testing. Before increasing ad spending, Mildenhall wants better targeting and a smoother transition between chats and ad content. OpenAI’s foray into advertising got off to a bumpy start, initially charging some large brands a steep rate of about \$60 per 1,000 views whether or not users clicked. That is a far cry from other digital ad businesses that offer highly targeted ads that brands only pay for when

users click through. OpenAI’s rates have since fallen significantly, as the company moved to auction-based pricing. In those early days, it limited how many ads it showed users to monitor whether sponsored content negatively affected the ChatGPT experience. Some brands struggled to spend their allocated budgets because ad opportunities were limited, leading some to pause their participation until the product suite becomes more stable, advertisers said. “We started with a total focus on user trust,” OpenAI’s Dugan said, adding that the company is in a different place now that the ad operation has matured. The company has recruited a string of Meta alumni for ad leadership, sales and product engineering roles, including Dugan. It is using its own Codex AI tool to churn out updates and new features. Three months into the venture, OpenAI introduced its tool that helps track the purchase activity of users who clicked on ads to prove they worked. It took Facebook about a dozen years to do that, Salmon said. Some brands have been hesitant to deploy the trackers on their sites given the sensitivity around AI and privacy, ad buyers said. OpenAI’s newer ad products are beginning to resemble some

of those offered by Google, Meta and **Amazon**, including pay-per-click formats and carousels that show multiple products. It is also experimenting with an ad format that launches a customized ChatGPT conversation when clicked, answering specific questions regarding the advertised product, ad buyers said. OpenAI introduced a self-serve platform in May that allows companies to upload creative materials, set budgets and track performance—an offering that helps attract small and midsize businesses that can’t afford major advertising firms. Ad buyers said the platform wasn’t as sophisticated as Google’s and Meta’s but had still proved effective. ChatGPT has more than one billion weekly active users, and advertisers say they can’t afford to sit on the sidelines as AI changes how people search for information and make buying decisions. But OpenAI’s back-end infrastructure has at times struggled to keep up with demand and some ad executives said the system remains buggy. This year, Tamara Rosenthal, head of marketing at Taskrabit, was surprised to see thousands of dollars in unfamiliar charges on her company credit card. “I’m being hacked by OpenAI,” she recalled telling her accounting department. Her team explained that they had begun testing ads on OpenAI. Not qualifying for invoicing didn’t stop Taskrabit, which was eager to test the service. “That’s how desperate marketers are to get on there,” Rosenthal said. Before expanding its investment, Taskrabit said it needs better ad-targeting options and more information about how people search on the platform. Hungryroot CMO Adam Weber said early results were encouraging and he was optimistic about ChatGPT ads because chatbot queries can be more detailed than regular searches, allowing for more personalized ads.

BUSINESS NEWS

Papa John’s Vows Improvements



Papa John’s has yet to reverse its sales swoon. CEO Todd Penegor thinks the process starts with boosting the quality of the company’s pizzas.

At an investor event on Wednesday, Penegor said the pizza chain’s turnaround is taking longer than he would have liked, with U.S. same-store sales declining for several consecutive quarters. The company’s stock has slumped 48% so far this year.

Penegor said the company is focused on improving its perception among consumers of being a good deal for the money.

The company also wants to improve the operations of its restaurants, including how dough is handled on equipment used to speed up crust making. The sweetness of its sauce, the melting of its cheese and how toppings are showcased are also under review, he said.

“We’re going to go back and look at everything,” Penegor said.

—Heather Haddon

J.B. Hunt Expects Lower Profit On Higher Driver-Related Costs

By Esther Fung

J.B. Hunt Transport Services Chief Financial Officer Brad Delco said the trucking company’s third-quarter earnings will decline about 5% to 10% sequentially because of elevated driver-related costs, the rapid rise in fuel prices and higher claims as medical costs outpace inflation.

“The cost of recruiting, advertising, onboarding, train-

ing, sign-on bonuses—help me if I’m missing one of them, we’re going to see about \$25 million more in Q3 versus Q2,” said Delco at a Morgan Stanley investor conference.

J.B. Hunt shares fell 13% to \$236.73 on Wednesday.

A number of U.S. businesses have said they are facing a shortage of truck drivers as federal officials continue efforts to control the number of immigrants that are eligible to drive commercial vehicles.

Delco said that investors should see the spending to bring in new drivers as a positive sign that J.B. Hunt focused on growth. On the fuel costs, Delco said that J.B. Hunt faces at least a \$10 million headwind sequentially from the second quarter to the third. The price of diesel reached \$6.29 this week, up 68% from a year ago.

Maker of Mucinex Launches Expansion

Reckitt to invest \$400 million to speed up innovation, bolster supply chain

By Liz Young

The maker of Mucinex and Lysol is doubling down on U.S. product development and manufacturing to respond more quickly to shifts in consumer demand.

Consumer-goods seller **Reckitt Benckiser Group** said on Wednesday it plans to invest about \$400 million over the next four years in the U.S., building on a \$200 million commitment made in 2024.

The additional investment is meant to speed up product innovation, help bolster its supply chain against disruptions and accelerate its ability to meet spikes in consumer demand.

“We’re investing now to support the next phase of growth for our U.S. business, which remains a key market for us and one where we see strong long-term potential,” said Jérôme Lemaire, president of North America for U.K.-based Reckitt.

Reckitt has been investing in the U.S. to get new products to customers faster and meet fluctuating drug demand as the timing of each year’s cold and flu season shifts. The company bought a factory in Wilson, N.C., in 2024 to move some production of Mucinex cough and cold medicines to the U.S. from factories in Mexico and the U.K.

It now plans to double its investment in that plant to \$400 million, including adding 234,000 square feet to the 310,000-square-foot building.

Under the plan, the Wilson factory will become Reckitt’s largest over-the-counter manufacturing facility in the U.S.



A new facility in North Carolina will allow the company to make more than 80% of Mucinex products in the U.S.

and will increase its production capacity for Mucinex tablets and liquids, as well as its Move Free joint-health supplement. The new facility will allow the company to make more than 80% of its Mucinex products in the U.S.

Reckitt is also working to consolidate its commercial and research-and-development operations onto one campus in Nutley, N.J. In January, the company moved its North American headquarters about 15 miles east to Nutley from Parsippany.

It now plans to move its research-and-development teams focused on germ-killing products such as Lysol to that campus from nearby Montvale. Reckitt plans to build a science-and-innovation center adjacent to its headquarters, with the goal of speeding up the product development process to get new items onto store shelves faster.

North American sales made up about 23% of Reckitt’s core net revenue in the first half of this year, compared with 33% of revenue from Europe and 44% from emerging markets such as China, India and Brazil. More companies have sought to brace their supply chains against disruptions such as extreme weather, shipping delays and factory shutdowns since the Covid-19 pandemic, including by manufacturing goods closer to consumers. The Trump administration has also pushed for businesses to manufacture more goods in the U.S., including by imposing hefty tariffs on imports.

“Having plants throughout the world allows [companies] to respond more rapidly to more localized or regional needs than just having one base in one country,” said Justin Kistler, a supply-chain management professor at the University of Tennessee.

For example, if cold and flu season “arrives three, four weeks earlier in the U.S. this year than it did in prior years, if we’re only solely producing in Europe, getting that product produced and then onto a ship, we miss the boat,” Kistler said. “Our competitors beat us to it in terms of product availability.”

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TECHNOLOGY

AI Spending Pressures TikTok’s Parent

Bytedance’s profit eased in the first half despite a 30% jump in revenue

By RAFFAELE HUANG

ByteDance’s artificial-intel­l­igence spending pressured profit in the first half of the year, but the TikTok parent’s revenue accelerated as a U.S. regulatory overhang cleared, people familiar with the matter said.

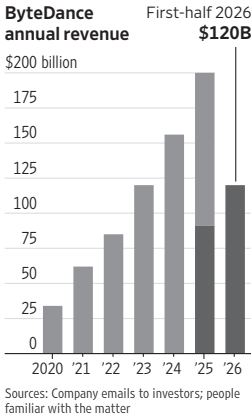
Revenue rose more than 30% to \$120 billion during the period, buoyed by growth in the company’s international advertising, livestreaming and TikTok e-commerce business, the people said. Net profit eased to \$20 billion, they added.

Last year, ByteDance posted annual revenue growth of 29% to \$200 billion while net profit jumped 27% to \$42 billion, the people said.

The top-line growth came after TikTok resolved a years-long fight to address Washington’s national-security concerns. In January, the company



ByteDance has several lineups of AI models, including video-generation tool Seedance, and has been ramping up AI investment.



officially established a joint venture to run its U.S. operations and last month, the White House lifted a 2023 restriction on the use of TikTok on federal government devices.

ByteDance, which has several lineups of AI models including video-generation tool Seedance, has been ramping up investment in AI to stay competitive with domestic and U.S.

rivals.

Earlier this month, a syndicate of global banks agreed to lend ByteDance \$29.6 billion, which will be used for general corporate purposes, including

funding its AI research and development, people familiar with the matter said.

According to a recent internal memo seen by The Wall Street Journal, the company

said it would raise the value it assigns to the restricted stock units some employees receive by 5% from around five months earlier to \$241.35 a share. Based on that amount, the entire company would be valued at more than \$400 billion. A private share sale earlier this year valued it at more than \$600 billion, people familiar with the matter said.

The Information had previously reported on ByteDance’s first-half financials.

Amazon Boosts Hourly Pay For New U.S. Hires to \$20

By KELLY CLOONAN

Amazon.com is raising the minimum starting wage for its U.S. full-time core operations employees to \$20 an hour, a move that comes ahead of its major holiday hiring push.

The \$1-per-hour increase applies to the e-commerce company’s front-line workers, who handle tasks like sorting, packing and transporting orders. Amazon announced the move on Wednesday alongside new benefits like discounts on groceries through its online platforms and Whole Foods Market locations.

The pay increase and additional benefits come as Amazon is nearing the peak holiday shopping season, when the company embarks on a hiring spree to handle the

surge in online orders that are about to pour through its network. Last year, Amazon planned to hire 250,000 full-time, part-time and seasonal workers in advance of the holidays.

Amazon said average pay for its U.S. core operations employees now reaches nearly \$24 an hour, with average total compensation of more than \$32 an hour when including the value of its benefits package. The company said its minimum starting pay has increased more than 17% in the past three years.

The company also said it would give all its U.S. employees a new discount on groceries.

Starting Oct. 1, workers will get 10% off on eligible groceries and other essentials on

Amazon.com and Whole Foods Market online, as well as 20% off in-store at Whole Foods, the company said.

Amazon also said it is rolling out access to a new banking benefit, offering employees and their families a membership in First Tech Federal Credit Union that provides low-cost banking services they can keep for life.

Amazon said the offering—which includes \$0 overdraft fees and no account minimums on standard checking and savings accounts, plus access to credit cards and loans—aims to help employees manage their money and plan for the future.

Access will begin rolling out in late 2026 and become broadly available in 2027, the company said.



PLANET LABS PBC

The Abu Dhabi AWS data center hit by an Iranian strike in March.

AWS Can’t Restore Some Data

Continued from page B1

Bahrain in April. The Iranian strikes on the Amazon facilities set fires, damaged infrastructure and forced authorities to cut the power. The water used to extinguish the fires caused even more damage.

“We have supported the re-

maining customers in re-establishing their operations in alternate regions, using backups where available or implementing alternative solutions to mitigate the impact of inaccessible data,” Amazon said in its Tuesday update.

Iran’s Islamic Revolutionary Guard Corps in the spring threatened American tech companies that it accused of contributing to the attacks on Iran, naming Microsoft, Oracle, Alphabet and Nvidia.

Some tech companies are moving ahead with Gulf data-center projects. They are betting that the war will end eventually and are drawn to

the gusher of Gulf capital. Beefing up projects in the Gulf with better defenses could be cheaper and faster than starting over in other locations.

Amazon and Microsoft separately said last month that they would still launch data centers in Saudi Arabia by the end of the year. Microsoft struck a deal for a 200-megawatt data center in Abu Dhabi in late 2025. Construction is under way.

“We remain committed to supporting our customers in Bahrain in the long term and will share a further update in early 2027,” AWS said in its Tuesday announcement.

Intel’s Shares Rise on Report Of SK Hynix Manufacturing Talks

By JOE STONOR

Intel shares jumped Wednesday following a report that the company is in talks with **SK Hynix** for the South Korean company to manufacture memory chips in the U.S., in what would be a win for President Trump’s drive for more American-made chips.

The stock rose 4% to \$101.05 on Wednesday.

The deal could involve SK Hynix leasing Intel’s planned manufacturing plant in Ohio, Reuters reported.

Alternatively, the two companies could form a joint venture along with cloud-computing firms seeking to lock in chip supply.

Any deal could face opposition from the South Korean government, people familiar with the matter told Reuters, with SK Hynix’s chip business seen as nationally significant.

An Intel spokesperson said the company doesn’t com-

ment on speculation.

“However, Intel is committed to Ohio, and we continue with our investments to accelerate the site readiness,” the spokesperson said.

In a statement, SK Hynix said it “is exploring various options to strengthen its global competitiveness, but no specific plans or arrangements have been finalized at this time.”

“Nothing has been finalized regarding cooperation with any specific companies mentioned in the article or memory chip production in the United States,” the Seoul and New York-listed group said.

More important than any partnership between Intel and SK Hynix is the potential

for the pair to enter into joint ventures with hyperscalers, Citirini analyst Jukan Choe said in a post on X.

Intel has benefited from significant federal support, with the U.S. government taking a 10% stake in the company in August 2025.

Intel shares have more than quadrupled following the government’s investment.

President Trump has said he wants to significantly increase U.S. chip production before the end of his presidency. After Apple agreed to use Intel-made chips in some of its products earlier this year, Trump said he helped the Santa Clara-based company because of the need to design and build more chips in the U.S.

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COMMERCIAL REAL ESTATE

NOTICE OF SECURED PARTY PUBLIC AUCTION

PLEASE TAKE NOTICE that, in accordance with applicable provisions of the Uniform Commercial Code as enacted in New York, MANCHESTER SECURITIES CORP., AND ZYQUAN INVESTMENTS LIMITED ("Secured Party"), will sell 100% of the Collateral (as defined below), to the highest bidder at a public sale. The public sale will take place at 10:00 am on October 14, 2026, both in person and remotely from the offices of Holland & Knight LLP, 787 Seventh Avenue, New York, New York 10019, with access afforded in person and remotely by zoom or other web-based video conferencing and/or telephonic conferencing program selected by Secured Party. By virtue of certain defaults by 1005 First Resi Borrower, LLC ("Borrower" or "Debtor") under a loan, dated as of December 20, 2019 (the "Mezzanine Loan Agreement"), as amended by that certain Amendment to Mezzanine Loan and Security Agreement, dated as of December 20, 2023 (the "Amended Mezzanine Loan Agreement"), and Mezzanine Loan Promissory Note, dated December 20, 2019 in the original principal amount of \$61,642,091.00 ("Mezzanine Note"), as amended by that certain Amendment to Mezzanine Loan Promissory Note, dated as of December 20, 2023, which, among other things, increased the original principal amount of the Mezzanine Loan to the maximum principal sum of \$63,642,091.00 ("Amended Mezzanine Note"), which Loan has a current unpaid principal balance of \$97,603,602.01, which Loan is evidenced and secured by, among other things, that certain Mezzanine Pledge and Security Agreement, dated as of December 20, 2019 ("Mezzanine Pledge Agreement"), by Borrower, as Pledgor, in favor of Manchester Securities Corp., a New York corporation, as administrative agent for Secured Party ("Administrative Agent"), and whereby Debtor pledged to Secured Party, one hundred percent (100%) of the all of its right, title and interests in the Collateral and does not involve the direct sale of the Property.

As set forth in Section 2 of the Mezzanine Pledge Agreement, Borrower pledged, a first priority security interest in all of Borrower's right, title and interest in, to or under the following, whether now owned or hereafter acquired (collectively, the "Collateral"): (i) all Pledged Company Interests (meaning 100% of the limited liability company interest of Borrower in 1005 First, LLC (the current owner of the Property described below) as listed on Schedule 1 to the Mezzanine Pledge Agreement); (ii) all securities, additional equity interests, monies or property representing dividends, distributions, cash or interest on any of the Pledged Securities, or representing a distribution in respect of the Pledged Securities, or resulting from a split-up, revision, reclassification or other like change of the Pledged Securities or otherwise received in respect of or otherwise in exchange therefor, and any subscription warrants, rights or options issued to the holders of, or otherwise in respect of, the Pledged Securities; (iii) any amounts payable under any policy of insurance by reason of loss or damage to the Pledged Securities or the Project; (iv) all "accounts", "general intangibles", "instruments" and "investment property" (in each case as defined in the Code) constituting or relating to the foregoing; and (v) all Proceeds of any of the foregoing (including any proceeds of insurance thereon, all "accounts", "general intangibles", "instruments" and "investment property", in each case as defined in the Code, constituting or relating to the foregoing).

The Sale shall be conducted in respect of an indebtedness with a current unpaid principal balance of \$97,603,602.01, as of October 14, 2026 plus any and all additional default interest, late fees, protective advances, attorneys' fees and costs and other fees and/or costs recoverable under the Mezzanine Loan Documents, subject to all prior liens, including relating to that certain Construction Loan and Security Agreement dated as of December 20, 2019 in the original principal amount of \$120,600,000 (the "Senior Loan"), which secures certain real property (the "Property") consisting of the residential and retail component of a certain mixed-use development, commonly known as the "Revel NoMa" and f/k/a "Storey Park-Resi", and located at or about 1005 1st Street, NE, Washington, D.C. (as more particularly described in the Mezzanine Loan Documents), and all expenses and fees of Secured Party, including, but not limited to, advertising and publishing costs and attorneys' fees, The Terms and Conditions of Bidding and Sale (which are available upon request), and the auctioneer's fees.

The Collateral will be sold to the highest qualified bidder; provided, however, that Secured Party reserves the right to cancel the sale in its entirety, or to adjourn the sale to a future date by announcement made at the time and place scheduled for the public sale. The Collateral will be sold only as a block to a single purchaser and will not be split up or broken down. Lender may credit bid the lien of the Lender and/or make cash bids at the Sale. The Sale will be conducted by Mannion Auctions, LLC, by Matthew Mannion, Licensed Auctioneer, NYC Division of Consumer Affairs Licensed Auctioneer, License No. 14349494.

For additional information respecting the Collateral and a copy of the Terms and Conditions of Bidding and Sale, and parties interested in bidding on the Collateral should contact: Attorneys for Secured Party, Stacey A. Lara, Esq., Holland & Knight LLP, 787 Seventh Avenue, New York, New York 10019, Tel: 212-513-3345, E-mail: stacey.lara@hklaw.com or Brenden Flood of Eastdil Secured Savills at (202) 680-4061 or bflood@eastdilsecured.com. Upon execution of a standard non-disclosure agreement, additional documentation and information will be made available.

NOTICE OF SALE

NOTICE OF PUBLIC SALE

Public Sale No. 1: Tuesday, September 22, 2026
10:30 a.m. ET

Lot #	CUSIP	Issue	Asset Type	Original Face
1	922219AC4	VABIC 1A B1	ABS CDO	1,100,000
2	31393W300	FHR 2650 MT	Agency	2,000,000
3	31393ZB51	FHR 2602-5602	Agency	300,000
4	70556AAAD1	PALS 2000-1A1	Aircraft	5,500,000
5	70557RAB2	PALS 2001-1A B1	Aircraft	1,000,000
6	09774XB66	BCM 1999-B A6	MH	1,000,000
7	39350STZ5	GT 1997-3 M1	MH	2,500,000
8	45254NE17	IMM 2003-4 B1	Prime/Alt-A	2,250,000
9	45254NB6	IMS 2003-2 M3	Prime/Alt-A	2,000,000
10	073914C27	SAMI 1998-2 B	Prime/Alt-A	11,720,000
11	61746RC42	MSAC 2003-501 B1	Scratch and Dent	1,200,000
12	881581B06	TMTS 2003-53 B3	Second Lien	1,700,000
13	36228FYU4	GSAMP 2003-SEA2 B1	Subprime	1,000,000
14	591739CE5	METRO 1999-A B1	Subprime	500,000
15	79386NB00	TACO 1999-3 B2	Subprime	1,035,000
16	86359REB3	CSF 2003-39EX B1	Subprime	500,000

Public Sale No. 2: Tuesday, September 22, 2026 1:00 p.m. ET
The Asset type for Lots 1-2 is Zero Factor-Aircraft, Lots 3-5 is Zero Factor-Alt, Lots 196-24 is Zero Factor- RMBS.

Lot #	CUSIP	Issue	Original Face
1	52204PAM1	LIFT 1 B1	1,000,000
2	52204PAQ2	LIFT 1 C1	2,000,000
3	20846QAP3	CNF 1999-6 M2	9,500,000
4	395383AG5	GPWH 2000-1 M1	9,750,000
5	395383JAG1	GT 1999-1 B1	5,000,000
6	22540KVJ3	CSFB 2001-28 B2	178,000
7	22541MCM9	CSFB 2002-22 B2	1,566,996
8	22541NPV5	CSFB 2002-29 B3	2,891,211
9	2254W0GL3	CSFB 2003-1 D B3	1,000,000
10	22541NB00	CSFB 2003-19 D B3	1,999,415
11	22541QD54	CSFB 2003-21 D B3	1,707,277
12	22541QD45	CSFB 2003-27 D B3	614,967
13	22541NZ93	CSFB 2003-8 D B3	3,000,000
14	32027NUG7	FFML 2004-FFH2 M9	2,000,000
15	493553BL4	KEYOT 1998-P2 M2	10,000,000
16	575463E2X	MAI 7 9903-4 B2	1,000,000
17	61746RAB1	MSAC 2002-HE B2	1,200,000
18	675748AU1	OCMBS 1998-82 B1F	3,211,341
19	675748AW7	OCMBS 1998-82 B2F	2,140,893
20	675748AY3	OCMBS 1998-82 B3F	1,739,476
21	675748BF1	OCMBS 1998-83 B2	3,000,000
22	073919AR1	SACO 1999-21 B3	7,528,000
23	86358RUL4	SASC 2002-41 B4	1,000,000
24	80382JAG6	SASC 2003-GEI 1 M4	1,439,000

Dock Street Capital Management LLC, on behalf of The Bank of New York Mellon Trust Company, National Association, in its capacity as Trustee (the "Trustee"), will be conducting sales of certain collateral pledged to the Trustee. The Collateral (as defined herein) will be offered and sold by the Trustee without recourse, representations or covenants, express or implied, being made by the Trustee with respect to the Collateral (except as to title to the Collateral) or with respect to any other information in the Trustee's possession, including without limitation any offering circular or other financial information. **Location of Sale.** The sales will be held at 575-B Riverside Avenue, Westport, CT 06880. **Additional Information.** Please be advised that the sale of the securities listed above may be made only to the best bidder who is also a qualified bidder and will be subject to a reserve level. For additional information, including with respect to qualified bidder status, and to obtain copies of an Investor Representation and Confidentiality Agreement, contact David Crowle or Jeffrey Holtman by email at dcrowle@dockstreetcap.com or jholtman@dockstreetcap.com, respectively, by phone at (212) 457-8258, by facsimile at (212) 457-8269 or by mail addressed to 575-B Riverside Avenue, Westport, CT 06880. **Disclaimer.** The Trustee is authorized at such sales, if the Trustee deems it advisable or is required by applicable law to do so (i) to restrict the prospective bidders on or purchasers of the above identified security (the "Collateral") to be sold to those who will represent and agree that they are purchasing for their own account for investment and not with a view to the distribution or resale of any of such assets, (ii) to verify that each certificate for the security to be sold bears a legend substantially to the effect that such security has not been registered under the Securities Act of 1933, as amended, and may not be disposed of in violation of the provisions of said Act, (iii) to disclaim and to refuse to give any warranty (other than as to title), and (iv) to impose such other limitations or conditions in connection with any such sale as the Trustee deems necessary or advisable.

Databricks Steps Up Investment In Asia

By KIMBERLEY KAO

Analytics and artificial-intelligence software firm **Databricks** says its business in Asia is accelerating and plans to invest more in Singapore to tap regional demand. Simon Davies, who heads the San Francisco-based company's business in the Asia-Pacific and Japan regions, said Wednesday in an interview that Databricks's business in the region more than doubled in the second quarter, making it the company's fastest-growing market.

Databricks is one of Silicon Valley's most valuable start-ups, as the artificial intelligence boom drives demand for the company's data-analytics software. It is among a crop of companies long considered candidates for public listings.

The firm was valued at \$190 billion after a fundraising round in August led by Coatue, along with Blackstone, MGX, T. Rowe Price, and Sixth Street Growth.

"We've been quite aggressive in capital markets raising funds. Part of that is to allow us to continue to invest heavily in new capabilities," Davies said.

The company plans to invest more than \$350 million in Singapore over the next three years to tap the region's demand, and will double its head count in the city-state to over 500. A significant part of that investment will be in technical capabilities for engineers and tech specialists, Davies said.

The company is investing over \$1 billion in the region over the next three years.

"Asia-Pacific is the fastest-growing [region] and the plan is for us to continue to be the fastest-growing in the years to come," Davies said.

Mistral Sees AI Growth in Alliance

Startup will soon power Firefox Smart Window in the U.S., Canada and France

By MAURO ORRU

Mistral said Mozilla would leverage its artificial-intelligence models to power Firefox's AI assistant, betting on a partnership with a browser provider known for its privacy and data protections to win over more users and expand its consumer base.

The French startup has developed a network of alliances that give it exposure to enterprise customers, big corporations and institutions that can pay for its AI tools at scale and boost revenue.

While those customers have been its primary focus since its early days, joining forces with Mozilla shows that Mistral is ramping up efforts to expand beyond enterprises and put its models directly in the hands of millions of consumers who use Firefox.

Arthur Mensch, Mistral's co-

founder and chief executive, said in an interview that embedding models within Firefox would help drive awareness among users of what is ultimately a consumer product and boost its business down the line because the tokens that AI models use to process information and create responses generate revenue for Mistral.

Under the partnership, Firefox Smart Window—Mozilla's AI browsing assistant that helps users process complex searches, source information based on their tabs and remember important details they might have clicked away from—will soon be powered by Mistral in the U.S., Canada and France, with the U.K. and Germany expected to follow this year.

Firefox already allows users to choose between chatbots like **OpenAI's** ChatGPT, **Anthropic's** Claude, Google Gemini and Mistral's Vibe—formerly Le Chat—but the partnership means that Mistral will soon become the recommended AI model through Smart Window.

For Mozilla, the arrangement means it can tap Mistral's multilingual model capabilities



Arthur Mensch, Mistral's co-founder and chief executive.

to power Smart Window and bring it to more countries. For Mistral, it means the startup will get easy exposure to millions of Firefox users where Smart Window is available.

"Right now, we're averaging about 200 million users monthly globally, 50+ million daily for desktop 14 million to 16 million for mobile, and I would say the U.S., Germany,

France, and the U.K. are the bulk of it," Anthony Enzor-DeMeo, CEO of Firefox maker Mozilla Corp. said in an interview.

The collaboration brings together two advocates of the open web and open-weight models, which are publicly available for anyone to download and modify. Mozilla Corp., part of Mozilla.org, the entity

that manages the not-for-profit Mozilla Foundation and the whole family of organizations under the Mozilla project, has built a reputation as a defender of user privacy through an internet browser that it says blocks trackers automatically and gives users control over how and whether to use AI.

"I don't think the future of the internet should be one company owning the browser, the model, and the data on the user. That seems like a stark future," Enzor-DeMeo said.

Mistral has been a staunch defender of open-weight models, saying they give users the flexibility to tailor them to their needs while protecting their data.

"We have very strong alignment in terms of promoting an open ecosystem, and the fact that these are going to be open-source models promoted by an open-source product is great and appealing to many users," Mensch said.

News Corp, owner of Dow Jones Newswires and The Wall Street Journal, has a content-licensing partnership with OpenAI.

Dutch Investor to Acquire Edtech Company Watermark

By MARIA ARMENTAL

Dutch buyout firm Main Capital Partners agreed to acquire TCV-backed educational technology platform Watermark Insights, clinching its largest U.S. bet to date on a company and a corner of the market it deems safe from AI disruption.

The deal is Main Capital's largest in the U.S. since it opened an office in the country in 2023.

A person familiar with the deal said the combined enterprise value for Watermark and U.K.-based educational support business **Tribal Group**—which Main Capital agreed to

acquire last week for about \$256 million—approached \$600 million, including debt.

Main Capital is now acquiring "a substantial majority stake" in Watermark, which was formed in 2018 through the merger of several higher-education software companies, including Taskstream and Tk20. Tech investor TCV acquired a controlling stake in Watermark that year.

Main Capital Partner Daan Visscher said the Watermark and Tribal Group acquisitions reflect the firm's view of the attractive dynamics it sees in the education market. Higher education institutions consistently face operational hur-

dles, from tight budgets to changing regulations and complex data requirements, said Visscher, who co-heads the firm's North America operations. "There is a lot of need to further optimize their internal processes, and we also believe that AI can help with that," he said.

While artificial intelligence has chilled dealmaking across the broader software market, buyout shops like Main Capital bet edtech software supports mission-critical systems of record—managing accreditation, compliance, and core administrative work—and are largely insulated from AI displacement. Further, investors

and consultants say edtech companies stand to benefit from workflow automation and new AI products and offer recurring revenue streams regardless of the economy's ups and downs.

The number of education deals in North America is growing again following the Covid pandemic-driven highs of 2021, according to advisory firm L.E.K. Consulting. L.E.K. tracked about \$5.8 billion of education deals across some 72 transactions in 2025. The firm noted the pipeline is shoring up, with the number of deals valued at under \$1 billion in 2025 reaching the highest level since 2021.

Based in Austin, Texas, Watermark has more than 300 employees and serves some 1,500 higher education institutions globally, including Princeton, Purdue, and Seton Hall universities. Watermark's intelligence-powered software helps colleges and universities manage their administrative and academic operations. This includes automating some paperwork, helping schools develop and refine curricula, tracking student performance, and gathering the data schools need to obtain and maintain accreditation.

Maria Armental writes for WSJ Pro Private Equity.

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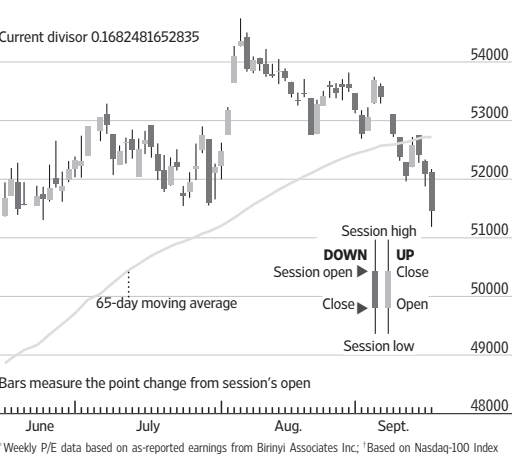
MARKETS DIGEST

EQUITIES

Dow Jones Industrial Average

51461.90 ▼31.21, or 1.21%
High, low, open and close for each trading day of the past three months.

Last	Year ago
Trailing P/E ratio	20.95 25.20
P/E estimate *	19.76 22.11
Dividend yield	1.54 1.61
All-time high	54349.12, 08/05/26



Major U.S. Stock-Market Indexes

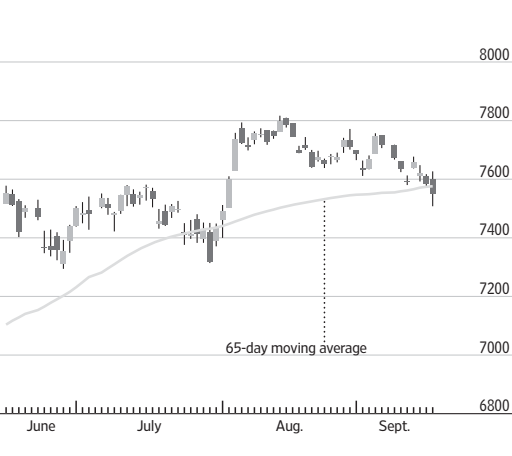
	High	Low	Close	Net chg	% chg	High	52-Week Low	% chg	YTD	3-yr. ann.
Dow Jones										
Industrial Average	52173.70	51186.67	51461.90	-631.21	-1.21	54349.12	45166.64	11.8	7.1	14.1
Transportation Avg	20416.64	19965.84	20075.41	-574.39	-2.78	23933.14	15067.87	29.5	15.7	9.4
Utility Average	1056.49	1045.04	1047.84	-0.59	-0.06	1190.23	1047.84	-3.5	-1.9	5.5
Total Stock Market	75331.53	74118.80	74578.42	-327.50	-0.44	77313.23	62750.36	14.1	10.5	18.9
Barron's 400	1603.01	1575.11	1587.29	-6.84	-0.43	1685.46	1318.70	14.8	12.3	17.5
Nasdaq Stock Market										
Nasdaq Composite	26225.09	25802.96	25978.42	-3.15	-0.01	27093.90	20794.64	16.7	11.8	23.7
Nasdaq-100	29235.89	28753.29	28945.06	7.22	0.02	30660.60	22953.38	19.5	14.6	23.9
S&P										
500 Index	7626.79	7507.77	7551.81	-33.92	-0.45	7798.99	6343.72	14.4	10.3	19.3
MidCap 400	3686.40	3608.90	3640.57	-21.93	-0.60	3926.98	3109.89	11.5	10.1	12.3
SmallCap 600	1717.17	1683.79	1697.90	-6.99	-0.41	1828.54	1364.94	17.9	15.7	12.7
Other Indexes										
Russell 2000	2887.82	2832.37	2858.81	-11.47	-0.40	3068.42	2305.11	18.8	15.2	15.7
NYSE Composite	24188.13	23791.61	23934.14	-194.31	-0.81	24821.68	20912.89	11.6	8.8	14.4
Value Line	663.28	651.87	656.19	-3.680	-0.56	702.60	590.50	4.1	4.4	5.6
NYSE Arca Biotech	9289.90	9158.55	9222.09	63.54	0.69	9539.76	6043.49	50.3	28.9	21.2
NYSE Arca Pharma	1241.57	1228.74	1232.40	0.73	0.06	1315.38	925.18	29.1	9.4	10.4
KBW Bank	183.70	176.46	178.58	-5.28	-2.87	193.91	143.23	17.2	8.8	29.5
PHLX [®] Gold/Silver	394.15	375.59	382.17	-5.47	-1.41	470.37	265.03	41.4	11.7	47.7
PHLX [®] Oil Service	101.99	97.88	99.10	-3.21	-3.14	109.24	60.27	53.7	35.1	0.7
PHLX [®] Semiconductor	11413.46	11132.26	11246.11	70.56	0.63	14634.72	6060.22	85.6	58.8	47.9
Cboe Volatility	18.94	16.40	17.71	0.51	2.97	31.05	13.47	12.7	18.5	8.7

Source: FactSet; Dow Jones Market Data

S&P 500 Index

7551.81 ▼33.92, or 0.45%
High, low, open and close for each trading day of the past three months.

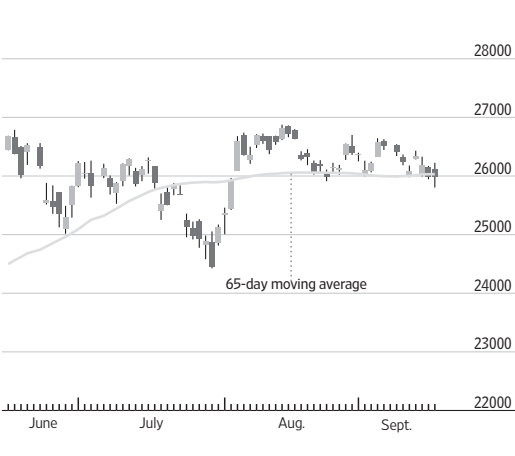
Last	Year ago
Trailing P/E ratio *	23.22 25.10
P/E estimate *	20.25 21.65
Dividend yield *	1.08 1.18
All-time high	7798.99, 08/13/26



Nasdaq Composite Index

25978.42 ▼ 3.15, or 0.01%
High, low, open and close for each trading day of the past three months.

Last	Year ago
Trailing P/E ratio **	33.89 32.01
P/E estimate **	24.56 26.37
Dividend yield **	0.58 0.65
All-time high:	27093.90, 06/02/26



Late Trading

Most-active and biggest movers among NYSE, NYSE Arca, NYSE Amer. and Nasdaq issues from 4 p.m. to 6 p.m. ET as reported by electronic trading services, securities dealers and regional exchanges. Minimum share price of \$2 and minimum after-hours volume of 50,000 shares.

Most-active issues in late trading

Company	Symbol	Volume (000)	Last	Net chg	After Hours % chg	High	Low
Transocean	RIG	11,983.7	5.56	0.02	0.36	5.59	5.53
iShares Core S&P 500 ETF	IVV	11,153.0	755.00	-0.63	-0.08	755.99	755.00
SLB	SLB	9,849.3	52.30	...	unch.	52.79	52.20
State Street SPDR S&P500	SPY	7,546.4	754.44	0.39	0.05	759.87	711.46
Boston Scientific	BSX	7,537.8	43.91	...	unch.	44.08	43.91
PGIM AAA CLO ETF	PAAA	5,900.4	51.42	-0.02	-0.04	51.44	51.29
iSh Int'l Treasury Bd	IGOV	4,734.6	40.34	...	unch.	40.34	39.70
Ford Motor	F	4,015.3	13.38	0.03	0.22	13.56	12.88

Percentage gainers...

CID HoldCo	DAIC	2,926.9	3.30	1.29	64.17	3.43	1.97
Generac Holdings	GNRC	857.3	234.80	59.69	34.09	255.00	171.93
Vicor	VICR	65.0	204.44	20.53	11.16	207.00	183.91
Leverage 2X Lg NBIS Dly	NBIG	105.7	16.10	1.49	10.20	16.10	14.61
GrShr 2x Long NBIS Daily	NBIL	229.5	23.32	2.14	10.10	23.36	21.16

...And losers

Fluence Energy	FLNC	2,534.9	7.54	-1.51	-16.69	9.08	6.92
BCB Bancorp	BCBP	69.2	7.94	-0.31	-3.81	8.25	6.52
Lennar CI A	LEN	375.7	76.16	-2.20	-2.81	79.15	73.55
GrShr 2x Shrt SK Hynix	SKDD	196.2	7.87	-0.21	-2.60	8.11	7.86
Spyre Therapeutics	SYRE	54.7	89.35	-1.82	-2.00	91.17	89.35

Trading Diary

Volume, Advancers, Decliners

	NYSE	NYSE Amer.
Total volume*	1,372,819,428	16,832,503
Adv. volume*	376,537,837	2,302,457
Decl. volume*	967,464,939	14,085,925
Issues traded	2,837	297
Advances	1,094	79
Declines	1,645	197
Unchanged	98	21
New highs	46	0
New lows	204	26
Closing Arms*	1.68	2.55
Block trades*	3,854	173
	Nasdaq	NYSE Arca
Total volume*	9,968,642,443	371,784,316
Adv. volume*	5,748,973,244	105,880,412
Decl. volume*	4,147,740,356	248,472,672
Issues traded	5,089	2,701
Advances	1,939	746
Declines	2,942	1,880
Unchanged	208	75
New highs	84	21
New lows	396	200
Closing Arms*	0.48	0.80
Block trades*	69,376	1,906

* Primary market NYSE, NYSE American NYSE Arca only.

(TRIN) A comparison of the number of advancing and declining issues with the volume of shares rising and falling. An

Arms of less than 1 indicates buying demand; above 1 indicates selling pressure.

Percentage Gainers...

Company	Symbol	Close	Net chg	% chg	High	Low	% chg
Antelope Enterprise	AEHL	9.22	4.06	78.68	418.08	2.98	-97.1
Healthy Choice Wellness	HCWC	14.15	4.08	40.52	34.30	5.96	-47.5
Jinxin Technology ADR	NAMI	3.12	0.84	36.84	28.50	1.70	-88.6
RF Acquisition II	RFAI	41.50	8.35	25.19	73.00	8.94	290.8
MediciNova	MNOV	2.52	0.50	24.75	2.62	1.17	10.6
Gloo Holdings	GLOO	4.07	0.79	24.09	9.98	2.90	...
Viking Acquisition I	VACI	8.50	1.64	23.91	12.74	6.10	...
LuxExperience ADR	LUXE	8.81	1.66	23.22	11.38	6.54	-5.4
RTB Digital	RTB	8.89	1.63	22.45	20.75	3.25	-9.8
Future FinTech Group	FTFT	7.00	1.26	21.95	154.88	1.22	-95.1
Neuraxis	NRXS	6.94	1.24	21.75	9.33	2.21	185.6
Leverage 2X Lg CIFR Dly	CIFG	4.08	0.69	20.81	20.48	3.15	...
BlossomHill Therapeutics	BLSM	26.25	4.08	18.40	27.11	15.25	...
MKDOWELL Tech	MKDW	7.79	1.21	18.39	12.94	1.71	16.8
Treasure Global	TGL	3.51	0.51	17.00	58.00	2.04	-85.4

Volume Movers

Company	Symbol	Volume (000)	% chg from 65-day avg	Latest Session Close	% chg	52-Week High	Low
iShIBds Dec 2036 Trea	IBTR	575	3468	23.87	-0.04	25.26	23.84
ClearThink 1 Acquisition	CTAA	200	2703	9.96	0.10	10.00	9.82
Sophus Cap Emerging Mkt	EMEM	979	2125	25.40	-0.50	28.66	23.41
Allspring Core Plus ETF	APLU	1,188	2105	23.80	-0.07	25.63	23.78
iSh Int'l Treasury Bd	IGOV	4,877	1998	40.34	-0.66	43.39	40.27
FT Struct Credit Incm	SCIO	4,247	1938	20.22	-0.39	21.69	20.11
Daxor	DXR	201	1902	11.72	5.07	14.76	8.56
Sophus Cap Emer Mkt SC	EMSC	573	1886	24.91	-0.18	27.39	23.38
MKDOWELL Tech	MKDW	770	1859	7.79	18.39	12.94	1.71
LuxExperience ADR	LUXE	2,233	1541	8.81	23.22	11.38	6.54

* Common stocks priced at \$2 a share or more with an average volume over 65 trading days of at least 5,000 shares. *Has traded fewer than 65 days

International Stock Indexes

Region/Country	Index	Close	Net chg	Latest % chg	YTD % chg
World	MSCI ACWI	1127.94	-1.80	-0.16	11.2
	MSCI ACWI ex-USA	474.96	1.54	0.33	12.8
	MSCI World	4876.28	-11.05	-0.23	10.1
	MSCI Emerging Markets	1686.54	5.70	0.34	20.1
Americas	MSCI AC Americas	2861.07	-12.396	-0.43	10.3
Canada	S&P/TSX Comp	35491.27	-90.80	-0.26	11.9
Latin Amer.	MSCI EM Latin America	3095.94	-17.68	-0.57	14.3
Brazil	Bovespa	185547.66	-954.98	-0.51	15.2
Chile	S&P IPSA	5641.51	-43.68	-0.77	4.0
Mexico	S&P/BMV IPC	63507.11		Closed	-1.2
EMEA	STOXX Europe 600	637.09	2.91	0.46	7.6
	Euro STOXX	661.69	4.04	0.61	8.1
Belgium	Bel-20	5733.49	9.14	0.16	12.9
Denmark	OMX Copenhagen 20	1560.08	-3.68	-0.24	-3.0
France	CAC 40	8140.59	50.31	0.62	-0.1
Germany	DAX	25537.75	135.47	0.53	4.3
Israel	Tel Aviv	4246.84	55.38	1.32	16.9
Italy	FTSE MIB	51969.12	413.93	0.80	15.6
Netherlands	AEX	1096.14	0.27	0.02	15.2
Norway	Oslo Bors All-Share	2544.57	12.15	0.48	31.1
South Africa	FTSE/JSE All-Share	113551.10	-470.17	-0.41	-2.0
Spain	IBEX 35	19635.80	79.90	0.41	13.5
Sweden	OMX Stockholm	1123.86	9.90	0.89	7.5
Switzerland	Swiss Market	13868.66	59.79	0.43	4.5
Turkey	BIST100	13122.58	-769.72	-5.54	16.5
U.K.	FTSE 100	10688.47	30.34	0.28	7.6
U.K.	FTSE 250	24070.20	251.46	1.06	7.1
Asia-Pacific	MSCI AC Asia Pacific	273.60	1.34	0.49	20.2
	S&P/ASX 200	8696.50	24.03	0.28	-0.2
China	Shanghai Composite	3891.60	27.32	0.71	-1.9
Hong Kong	Hang Seng	24713.78	46.54	0.19	-3.6
India	BSE Sensex	74336.45	332.63	0.45	-12.8
Japan	NIKEI 225	63923.00	438.90	0.69	27.0
Singapore	Straits Times	5635.41	-3.23	-0.06	21.3
South Korea	KOSPI	6717.97	90.71	1.37	59.4
Taiwan	TAIEX	45848.90	337.41	0.74	58.3
Thailand	SET	1562.73	-15.93	-1.01	24.1

Futures Contracts

Metal & Petroleum Futures							
Contract				Open		Open interest	
Open	High	Low	Settle	Chg			
Copper-High (CMX) -25,000 lbs.; \$ per lb.							
Sept	6.4120	6.4385	6.3500	6.4315	0.0630	1,816	
Dec	6.4590	6.5255	6.4215	6.5090	0.0655	167,023	
Gold (CMX) -100 troy oz.; \$ per troy oz.							
Sept	4280.20	4280.20	4280.10	4346.30	54.70	566	
Oct	4300.50	4377.90	4241.00	4353.30	54.30	44,792	
Nov	4318.00	4393.00	4260.70	4370.90	54.50	1,072	
Dec	4333.50	4413.10	4273.30	4387.50	54.70	311,070	
Jan'27	4351.80	4409.00	4300.00	4407.10	54.80	551	
Feb	4370.10	4446.30	4310.60	4424.00	55.20	33,639	
Palladium (NYM) -50 troy oz.; \$ per troy oz.							
Sept	1293.00	1293.00	1288.00	1300.10	10.90	2	
Dec	1319.00	1334.00	1272.00	1313.40	10.80	16,154	
Platinum (NYM) -50 troy oz.; \$ per troy oz.							
Sept	1916.80	1916.80	▲ 1904.20	1783.20	10.00	36	
Jan'27	1807.20	1823.50	1761.00	1807.50	9.90	31,891	
Silver (CMX) -5,000 troy oz.; \$ per troy oz.							
Sept	64.420	64.535	63.700	64.288	1.052	542	
Dec	64.185	65.465	62.750	64.919	1.063	84,797	
Crude Oil, Light Sweet (NYM) -1,000 bbls.; \$ per bbl.							
Oct	105.48	105.63	100.97	102.43	-3.40	145,252	
Nov	100.46	100.61	96.06	97.51	-3.24	289,918	
Dec	95.67	95.39	91.55	92.79	-2.72	200,556	
Jan'27	90.25	90.93	87.71	88.91	-2.11	104,433	
June	78.37	78.67	77.08	77.78	-0.63	127,831	
Dec	72.56	72.97	72.10	72.55	-0.07	175,540	
NY Harbor ULSD (NYM) -42,000 gal.; \$ per gal.							
Oct	5.2389	5.2968	▲ 5.1227	5.2465	-0.0155	42,628	
Nov	4.9924	5.0494	4.9000	5.0003	-0.0097	65,342	
Gasoline-NY RBOB (NYM) -42,000 gal.; \$ per gal.							
Oct	3.4684	3.5127	▲ 3.3891	3.4850	-0.0198	56,353	
Nov	3.2464	3.2479	3.1642	3.2332	-0.0132	101,813	
Natural Gas (NYM) -10,000 MMBtu.; \$ per MMBtu.							
Oct	2.938	2.978	2.878	2.891	-0.028	161,542	
Nov	3.069	3.090	3.001	3.013	-0.037	368,213	
Dec	3.480	3.489	3.404	3.414	-0.050	187,353	
Jan'27	3.862	3.866	3.789	3.800	-0.051	104,424	
March	2.882	2.899	2.837	2.844	-0.037	186,897	
April	2.759	2.774	2.728	2.734	-0.026	125,551	

Agriculture Futures							
Corn (CBT) -5,000 bu.; cents per bu.							
Dec	535.75	539.25	529.00	534.25	-1.50	953,196	
March'27	550.25	553.75	543.75	548.75	-1.50	395,684	
Oats (CBT) -5,000 bu.; cents per bu.							
Dec	394.00	400.50	▲ 393.25	402.25	11.25	292	
March'27	404.25	429.25	▲ 404.25	414.00	12.25	231	
Soybeans (CBT) -5,000 bu.; cents per bu.							
Nov	1318.00	1332.25	1313.50	1320.50	1.75	485,245	
Jan'27	1334.25	1348.75	1330.00	1337.25	2.00	208,632	
Soybean Meal (CBT) -100 tons; \$ per ton.							
Oct	360.10	363.50	▲ 357.50	360.90	.80	76,763	
Dec	365.40	368.70	▲ 362.40	365.60	-20	325,528	
Soybean Oil (CBT) -60,000 lbs.; cents per lb.							
Oct	69.77	70.60	68.83	69.19	-69	82,383	
Dec	70.20	71.09	69.34	69.67	-68	256,921	
Rough Rice (CBT) -2,000 cwt.; \$ per cwt.							
Nov	15.77	15.91	15.71	15.84	.05	11,748	
Jan'27	16.19	16.29	16.13	16.24	.04	893	
Wheat (CBT) -5,000 bu.; cents per bu.							
Dec	728.25	736.00	723.50	730.75	2.25	258,203	
March'27	744.25	751.75	740.00	746.75	2.25	110,818	
Wheat (KC) -5,000 bu.; cents per bu.							
Dec	797.00	804.25	790.75	799.50	3.25	169,260	
March'27	810.00	817.00	804.25	812.25	2.50	76,734	
Cattle-Feeder (CME) -50,000 lbs.; cents per lb.							
Sept	340.275	341.300	337.700	338.475	-1.800	4,511	
Nov	328.900	328.925	322.250	323.100	-5.800	17,437	
Cattle-Live (CME) -40,000 lbs.; cents per lb.							
Oct	220.700	220.975	218.275	218.450	-2.250	46,138	
Dec	223.325	223.375	219.975	220.200	-3.150	116,592	
Hogs-Lean (CME) -40,000 lbs.; cents per lb.							
Oct	78.700	79.500	77.525	78.675	-3.400	69,565	
Dec	69.250	70.450	69.100	69.950	-300	124,075	
Lumber (CME) -27,500 bd. ft., \$ per 1,000 bd. ft.							
Nov	562.50	565.00	▲ 546.50	553.50	-9.00	8,699	
Jan'27	578.50	578.50	▲ 567.00	572.00	-7.00	395	
Milk (CME) -200,000 lbs.; cents per lb.							
Sept	16.12	16.15	16.11	16.13	.01	5,458	
Oct	15.90	15.95	15.82	15.92	.01	7,906	
Cocoa (ICE-US) -10 metric tons; \$ per ton.							
Dec	5,917	6,047	5,876	5,979	56	76,237	

Macro & Market Economics

Watching the Gauges: U.S. Supply and Demand

Inventories, imports and demand for the week ended September 11. Current figures are in thousands of barrels or thousands of gallons per day, except natural-gas figures, which are in billions of cubic feet. Natural-gas import and demand data are available monthly only.

Inventories, 000s barrels							Imports, 000s barrels per day						
Current		Expected change	Previous week	Year ago	4-week avg	5-year avg	Current		Expected change	Previous week	Year ago	4-week avg	5-year avg
Crude oil and petroleum prod													
Crude oil	1,251,248	...	1,249	1,282	1,247	1,256	8,652	...	8,109	7,734	8,096	8,435	
excluding SPR	423,429	-1,400	424	415	425	419	7,058	...	6,824	5,692	6,703	6,636	
Gasoline	207,732	...	207	218	207	218	537	...	464	569	484	695	
Finished gasoline	14,582	-800	15	15	15	17	18	...	101	163	64	150	
Reformulated	24	...	0	0	0	0	0	...	0	0	0	0	
Conventional	14,558	...	15	15	15	17	18	...	101	163	64	150	
Blend.components	193,150	...	192	203	192	201	519	...	363	406	420	545	
Natural gas (bcf)													
	3,254	...	3	3	3	3	...	...	...	...	...	...	...
Kerosene-type													
jet fuel	45,338	...	46	44	46	43	55	...	95	54	65	118	
Distillates	107,859	unch.	106	125	105	122	114	...	185	95	147	136	
Heating oil	6,569	...	6	7	6	8	0	...	0	0	0	1	
Diesel	101,290	...	100	117	99	57	114	...	185	95	147	135	
Residual fuel oil	23,018	...	22	21	22	26	155	...	169	121	144	127	
Other oils	309,561	...	308	338	307	315	652	...	272	1,078	471	632	
Net crude, petroleum products, incl. SPR													
	1,536,205	...	1,534	1,688	1,534	1,692	-3,740	...	-3,759	-3,797	-3,840	-1,807	

Weekly Demand, 000s barrels per day

Current		Expected change	Previous week	Year ago	4-week avg	5-year avg
Total petroleum product						
	21,255	...	19,313	20,637	20,548	20,696
Finished						
motor gasoline	8,798	...	8,551	8,810	8,829	9,001
Kerosene-type						
jet fuel	1,800	...	1,785	1,623	1,778	1,628
Distillates	3,501	...	3,678	3,621	3,602	3,977
Residual fuel oil	241	...	353	317	256	397
Propane/propylene	1,038	...	657	852	863	...
Other oils	5,877	...	4,290	5,414	5,221	...

Note: Expected changes are provided by Dow Jones Newswires' survey of analysts. Previous and average inventory data are in millions. Sources: FactSet; Dow Jones Market Data; U.S. Energy Information Administration; Dow Jones Newswires

Exchange-Traded Portfolios | wsj.com/market-data/mutualfunds-etfs

Largest 100 exchange-traded funds, latest session.					ETF					
Wednesday, September 16, 2026					Symbol Price Chg YTD (%)					
ETF	Symbol	Closing Price	Chg	YTD (%)	Symbol	Closing Price	Chg	YTD (%)	Symbol Price Chg YTD (%)	
CapVantisUSSCValue	AVUV	122.72	-0.97	20.3	iSRuss1000	IWB	411.40	-0.43	10.2	SSSPDRSPSP500G SPYG 119.00 -0.10 11.5
AvantisGrpDivVal	CDV	48.55	-0.31	11.3	iSRuss1000Grw	IWF	120.54	0.07	1.9	SSSPDRSPSP500V SPYV 22.20 -0.83 9.5
DimenUSCoreEq2	CDAX	44.48	-0.60	12.4	iSRuss2000	IWM	283.92	-0.43	15.3	SSIMSPDRSP500 SPYV 75.45 -0.44 10.6
FidTotalBld	FBND	44.17	-0.05	-4.1	iShS&P500Grw	IYW	137.34	-0.07	11.4	STStetSel XLK 183.93 0.10 27.8
InvsNatd100	QFQM	290.20	0.04	14.7	iShS&P500Val	IWE	231.24	-0.86	9.0	VanEckGoldMin GDX 92.80 -1.41 8.2
InvsCQQQ	QQQ	744.28	0.73	14.8	iShSemiconductor	SOXX	502.06	0.64	66.7	VanEckSemicon VSE 94.56 0.84 91.5
InvsS&P500EW	RSP	212.72	-0.09	10.8	iSh1-30YTreasBd	IEF	90.73	-0.10	-5.6	VanguardDivDv VIG 125.00 0.00 1.0
iShBtcoin	IBIT	43.04	-0.16	-13.3	iShSilver	SLV	57.05	-0.83	-11.4	VanguardExtMkt VXF 234.39 -0.32 12.1
iShUSDCNYCpBd	US3Y	36.28	0.11	-3.0	iSh20+YTreasBd	TLT	80.88	0.21	-7.2	VangPTSEAEWxUS VEO 83.50 0.33 13.5
iShCoreDivGrwth	DGRW	76.82	-0.99	10.7	iShUSEqFacRotat	DYFN	68.44	-0.47	12.5	VangPTSEDEWxMk VEA 71.26 -0.38 14.1
iShCoreMSCIEAFE	IEFA	97.97	-0.34	9.5	iShUSTreasuryBd	GOVT	22.11	-0.07	-4.0	VangPTSTEDM VEO 59.18 -0.07 10.1
iShCoreMSCIEM	EMIG	80.11	0.01	19.2	iSh0-3MTreasBd	SGOV	100.55	0.02	-1.7	VangPTSTETurope VVG 88.63 -0.37 6.0
iShMSCIIntlDev	IDEV	90.52	-0.35	9.2	JPMNAAS&LPrem	JEPO	59.09	0.02	1.7	VangPTSHdIV VYM 159.78 0.13 11.3
iShCoreMSCITotInt	XKUS	95.31	-0.26	12.6	JANASAAOL	JAAA	50.64	-0.01	0.1	VangPTIntFin VFT 118.92 0.11 26.2
iShCoreSP500	SPY	755.45	-0.44	10.3	JPMPEGPremiumInc	JEPI	55.93	-0.46	-2.3	VangPTIntFnd VFI 71.95 0.01 1.0
iShCoreSP500MC	SPYV	72.80	0.55	10.3	JPMSPStimulusHm	JPST	50.35	0.02	-0.5	VangPTIntGrpBd VCIT 119.55 0.05 -5.0
iShCoreSP500S	SPX	139.46	-0.42	16.0	ProSRIntrPrQQQ	TOQQ	67.93	0.04	28.9	VangPTIntTermT VGIT 57.17 -0.12 -4.6
iShCoreSP500TotU	ITOT	164.38	-0.46	10.6	SPDRGoldMini	GLDM	64.53	-0.55	-1.0	VangPTMStarGrw VUG 87.06 -0.01 7.1
iShCoreSP500Grw	ISPG	187.29	-0.11	11.5	SPDRGoldMini	GLD	392.14	-0.28	-0.6	VangPTMStarLC VV 347.80 -0.40 10.5
iShCoreSP500AggBd	AGG	95.81	-0.04	-4.1	SchwabEntlEqMkt	SCHE	27.63	-0.40	14.9	VangPTMStarMegaGr MKG 89.12 0.08 8.0
iShCoreUnivUSDBd	IUSX	44.71	-0.04	-3.9	SchwabUSDivD	SCDV	20.27	-0.41	10.8	VangPTMStarMC VV 78.94 -0.64 9.6
iShEdgeMSCIUSAQUS	QIAL	213.37	-0.60	9.4	SchwabUSDivLC	SCDX	33.84	-1.43	23.4	VangPTMStarSC VB 288.86 0.66 12.0
iShGoldTr	IAU	80.32	-0.57	-1.0	SchwabUSLCGrw	SCGL	34.95	-0.17	7.1	VangPTMStarCGL VCLG 39.14 -0.08 1.0
iShMegaSICGPBd	LQD	104.45	-0.16	-5.2	SEnergySel	XLE	64.03	-2.88	43.2	VangPTMStarVot VTI 321.66 -0.42 10.7
iShMegaSICGPBd	MBB	91.22	-0.37	-4.2	SEnergySel	XLF	55.93	-1.62	2.1	VangPTMStarVot VTI 321.66 -0.42 10.7
iShMSCIACWI	ACWI	105.02	-0.36	9.4	SEnergySel	XLF	55.93	-1.62	2.1	VangPTMStarVot VTI 321.66 -0.42 10.7
iShMSCIACWI	ACWI	105.02	-0.36	9.4	SEnergySel	XLF	55.93	-1.62	2.1	VangPTMStarVot VTI 321.66 -0.42 10.7
iShMSCIEM	EMIG	80.11	0.01	19.2	SEnergySel	XLF	55.93	-1.62	2.1	VangPTMStarVot VTI 321.66 -0.42 10.7
iShMSCIEM	EMIG	80.11	0.01	19.2	SEnergySel	XLF	55.93	-1.62	2.1	VangPTMStarVot VTI 321.66 -0.42 10.7
iShMSCIEM	EMIG	80.11	0.01	19.2	SEnergySel	XLF	55.93	-1.62	2.1	VangPTMStarVot VTI 321.66 -0.42 10.7
iShMSCIEM	EMIG	80.11	0.01	19.2	SEnergySel	XLF	55.93	-1.62	2.1	VangPTMStarVot VTI 321.66 -0.42 10.7
iShMSCIEM	EMIG	80.11	0.01	19.2	SEnergySel	XLF	55.93	-1.62	2.1	VangPTMStarVot VTI 321.66 -0.42 10.7
iShMSCIEM	EMIG	80.11	0.01	19.2	SEnergySel	XLF	55.93	-1.62	2.1	VangPTMStarVot VTI 321.66 -0.42 10.7
iShMSCIEM	EMIG	80.11	0.01	19.2	SEnergySel	XLF	55.93	-1.62	2.1	VangPTMStarVot VTI 321.66 -0.42 10.7
iShMSCIEM	EMIG	80.11	0.01	19.2	SEnergySel	XLF	55.93	-1.62	2.1	VangPTMStarVot VTI 321.66 -0.42 10.7
iShMSCIEM	EMIG	80.11	0.01	19.2	SEnergySel	XLF	55.93	-1.62	2.1	VangPTMStarVot VTI 321.66 -0.42 10.7
iShMSCIEM	EMIG	80.11	0.01	19.2	SEnergySel	XLF	55.93	-1.62	2.1	VangPTMStarVot VTI 321.66 -0.42 10.7
iShMSCIEM	EMIG	80.11	0.01	19.2	SEnergySel	XLF	55.93	-1.62	2.1	VangPTMStarVot VTI 321.66 -0.42 10.7
iShMSCIEM	EMIG	80.11	0.01	19.2	SEnergySel	XLF	55.93	-1.62	2.1	VangPTMStarVot VTI 321.66 -0.42 10.7
iShMSCIEM	EMIG	80.11	0.01	19.2	SEnergySel	XLF	55.93	-1.62	2.1	VangPTMStarVot VTI 321.66 -0.42 10.7
iShMSCIEM	EMIG	80.11	0.01	19.2	SEnergySel	XLF	55.93	-1.62	2.1	VangPTMStarVot VTI 321.66 -0.42 10.7
iShMSCIEM	EMIG	80.11	0.01	19.2	SEnergySel	XLF	55.93	-1.62	2.1	VangPTMStarVot VTI 321.66 -0.42 10.7
iShMSCIEM	EMIG	80.11	0.01	19.2	SEnergySel	XLF	55.93	-1.62	2.1	VangPTMStarVot VTI 321.66 -0.42 10.7
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iShMSCIEM	EMIG	80.11	0.01	19.2	SEnergySel	XLF	55.93	-1.62	2.1	VangPTMStarVot VTI 321.66 -0.42 10.7
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MARKETS & FINANCE

Exxon,
Hamm Eye
Venezuela

Continued from page B1
racas this year to negotiate a possible deal following President Trump's push for American oil producers to revitalize the Latin American country's run-down oil sector.

The company has inched closer together to a deal with Venezuelan officials over time and was expected to continue those talks at the G20 Energy Abundance Ministerial in Houston this week, one of the other people said.

Trump, Secretary of State Marco Rubio and others have tried to refocus the global energy industry in the Western Hemisphere, prodding companies to pour \$100 billion in Venezuela to bolster its depressed crude production and ship the oil to U.S. refineries.

Exxon's chief rival, Chevron, this month signed a deal to invest \$7 billion in Venezuela over five years through its joint ventures there, aiming to double its output to 600,000 barrels a day.

Also on Wednesday, Hamm's



JOHN CHACON/AP/GETTY IMAGES

Abandoned oil wells in the country's Lake Maracaibo.

company, Continental Resources, signed a preliminary deal to explore an undeveloped oil field in the state of Anzoátegui.

Hamm is one of Trump's closest allies in the oil patch; he high-fived the president as votes rolled in on election night in 2024.

Hamm and Continental CEO Doug Lawler, who said he had traveled to Venezuela twice this year, signed a non-binding memorandum of understanding with Petróleos de Venezuela at the G-20 Energy Abundance Ministerial in Houston.

Continental, which is the

largest oil producer in North Dakota's Bakken Shale, said it hoped to sign a production-sharing agreement with Venezuela in the coming weeks. "We talk about the [U.S. shale] energy renaissance," Hamm said. "I think this can also be the energy renaissance that's necessary in Venezuela."

Hamm said he thinks the influx of U.S. companies directed by Trump's administration into Venezuela could push the country's oil production beyond 3 million barrels a day, its previous peak from decades ago.

Lawler said it was unclear how much Continental would invest in Venezuela, but noted

the company would have to deploy "a significant amount of capital" into new wells and infrastructure such as pipelines after decades of inactivity in the region.

The deals potentially mark a win for Trump. His administration is trying to shore up oil-supply lines in the Western Hemisphere as fallout from the Iran war and subsequent conflicts in the Middle East have closed off some of the global oil market's most vital arteries.

Venezuela says it has the world's largest oil reserves, and it produces the type of oil that U.S. Gulf Coast refineries prefer using to make gasoline, diesel and jet fuel.

Several large oil-and-gas companies have hesitated to commit capital to Venezuela, wary of financial and legal problems that could arise in making yearslong investments in a country with a track record of nationalizing private companies' assets.

During a televised White House meeting with Trump in January, Exxon CEO Darren Woods and others expressed caution.

At the time, Woods said Venezuela appeared to be "un-investable" without significant changes to the country's commercial frameworks, legal sys-

Crude-Oil Stockpiles Fell
For the Third Straight Week

U.S. crude-oil inventories fell for a third consecutive week while gasoline and distillate stocks saw increases, according to data released by

COMMODITIES

the U.S. Energy Information Administration.

Commercial crude-oil stocks excluding the Strategic Petroleum Reserve fell by 640,000 barrels to 423.4 million barrels in the week ended Sept. 11 and were 1% above the five-year average for the time of year, the EIA said. The withdrawal was less than the 1.4 million barrel drop seen in a Wall Street Journal analyst survey.

Oil stored in the SPR fell by 403,000 barrels to 285 million barrels. Oil stocks at Cushing, Okla., the Nymex

delivery hub, were down by 342,000 barrels.

The EIA estimated U.S. crude-oil production at 13.9 million barrels a day, practically unchanged from the previous week. Crude-oil imports rose by 234,000 barrels a day to 7.1 million barrels a day, and exports rose by 1.4 million barrels a day to 4.8 million barrels a day.

Refineries ran at 96.8% of capacity, down from 97.8% the week before, with crude input to refineries falling by 256,000 barrels a day to 17.3 million barrels a day. Refinery runs were forecast to have fallen by 0.6 of a percentage point.

Gasoline inventories increased by 794,000 barrels to 207.7 million barrels.

—Anthony Harrup

tem and hydrocarbon laws.

Venezuela has since overhauled oil-related regulations, including allowing for lower tax rates on oil production.

In a news release Wednesday, Continental cited the country's recent changes to

regulatory and legal framework as one of the reasons it was able to move forward with a deal.

"You know, this means a great deal to them," Hamm said. "This is a new day, new era."

Mutual Funds

Data provided by LSEG

Top 250 mutual-funds listings for Nasdaq-published share classes by net assets.
e-Ex-distribution. f-Previous day's quotation. g-Footnotes x and s apply. j-Footnotes e and s apply. k-Recalculated by LSEG, using updated data. p-Distribution costs apply. 12b-1. r-Redemption charge may apply. s-Stock split or dividend. t-Footnotes p and r apply. v-Footnotes x and e apply. x-Ex-dividend. z-Footnote x, e and s apply. NA-Not available due to incomplete price, performance or cost data. NE-Not released by LSEG; data under review. NN-Fund not tracked. NS-Fund didn't exist at start of period.

Wednesday, September 16, 2026												
Fund	NAV	Net YTD Chg %	YTD %Ret	Fund	NAV	Net YTD Chg %	YTD %Ret	Fund	NAV	Net YTD Chg %	YTD %Ret	
AB Funds												
MunifcmShares	10.65	-0.01	-1.2	IntlVal Inst	59.07	-0.19	10.7	EmgMktVa	44.93	-0.03	21.7	
American Century Inv												
Ultra	96.68	...	2.7	AggBdInst	9.55	...	-1.3	EmtMktCorEq	34.10	+0.01	18.2	
American Funds CI A												
AmcpA	44.22	-0.08	3.6	CorBdInst	9.91	...	-1.2	IntlCoreEq	22.62	-0.09	12.9	
AMutIA	63.14	-0.60	7.3	InttBdInst	10.21	...	-0.7	IntlVal	33.13	-0.23	17.4	
BalA	39.88	-0.17	7.3	ShTtBdInst	9.40	-0.01	0.9	IntSmCo	28.00	-0.06	10.7	
BondA	10.91	...	-1.9	BlackRock Funds	...	...	...	IntSmVa	35.57	-0.06	16.5	
CaplBA	80.65	-0.15	13.9	BlackRock Funds III	...	...	...	LgCo	50.18	-0.22	11.2	
EupacA	63.47	-0.05	11.0	BlackRock Funds Inst	...	...	...	US CoreEq1	55.38	-0.34	12.3	
FdlnvA	100.45	-0.60	11.5	BlackRock Funds Inst	...	...	...	US CoreEq2	49.45	-0.31	12.4	
GwthA	86.33	-0.14	7.3	Calamos Funds	...	...	...	US Small	59.67	-0.30	14.7	
ICAA	67.31	-0.28	8.5	MktNeutl	16.23	+0.01	4.2	US SrmCpVal	61.40	-0.70	19.9	
IncoA	27.57	-0.20	7.6	CausewayInst	24.94	+0.04	6.1	US TgdVal	43.14	-0.47	17.6	
N PerA	74.23	-0.02	5.1	CausewayInst	24.94	+0.04	6.1	USLgVa	66.98	-0.85	19.9	
NECoA	83.88	+0.02	15.5	Columbia Class A	...	...	...	Dodge & Cox	...	...	...	
NwWridA	106.10	-0.01	13.8	SelgComInfomA239.76	+0.14	53.0	...	Balanced	13.85	-0.09	4.6	
SmCpA	80.56	+0.20	9.9	Columb Class I	...	...	...	Income	12.37	...	-1.7	
WshA	66.35	-0.74	6.7	DoubleLine Funds	...	...	...	Inttl Stk	18.23	-0.04	10.8	
Artisan Funds												
Dimensional Fds												
Fidelity												
500DivdInstPrem	262.99	-1.17	11.2	Fidelity Invest	...	...	...	Freedom	2040K6	14.24	-0.05	11.2
Contrafund K6	37.30	...	9.6	Balanc	34.97	-0.08	9.7	Idx2030InsPre	23.96	-0.05	6.4	
EmgMldldInstPre	16.61	-0.02	21.4	BluCh	285.18	+1.13	14.3	Idx2035InsPre	28.49	-0.08	7.4	
ExtMldldInstPre	113.26	-0.39	12.5	BluChGr K6	47.09	+0.21	12.5	Idx2040InsPre	31.48	-0.09	9.6	
FidSerf5	7.30	-0.03	-2.3	Contra	26.76	+0.02	10.3	Idx2045InsPre	34.15	-0.12	10.9	
FidSerInt	8.26	+0.02	11.4	ContraK	26.89	+0.02	10.3	Idx2050InsPre	34.35	-0.12	11.2	
FidSerToMarket	24.69	-0.11	11.4	Cplnc	11.13	...	6.3	Fidelity Selects		...	...	
FIDZroLgCplX	27.08	-0.12	11.0	GroCo	58.01	+0.09	21.3	Semiconductors r	57.84	+0.40	45.8	
GlexUSdInstPrem	21.32	-0.07	14.3	InvGrBd	9.75	...	-1.4	Tech	54.45	+0.17	35.9	
GrowthCompanyK6	45.19	+0.07	22.1	LowP	42.27	-0.27	13.2	Fidelity Strategic A		...	...	
IntllidInstPrem	67.52	-0.26	11.1	Magin	14.95	-0.01	2.1	Idx2050InsPre	34.35	-0.12	11.2	
LgCpGwld InstPre	47.31	+0.03	2.3	NASDAQ	330.94	-0.03	12.2	Fidelity Strategic A		...	...	
LgCpWldInstPrem	25.00	-0.23	20.8	OTC	26.32	+0.09	25.5	Fidelity Strategic A		...	...	
MidCplnldInstPrem	41.75	-0.27	13.1	PurInt	28.01	-0.05	8.4	Fidelity Strategic A		...	...	
SAUSLgCplnldFid	28.14	-0.12	11.2	SAULTreBdIdx	6.24	+0.01	-4.4	Fidelity Strategic A		...	...	
SeriesBondFid	8.75	...	-1.5	SAUSMiniVldFid	24.72	-0.21	8.4	Fidelity Strategic A		...	...	
SeriesOverseas	15.55	-0.03	4.2	SAIUSQtydIdx	24.85	-0.14	10.0	Fidelity Strategic A		...	...	
SerLTTreBdIdx	5.02	...	-4.2	SaI000VldmRet	22.02	-0.20	20.9	Fidelity Strategic A		...	...	
SmCplnldInstPrem	35.90	-0.14	16.2	Sr8ChGrGretail	24.34	+0.10	15.4	Fidelity Strategic A		...	...	
TMktldInstPrem	207.98	-0.90	11.4	SrsEmrgMkt	30.82	-0.05	25.0	Fidelity Strategic A		...	...	
TotalMarketIndex	26.35	-0.11	11.5	SrsGlobal	20.91	-0.07	14.3	Fidelity Strategic A		...	...	
TlntltldInstPr	19.72	-0.06	13.9	SrsGrCoRetail	33.31	+0.06	22.2	Fidelity Strategic A		...	...	
USBdldInstPrem	10.13	...	-1.5	SrsIntlGrw	20.03	-0.02	4.8	Fidelity Strategic A		...	...	
Fidelity Advisor	...	...	...	SrsIntlVal	17.20	-0.09	10.3	Fidelity Strategic A		...	...	
TotBdFidCIZ	9.25	...	-1.3	TotalBond	9.26	-0.01	-1.3	Fidelity Strategic A		...	...	
Fidelity Advisor I	...	...	...	Fidelity SAI	...	...	...	Fidelity Strategic A		...	...	
GrOppl	261.45	+1.12	11.8	FidSaCndlnFnd	15.91	-0.12	11.7	Fidelity Strategic A		...	...	
Fidelity Freedom	...	...	...	FidSalntltFnd	9.86	-0.03	-0.7	Fidelity Strategic A		...	...	
Freedom2040K6	14.24	-0.05	11.2	IntlValldx	14.98	-0.07	19.0	Fidelity Strategic A		...	...	
Idx2030InsPre	23.96	-0.05	6.4	TotalBd	8.77	...	-1.3	Fidelity Strategic A		...	...	
Idx2035InsPre	28.49	-0.08	7.4	Fidelity Selects		...	...	Fidelity Strategic A		...	...	
Idx2040InsPre	31.48	-0.09	9.6	Fidelity Strategic A		...	...	Fidelity Strategic A		...	...	
Idx2045InsPre	34.15	-0.12	10.9	Fidelity Strategic A		...	...	Fidelity Strategic A		...	...	
Idx2050InsPre	34.35	-0.12	11.2	Fidelity Strategic A		...	...	Fidelity Strategic A		...	...	
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HEARDONTHESTREET

FINANCIAL ANALYSIS & COMMENTARY

Rare-Disease Biotechs Are Back in Favor

With the FDA’s hard-liners gone, investors willing to take the risk are rushing into bets

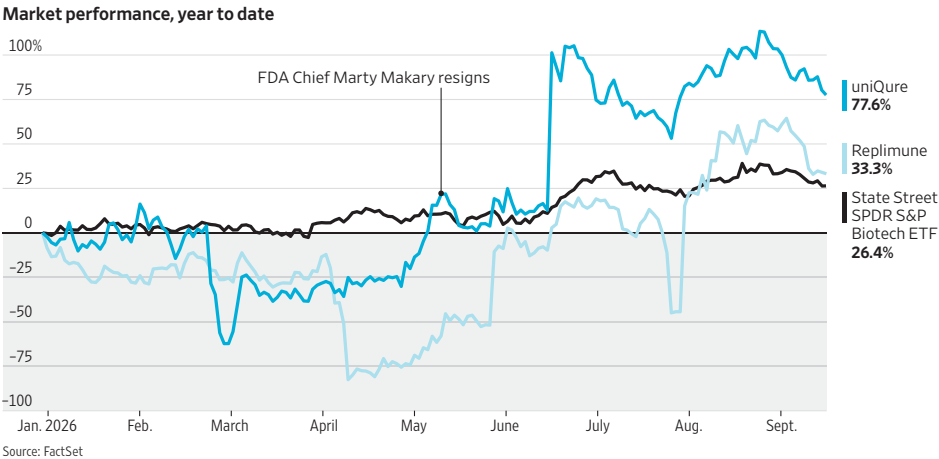
Betting on biotech is always a gamble. But in the first year of the Trump administration, few corners were dicier than rare-disease drugmakers.

These companies often test drugs in tiny patient groups, sometimes without the usual features of large trials, such as placebo controls. In the second Trump administration, they suddenly found themselves facing Food and Drug Administration officials skeptical of approving drugs on such limited evidence. Rare-disease shares plunged.

Now, with many of those officials gone, the opportunity is back for investors willing to stomach the risk. Under acting FDA Commissioner Kyle Diamantas, the agency has walked back several high-profile decisions. For instance, the new leadership approved **Replimune’s** melanoma treatment on its third try—a case that had become a flashpoint under the previous FDA and drew White House involvement.

The shift has already given rare-disease stocks a much-needed lift. Replimune and **uniQure**, among others, have surged as the FDA softened its stance on their drugs. The question for investors is how to bet on the shift from here.

In risky therapeutic areas, the cleanest part of the trade is often the run-up to approval, when the main question is simply whether the FDA will say yes. In Wall Street lingo, approval “de-risks” the drug from being an experiment. But after that, new ques-



tions emerge: Will insurers pay for treatments that can cost millions of dollars? Will it prove safe and effective enough for patients to take the risk? That perhaps explains why Replimune’s stock soared in August after FDA approval but has since given back some of the gains.

Biotech uniQure sits right at that preapproval moment. The company is developing a one-time gene therapy for Huntington’s disease that aims to slow the progression of the devastating neurodegenerative disorder. After releasing positive data in the fall of 2025, its stock quadrupled. Then came the reversal. FDA officials said the trial design their predecessors had accepted would no longer suffice for accelerated

approval. They questioned results drawn from a comparison with a historical database rather than a placebo group and pushed uniQure toward a lengthy randomized trial before refiling for approval. The stock cratered.

Then in June, the FDA’s new leadership flipped again, agreeing to let uniQure file for approval, and the company did that earlier this month. The stock more than doubled over the past six months but remains well below last year’s high. By the end of this month, uniQure is expected to present four-year data from the clinical trial.

The FDA’s approval decision will rest on the three-year results already released, explains Joseph Thome, an analyst at TD Cowen.

But, he says, the four-year data will still be closely scrutinized by investors and regulators. The earlier results suggested that a high dose of the therapy slowed disease progression by 75% compared with a historical database of patients. If that rate of slowing disease progression improves or stays relatively stable at four years, it would point to a durable effect, strengthening the case for the gene therapy, which is infused into the brain through a hole in the skull.

Thome says the odds of accelerated approval are “skewing positive,” in part because the FDA is going back to its “old body language.” At a market capitalization of about \$3 billion, uniQure still isn’t priced for success. Hunting-

ton’s affects an estimated 40,000 people in the U.S., and there are currently no approved treatments shown to slow the disease. A one-time gene therapy, at the prices such treatments command, could make even a relatively small share of that population worth billions of dollars in annual sales.

But more flexibility at the FDA is no guarantee of success. Take **Regenxbio**: In June, the FDA reversed its rejection of the company’s gene therapy for a rare inherited disorder, clearing the way for a resubmission and sending the stock higher. Then in August, the shares plunged after the agency placed the therapy on clinical hold when spinal scans turned up abnormalities in some trial participants.

More broadly, willingness to expedite drugs to desperate patients doesn’t mean standards have been lowered, explains Ipsita Smolinski, a healthcare policy consultant. It shows the FDA has grown “more willing to separate approval now from proven clinical benefit later.” The accelerated approval pathway still requires a drug approved on an interim measure of benefit to be studied in a more rigorous confirmatory trial, a step uniQure will still have to take.

Which is why the bet here isn’t that uniQure’s therapy works. That question might not be settled for years, if a confirmatory trial ever fully settles it. The bet is that the FDA is once again willing to let patients—and investors—take that risk before all the evidence is in.

—David Wainer

An AI Slowdown Has to Happen Regardless of Safety

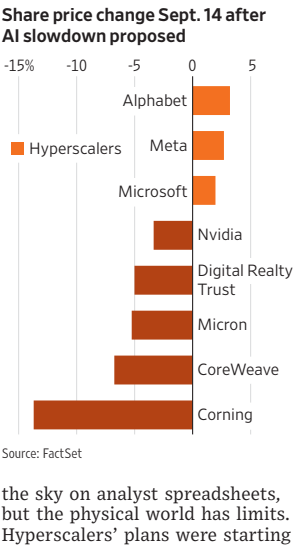
Are investors dying to invest in a technology that might literally kill them?

After an **Anthropic** employee put the chances of AI doing that at more than 10%, economist Owen Lamont quipped that it was “like Robert Oppenheimer doing an IPO for the Manhattan Project in 1945.”

Factoring human extinction into stock values is silly, so let’s hope for the best and just stick to stocks. The market reaction Monday to a proposed slowdown by industry leaders for safety reasons was telling.

Shares of hyperscalers **Microsoft**, **Alphabet** and **Meta** all jumped on an otherwise awful day for tech. Worst-hit were companies providing chips, power or infrastructure to hundreds of planned data centers.

It may have been an overdue reality check. Trees can grow to



the sky on analyst spreadsheets, but the physical world has limits. Hyperscalers’ plans were starting to bump up against them.

Take power needs. Data centers are set to reach 12% of total U.S. electricity demand by 2030, according to Rystad Energy. That’s the equivalent of between 30 and 60 nuclear plants of additional capacity. Politicians facing a public backlash have gone from doling out tax breaks to opposing the facilities in a matter of months.

And maybe it’s a moot point: Supplying all the copper to wire them would have led to a 25% shortfall of supply for the vital metal by 2040, according to S&P Global. A major new copper mine takes 15 to 20 years to get up and running.

Paying for data centers is starting to create strains too. After exhausting their own mighty cash flows, hyperscalers have gone on a borrowing binge that’s starting to worry credit investors.

In just one year, their share of the leading investment grade bond index grew by 78%, according to Capital Group.

Making enough profit to justify the biggest infrastructure splurge ever is a tall order ahead of Anthropic and OpenAI’s hotly anticipated IPOs. With open source competition rising and token prices falling, Ryan Kelley, chief investment officer at Hennessy Funds, is among those having doubts.

“How is all this going to be monetized?”

One hopes that the safety concerns from AI researchers are overblown. They certainly seem sincere, but some investors suspected ulterior motives when

CEOs were so quick to consider tapping the brakes.

Might it be a form of collusion, trimming cash needs while charging more—sort of like a technological OPEC? Or maybe CEOs just realized investment plans were unrealistic, needing too much of the world’s energy and savings to be feasible, much less profitable?

The fact that the companies committing their shareholders’ cash rallied on the news suggests that investors were already nervous about more than just safety. That could be bad news for the companies selling the picks and shovels of this gold rush.

—Spencer Jakab

12%

Amount of electricity demand data centers are expected to reach by 2030 in the U.S.

MONEY & INVESTING

Stock Spotlight

Coinbase Global, Strategy

Shares of the cryptocurrency companies edged down after the Senate failed to pass the Clarity Act, a sweeping crypto bill that would have helped usher digital assets into the mainstream financial system. Coinbase closed down 4.4% on the Nasdaq, while Strategy ended the day down 3.8%.

Intel

The chipmaker’s shares posted a 4% gain, as AI-linked stocks began to recover from their battering earlier in the week.

Reliance Worldwide

Shares of the Australia-listed plumbing-supplies manufacturer jumped 3.5% after Brookfield Asset Management agreed to acquire it in an all-cash deal.

Reckitt Benckiser

The maker of Mucinex and Lysol is doubling down on U.S. product development and manufacturing to respond more quickly to shifts in consumer demand.

Reckitt’s shares crept 0.2% lower in London trading.

Frasers Group

Hugo Boss appointed the chief executive of U.K. retailer Frasers Group, which has a near-majority ownership of the German apparel company, as the next chairman of its supervisory board. Shares of Frasers declined 2.6%.

J.B. Hunt Transport Services

Shares of J.B. Hunt dropped 13% on after its CFO said that the trucking company’s third-quarter earnings will fall around 5% to 10% sequentially because of elevated driver-related costs, the rapid rise in fuel prices and higher claims as medical costs outpace general inflation. CFO Brad Delco spoke at a Morgan Stanley conference on Tuesday.

Papa John’s

CEO Todd Penegor said the pizza chain aims to boost quality and improve consumers’ perception of it as a good value. Penegor said at an investor event that the company’s turnaround is taking longer than he would like. Shares closed down 2.6%.*

10-Year Treasury Settles Above 5%

Number of consecutive trading days the U.S. 10-year yield closed above 5%



The 10-year Treasury yield has settled above 5% for the first time since 2007.

Many investors are proba-

THURSDAY’S EVENTS:

◆ Central banks:
Bank of England interest-rate decision
Bank of Japan interest-rate decision

◆ Economic data:
Housing starts, pending home sales index, jobless claims,

bly wondering if it can stay above that level, and if so, for how long.

If recent history is any guide, the answer is: not that long. The past eight times the Treasury yield closed above 5%, it went back down below that level in less than two months, according to Dow Jones Market Data.

The average number of trading days it stayed above 5% was 12.

All those stretches occurred in 2006 and 2007.

Longer periods of 10-year yields staying above 5% happened in 2002, 2001 and 1999-2000.

Before September 1998, the 10-year yield was above 5% for more than two decades.

—Shradha Dinesh

foreign central bank holdings, federal discount window borrowings, Philadelphia Fed business outlook survey, EIA weekly natural-gas storage report

EARNINGS EXPECTED:
Innate Pharma

Goldman Stays Cautious On Increases

“The Fed has signaled it does not at this stage envisage an aggressive tightening cycle,” said Kay Haigh, global head of fixed income and liquidity solutions at Goldman Sachs Asset Management,

referring to how the majority of FOMC members penciled in just one more increase this year after Wednesday’s quarter-point rise announcement.

“One more hike this year in December is our base case, although this remains contingent on upcoming CPI reports and the path of energy prices,” Haigh said.

—Jack Pitcher



On This Day in Market History

On this day in 1926, the first warning was issued for a major hurricane that hit Miami, killing hundreds of people.

A similar storm today would cause hundreds of billions of dollars in property damage, according to insurers.